Series 52

Municipal Securities Representative Qualification

Study Manual – 42nd Edition

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Introduction

Securities Training Corporation's Series 52 Examination Training Program is designed to assist students in passing the examination regardless of their prior experience or educational level. Each phase of the program has been designed carefully to present concepts in a simple manner and logical sequence. Since this examination is under constant revision, we recommend that you visit our website at www.stcusa.com to determine whether any changes have been made or supplemental materials created.

In order to obtain registration as a Municipal Securities Representative, candidates must pass both the Series 52 Exam and a general knowledge co-requisite, the Securities Industry Essentials (SIE) Exam.

This Introduction explains the various parts of the program and gives valuable information about the Series 52 Examination. Please read this entire section before beginning the program.

About the Series 52 Examination

The Series 52 Examination is administered on a computerized testing system and consists of 75 multiple-choice questions that are scored. However, each examination includes *five additional experimental questions* that don't count for or against the candidate. These five questions are randomly distributed throughout the examination and are not identified as experimental. Therefore, the examination is actually 80 questions and 2 hours and 30 minutes are allotted to complete it. The minimum required passing score is 70%. Each question on the examination has four choices: A, B, C, or D. Since all of the questions are given equal weighting, every question should be answered. There's no additional penalty for answering a question incorrectly.

Equating of Test Scores Since no two examinations are alike, the examinations may vary slightly in difficulty. To account for these slight variations, the candidate's examination is statistically equated to a standard form of the examination. The purpose of statistical equating is to place all examinations on equal ground. Equating ensures that no candidate who takes a slightly more difficult test would be at a disadvantage, or conversely, no candidate would receive an unfair advantage by taking a slightly easier test. Therefore, candidates with comparable ability will be given the same opportunity to pass the examination regardless of the slight variations of difficulty of the forms of the examination that are administered to them. Equated scores are not the actual number of test questions correct or percentage correct.

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The following table provides a breakdown of the number of test questions on the Series 52 Examination based on the job function of a Municipal Securities Representative:

Topics	Percentage of Test Questions	Number of Questions
Municipal Securities	60%	45
Economic Activity, Government Policy, and the Behavior of Interest Rates	14%	10
Federal Legal Considerations	26%	20
TOTAL	**100%**	**75**

A detailed listing of topics that are tested may be accessed on FINRA's website at the link below:

http://www.msrb.org/~/media/Files/resources/MSRB-Series-52-Content-Outline.ashx?la=en

Course Materials

STC's Series 52 Examination Training Program consists of the following materials:

1. Seven-chapter study manual
2. Final examinations with explanations

Study Manual and Exam Breakdown

The study manual, which represents the first phase of your exam preparation, consists of seven chapters that cover the topics tested on the Series 52 Examination. After reading each chapter, STC strongly suggests that students go to their my.stcusa.com dashboard and create a 10-question Custom Exam that contains only questions pertaining to the chapter just completed.

A Custom Exam may be taken with or without the explanations shown after each question is answered. Students shouldn't proceed to the next chapter until they fully understand the explanation for any questions that were answered incorrectly.

Final Examinations

The final examinations and corresponding explanations represent the most important part of your test preparation. These examinations will assist you in applying the information that you learned in the study manual to questions that are posed in the multiple-choice format and used in the Series 52 Examination.

An examination should first be taken with the SHOW EXPLANATIONS turned on. As you read a question, try to answer it. However, whether your answer is correct or incorrect, read the entire explanation. You may find it helpful to highlight or take notes on any facts you didn't know for use in future studying.

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Studying each explanation is a crucial step to passing the Series 52 Examination. By concentrating only on the correct response and disregarding the explanation, you run the risk of memorizing answers without fully understanding the underlying concepts.

After completing all of the examinations with SHOW EXPLANATIONS switched on, and if time permits based on the calendar you're following, you should begin the process over again by retaking each examination without the explanations shown. If taking the test for the second time, you should strive to achieve a score of 85% or better to show maximum retention of the material.

Registering for the Examination

To register for the Series 52 Examination, you must complete the Form U4 application. Your sponsoring firm will then send both Form U4 and your fingerprints to FINRA for processing. Give yourself ample time for processing to be completed. Once your information has been processed, a confirmation will be sent to your firm.

Taking the Exam

In order to take an exam, you will need to make a test appointment. Please use the following information to schedule an appointment and/or to learn more about the examination center:

Prometric Exam Centers
www.prometric.com/finra/
800.578.6273S

The website will provide you with the most up-to-date information regarding "Test Center Security" and "Test Break Policies." At the testing facility, you will be provided with:

- A four-function calculator
- Two dry-erase boards
- Dry-erase pen

For more information regarding scheduling an exam, what to expect on the day of your exam, and what happens after your exam, please use the following link which provides information from FINRA:

www.finra.org/sites/default/files/external_apps/proctor_tutorial.swf.html

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Sample Question Formats

There are four basic multiple-choice formats found on the Series 52 Examination.

1. The Incomplete Sentence Format

This type of format requires you to choose the best conclusion to complete the sentence.

Example

The Financial Industry Regulatory Authority (FINRA) is considered:

a. An exchange
b. A self-regulatory organization
c. A U.S. government agency
d. The primary regulator of the futures industry

(The correct answer is b.)

2. The Closed Stem Format

In this format, you are asked a question and then must select the best response.

Example

Mutual funds may be described as which of the following?

a. Open-end management companies
b. Closed-end management companies
c. Face-amount certificate companies
d. Unit investment trusts

(The correct answer is a.)

3. The EXCEPT Format

This format requires you to select the one incorrect response from the choices presented.

Example

All of the following are characteristics of Treasury bills, EXCEPT:

a. They have a maximum maturity of twelve months
b. They are sold at weekly and monthly auctions
c. They are interest-bearing securities
d. They are sold at a discount

(The correct answer is c.)

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4. The Roman Numeral Format

This format is used when there is more than one correct response. Do all possible eliminations before trying to answer the question. The answer will usually include either two choices or all four choices.

Example

Which TWO of the following are true regarding an investor who buys call options?

I. The investor has limited profit potential
II. The investor has unlimited profit potential
III. The investor has limited loss potential
IV. The investor has unlimited loss potential

a. I and II
b. I and III
c. II and III
d. II and IV

(The correct answer is c.)

Standardized Test-Taking Tips

As with any standardized test, you may be able to increase your score by employing good test-taking techniques. An efficient technique will ensure an overall understanding of the question while helping to avoid careless errors. It will also help you to stay alert throughout the entire exam. The following list is a step-by-step approach that may work well for you:

Step 1: Read the question the first time through without trying to answer it. At this point, merely form an understanding of the substance of the question.

Step 2: Carefully read the four choices. Remember, since a multiple-choice examination actually gives you the answer, your job is to recognize the correct choice from among the distractors. By keeping these choices in mind when you reread the question, you will be able to pinpoint the important information and filter out any extraneous material.

Step 3: Reread the question slowly and stop at the end of each sentence to absorb the information. You may need to exaggerate this in the beginning as you get used to applying the intense concentration required to assure that you recognize all of the important facts and catch the misleading words or phrases (e.g., not, except, etc.).

Step 4: Make sure that you fully understand what the question is asking. You cannot possibly answer a question correctly before you know what it's asking. You may need to look back to the question for additional facts before you are ready to choose your answer.

Step 5: Read each choice a second time. As you read a choice, decide whether it's a possible answer. If you're able to eliminate three of the four choices, then you have your answer. However, if you only eliminate one or two, it will still help you narrow it down to your best choices. Reconsider the remaining choices by comparing their differences and decide which answer is more correct. Once you have made your decision, DON'T LOOK BACK!

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It's important that you practice your technique so that you become proficient by the time you sit for the Series 52 Examination. The best place to practice is on the simulated final examinations. Not only will this practice build your technique, it will also help you to identify potential problem areas. A list of common test-taking problems follows.

Test-Taking Pitfalls

Reading the Question Too Fast Part of the battle in attempting to pass a standardized examination is determining what a question is asking. Regardless of how many times you read a question, you cannot absorb the information if you read the question too quickly.

Changing Answers Going back and changing an answer means that you are second-guessing yourself. If you employ a good test-taking strategy, there is nothing you will gain from going back to a question for a second time. If you think you are likely to obtain the information you need from another question, remember that this examination is written by expert test writers who are not going to give anything away.

Formulating an Answer Too Quickly When you are ready to answer a question, make sure to consider all four of the choices that are given. Don't formulate an answer on your own and merely look for that choice while disregarding the others. Remember, there will often be more than one correct choice and, while your choice may be right, it may not be the best response.

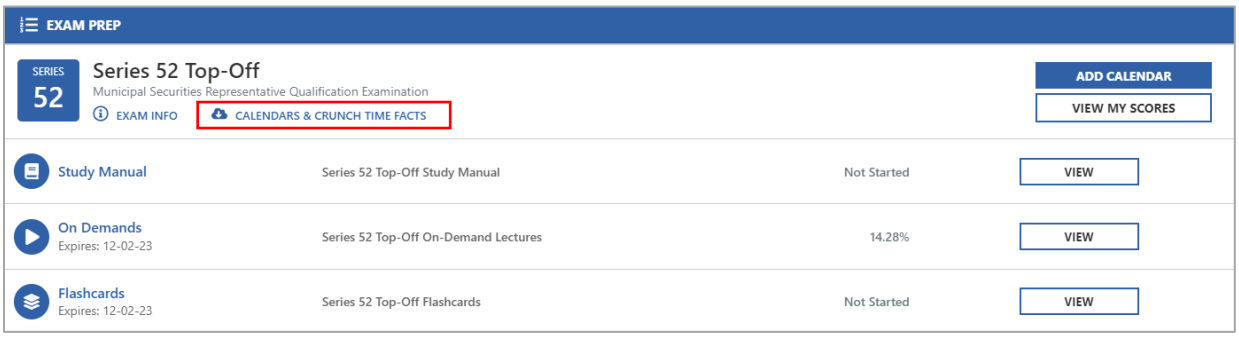
Making Careless Errors Don't form preconceived notions when reading a test question. Always read what is written, not what you expect to see. By keeping an open mind, reading the questions slowly, and reading them at least two times through, you should be able to avoid these types of errors.

Study Calendars

STC provides sample study calendars which are designed to help students in organizing their time and allowing for a manageable amount of daily study. Remember, these calendars are simply suggestions for how you may plan your studies. Feel free to make any modifications that you deem appropriate.

The calendars are available for download on your student dashboard on www.my.stcusa.com.

- Click on the link to "Calendars and Crunch Time Facts" that appears below the Series 52 Top-Off course title
- Choose the calendar that best fits your needs



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Chapter 1

Characteristics of Municipal Securities

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Basic Characteristics of Bonds

A bond is a contract between an issuer and an investor. Essentially, the investor lends money to the issuer, while the issuer (debtor) promises to repay debt service. *Debt service* represents the total of all of the interest payments over the bond's life and the bond's par value at maturity. The issuer must stand ready to make payments since, if any payments are missed, it's considered to be in default. Let's now examine some of the key terms used when analyzing bonds.

Par Value

The par value of a bond (also referred to as the *principal* or *face value*) is the amount that the issuer agrees to pay the investor when the bond matures. Regardless of the amount an investor pays the purchase a bond, if it's held to maturity, the issuer is obligated to pay the par value of $1,000.

Coupon Rate

Obviously, investors don't buy bonds just to receive their principal back at some future date. The issuer must also agree to pay investors interest on the loan until the bond matures. The rate of interest is generally fixed at the time the bond is issued and, with some exceptions, remains the same for the life of the bond. This fixed rate of interest is also referred to as the bond's *coupon rate.* The interest paid is calculated based on the bond's $1,000 par value, not the actual price paid for the bond.

In order to determine the amount of interest that the investor will receive annually, the bond's par value ($1,000) is multiplied by its stated interest rate. For example, if a client purchases a 6% corporate bond, she will receive $60 per year ($1,000 x 6% = $60). Since bonds usually pay interest twice per year (semiannually), the investor will receive two $30 payments every year ($60 ÷ 2 = $30). It's important to remember the primary reason that municipal securities are purchased by investors is because the interest income received is typically exempt from federal income tax. For this reason, these securities are referred to as *tax-free.*

The bond's maturity date (explained more later) is important in determining when an investor will receive her interest payments. One of the payment dates is the actual maturity date, while the other is six months from that date. Therefore, if the investor's 6% corporate bond matures on June 1, 20XX, she will receive two payments—one every June 1 and the other every December 1.

Fixed or Variable Rates Issuers may choose to offer debt instruments that pay a variable rate of return. These types of debt instruments are considered *floating-rate notes* (FRNs), *adjustable-rate notes*, or *variable-rate notes* (or bonds) and typically pay a coupon that's tied to a market rate. Examples of rates include the prime rate or the Secured Overnight Financing Rate (SOFR), which has replaced the London Inter-bank Offered Rate (LIBOR). SOFR is based on actual transactions in the Treasury repurchase market. The interest rate on a *step-up bond* is reset as well, but this adjustment occurs only once and is typically changed to a predetermined higher rate. Once reset, the bond pays the higher fixed rate until maturity. Issuers may also offer debt securities that pay no interest; instead, they're issued at a discount to their face amount.

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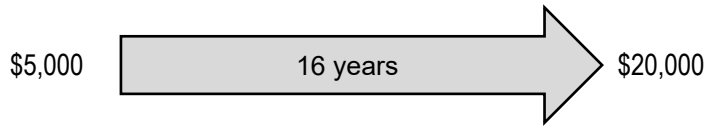
Zero-Coupon Bonds

Zero-coupon bonds don't pay interest at regular intervals. As their name suggests, they make no interest or coupon payments. As an incentive, investors are able to purchase zero-coupon bonds at a deep discount from their par value. Typically, the longer the period until the bond matures, the deeper the discount. The investor then redeems the bond for its full face value when it matures. The difference between the purchase price and the amount that the investor receives when the bond matures is considered interest. Investors who purchase zero-coupon bonds often have a need for a lump-sum payment at some future date.

> *For example, an investor estimates that she will need $20,000 in 16 years to pay for her daughter's first year of college. She purchases zero-coupon bonds with a total par value of $20,000 which are scheduled to mature in 16 years. She pays $5,000 for the bonds and will not receive interest payments until the bonds mature, at which point she will receive $20,000.*



The yields on zero-coupon bonds are typically slightly higher than those on comparable interest-bearing bonds. However, the prices of zero-coupons also tend to be more volatile than other bonds. Therefore, if an investor needs to sell a zero-coupon bond before it matures, she may lose a significant amount of principal.

As previously described, the difference between the amount paid by the investor and the amount received at maturity is considered interest. For tax purposes, this difference is referred to as the original issue discount (OID). This value must be adjusted upward (also referred to as *accreted*) each year and is generally treated as tax-exempt interest. Accretion will be described in more detail in a later chapter.

Another type of zero-coupon municipal bond is a capital appreciation bond (CAB). CABs differ from traditional zeros in that the difference between the amount paid and the amount received at maturity is considered compounded interest and not accreted OID interest. This is specifically important when a municipality is calculating its debt limit. For example, a zero-coupon bond that's issued at $400 is valued at $1,000 per bond when a municipality calculates its debt limit, but a CAB that's issued at the same price is only valued at $400 when the debt limit is calculated.

Some zero-coupon and capital appreciation bonds may be issued with a provision that allows the holder to convert the bond into an interest paying bond. These bonds are referred to as *convertible bonds.* At the time of issuance, the interest rate that the investor will receive and the date on which the conversion can occur must be disclosed.

Initial Interest Payment

Traditionally, bonds pay interest on the 1st or 15th of the month to ease paperwork issues. However, newly issued bonds pay interest from the *dated date* (the date from which interest begins to accrue), which may not fall on the 1st or 15th. For this reason, the very first coupon on a newly issued bond may be for more or less than the traditional six-month period as the issuer tries to get synchronized with the 1st or 15th payment date.

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If the first coupon is for more than six months, it's referred to as a *long coupon;* however, if the first coupon is for less than six months, it's referred to as a *short coupon*.

Accrued Interest

Since bond interest is paid semiannually, a bondholder who sells a bond between interest payments is usually entitled to the interest earned during the period when he still owned the bond. This accrued interest is the amount of interest the seller is entitled to receive and the amount the buyer is required to pay.

Municipals Interest on corporate and municipal bonds accrues on the basis of a 360-day year with each month having 30 days. The amount of accrued interest is calculated from the last interest payment date up to, but not including the settlement date. The following example shows the calculation of accrued interest:

On Thursday, September 15, using regular-way settlement, an investor purchases $10,000 face value of a 6% municipal bond that matures on December 1, 20XX. How many days have accrued and what dollar amount of accrued interest is the buyer required to pay?

Remember, interest is paid every six months on dates that are based on the maturity date. In this example, interest will be paid each June 1 and December 1. Therefore, accrued interest will be calculated from June 1 (the last interest payment date).

Since regular-way settlement on municipal bonds occurs one business day after the trade date, this bond trade will settle on Friday, September 16. Accrued interest on the purchase is calculated up to, but not including the settlement date of September 16.

The number of days of accrued interest owed includes:

June	*30 days*
July	*30 days*
August	*30 days*
September	*15 days*
Total	*105 days of accrued interest*

The dollar amount of accrued interest is calculated as follows:

$$\text{Amount of Interest} = \text{Principal} \times \text{Rate} \times \frac{\text{Accrued Days}}{360}$$

$$\text{Amount of Interest} = \$10{,}000 \times 6\% \times \frac{105}{360}$$

$$\text{Amount of Interest} = \$600 \times \frac{105}{360} = \$175$$

Note: Prior to May 28, 2024, regular-way settlement for municipal securities was on the second business day following the trade date (i.e., T + 2).

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The buyer will pay the seller $175, which is the amount of interest that has accrued since the last interest payment was made. On December 1, the buyer (now the bondholder) will receive the entire interest payment of $300 (one-half of the yearly interest). This amount represents a return of the $175 paid in accrued interest (the seller's share) plus the $120 which is the buyer's share of the interest that has accrued since September 16.

Note: If a coupon date is on the 15th of the month for a municipal bond, there will be 16 days remaining in that month. This is because it's assumed that every month has 30 days and the calculation begins at the date of the last coupon payment of the 15th and continues through the 30th day of the month (i.e., 16 days).

Accrued interest doesn't apply to certain types of transactions, such as for bonds that are currently in default and zero-coupon bonds. Trades involving these types of bonds are considered to be done *flat*.

Maturity Date

This is the date on which the bondholder will receive the $1,000 return of principal from the issuer. The maturity or due date will be identified on the face of the bond.

Serial versus Term Issues Municipal issuers routinely issue millions of dollars' worth of bonds at the same time. There are several ways that the issuers may structure their loan repayment. Two of the common forms are *term* and *serial*. If all of the bonds of an offering are due to mature on the same date, it's referred to as a *term bond issue*. On the other hand, if the bonds of an offering will mature sequentially over several years, it's referred to as a *serial bond issue*.

For example, an issuing corporation may sell $50 million par value of bonds with $10 million coming due each year over a five-year period. With serial issues, an investor could purchase a quantity of bonds that mature at the same time or, if she chooses to, she could purchase bonds with different maturities.

A serial bond may be structured so that principal and interest payments represent approximately equal annual payments over the life of the offering, which is referred to as *level debt service*.

Call Date Some municipal securities may be retired prior to maturity at the option of the issuer. These securities are referred to as *callable bonds* and are advantageous for the issuer since it's able to retire the securities prior to the scheduled maturity date.

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Forms of Issuance

Bearer Bonds Bearer bonds were an original form of bond issuance; however, these bonds are no longer issued in the United States. These bonds don't have the name of the owner recorded either on the bond itself or on the books of the issuer. The bonds have interest coupons attached and when an interest payment is due, the bondholder clips the appropriate coupon and deposits it in a bank. At maturity, the bondholder presents the bond certificate for redemption (repayment).

Interchangeable bonds are bearer bonds that can be converted into registered bonds. Once converted, the investor will receive the interest payments automatically, rather than being required to clip and remit the coupon. The investor will ultimately receive the principal at maturity rather needing to present the bond.

Registered Bonds

According to federal tax laws, all municipal bonds must be issued in registered form. A registered bond has the holder's name and address recorded on the bond and on the books of the issuer. The bond may be registered as to principal only or fully registered.

A bond *registered as to principal only* will have the owner's name and address recorded for purposes of receiving any written notices and payment of the principal amount at maturity. However, interest payments are still received by means of attached interest coupons (as with bearer bonds).

A *fully registered* bond has the owner's name and address recorded for purposes of receiving any written notices, payment of the principal amount at maturity, and receiving interest payments. The interest payments are received by means of a check from the issuer every six months.

Another type of fully registered form that's become the standard is *book entry* form. With this form, there's no physical bond issued; instead, ownership is evidenced by means of a computer entry of the owner's name and address. This computer entry is held in a depository. A customer who purchases a book entry bond will receive a confirmation as well as an account statement which contains information on the bond that was purchased.

A depository is a clearing agency that's registered with the SEC and provides safekeeping and book entry records to its participants. In order to be eligible to be held in a depository, a security must meet certain requirements, such as being registered with the SEC under the Securities Act of 1933 or being exempt from the registration requirements of the Act (which is the case for municipal bonds).

Denominations

Originally, municipals had been issued in bearer form in $1,000 or $5,000 denominations. Today, all new municipals with maturities of more than one year must be issued in fully registered form only. Registered bonds are typically issued in denominations of $5,000; however, some may be issued in a minimum denomination of $1,000 to attract local or regional investors.

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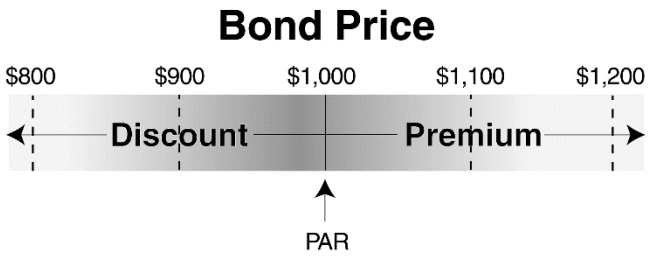
Delivery Procedures

Cash and Regular-Way Settlement When purchasing municipal bonds in the secondary market, *settlement for cash transactions* occurs on the trade date (the date on which the two parties agree on the bond to be traded and the bond's price). On the other hand, *regular-way settlement* occurs one business day after the trade date, or T + 1.

Delayed and Forward Delivery Forwards, or *forward delivery*, is a form of delayed delivery in which a security is priced (in the primary market) or traded (in the secondary market) with a future settlement date. *Delayed delivery* is a transaction for which settlement is more than the standard one business day after the trade date.

Why Bond Prices Fluctuate from Par

The par value of a bond can differ greatly from the price an investor pays to purchase the bond (i.e., the market price). Although most bonds are initially sold at their par value, as time goes by, these same bonds will trade in the market at prices that are less than or more than par. A bond that's sold for less than its par value is selling at a *discount*, while a bond that's sold for more than its par value is selling at a *premium*.



Discounts and Premiums

The reasons for these discounts or premiums typically relate to the changes in prevailing market interest rates (i.e., interest-rate risk) or concerns about the creditworthiness of the issuer (i.e., credit risk) which will be described in detail later.

Bond Pricing

A bond's price is typically stated as a percentage of its par value. For example, a bond with a price of 100 is selling at 100% of its par value, or $1,000 (100% of $1,000). A bond with a price of 90 is selling at a discount that's equal to 90% of its par value, or $900. A bond with a price of 110 is selling at a premium that's equal to 110% of its par value, or $1,100.

A bond's price may also be expressed in terms of *points*. Each point is equal to 1% of the bond's par value, or $10. So basically, 99 points is equal to $990 (99 points x $10 per point = $990). A bond selling at 100 is selling for 100 points or $1,000. If the bond's price is 101, it's selling for $1,010 (101% of the par value).

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Bond Price	Percentage of Par Value	Price in Dollars	
99	99%	$990	Discount
100	100%	$1,000	Par
101	101%	$1,010	Premium

Smaller Pricing Increments

Not all bonds trade in even points. Traditionally, corporate and municipal issues trade at a fraction of $^1/_8$ of a point, while Treasury notes and bonds trade in increments of $^1/_{32}$ of a point. Rather than working with a fraction, let's convert the fraction to a decimal by dividing the numerator by the denominator. For example, $^1/_8$ becomes .125, $^5/_8$ becomes .625, and $^{15}/_{32}$ becomes .46875. Therefore, a bond quoted at 93 $^1/_2$ is converted to 93.5% of par, or $935. The following are some additional pricing examples:

87 $^1/_8$ = 87.125 = $871.25
100 $^7/_8$ = 100.875 = $1,008.75
103 $^3/_8$ = 103.375 = $1,033.75

Calculating Bond Yields

As with any other investor, a bondholder is interested in determining her investment's return or yield. There are three different measures for determining a bond's yield—*nominal yield, current yield,* and *yield-to-maturity*.

Nominal Yield A bond's nominal yield is the same as its coupon rate. If a bondholder purchases a 6% bond, then her nominal yield is 6%.

Current Yield Current yield essentially measures what a bond investor receives for what she pays. While the nominal yield is based on a bond's par value, current yield is based on the bond's current market price. Current yield is calculated by dividing the bond's annual interest payment by the bond's current market price.

$$\text{Current Yield} = \frac{\text{Annual Interest}}{\text{Current Market Price}}$$

If an investor purchases a 6% bond and pays a price of $800, what's her current yield?

1. The bond's annual interest payment is calculated by multiplying the par value by its nominal yield. $1,000 x 6% = $60.
2. Current Yield = $\frac{\$60 \text{ annual interest}}{\$800 \text{ market price}}$ = .075 or 7.5%

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Yield-to-Maturity (YTM) Yield-to-maturity takes into account *everything* that an investor receives from a bond from the time she purchases it until it ultimately matures. This includes the bond's regular interest payments, plus the difference between what the investor paid for the bond and what she receives when it matures (the bond's par value). An investor who purchased a bond at a discount will have a profit since she paid less for the bond than its face value. An investor who purchased a bond at a premium will have a loss since she paid more than the bond's par value. Yield-to-maturity also assumes that an investor will reinvest any coupon payments at the original yield-to-maturity rate, which compounds the investor's return.

Basis When a bond's yield-to-maturity is being described, it may also be referred to as the *yield* or *basis*. Therefore, a 7.44% yield-to-maturity, a 7.44% yield, and a 7.44 basis are synonymous.

The term basis is derived from one method of expressing yield. One *basis point* is equal to 1/100 of 1%; therefore, a 1% difference in yield equals 100 basis points. The term basis points may be used to compare the yields of two different bonds. For example, if Bond A is trading at a 4.55 basis and Bond B is trading at a 4.95 basis, then Bond B is trading 40 basis points higher than Bond A. If an investor purchased Bond B with a 4.95 basis, it would provide a pick-up yield of 40 basis points over Bond A.

From the current yield example above, the investor purchased a 6% bond and paid a price of $800 (a discount). If the bond matures in 10 years, the bond's yield-to-maturity will include:

1. The bond's semiannual interest payments for the next 10 years, plus
2. The $200 gain that she receives when the bond matures ($1,000 par value – $800 market price), plus
3. The interest earned from reinvesting the semiannual coupon payments

Since the investor purchased this bond at a discount, the bond's yield-to-maturity will be greater than both its nominal yield and current yield.

Assume now that the investor purchased the same 10-year, 6% bond for $1,200 (at a premium). In this case, the yield-to-maturity will include:

1. The bond's semiannual interest payments for the next 10 years, minus
2. The $200 loss that she incurs when the bond matures ($1,200 market value – $1,000 par value), plus
3. Interest earned from reinvesting the semiannual coupon payments

Since the investor purchased the bond at a premium, the yield-to-maturity will be less than both its nominal yield and current yield. If she had purchased the bond at par, then its yield-to-maturity would be the same as its nominal yield and current yield.

Dollar Price	Nominal Yield	Current Yield	Yield-to-Maturity
$1,000 (par)	6%	6%	6%
$800 (discount)	6%	7.5%	Greater than 7.5%
$1,200 (premium)	6%	5%	Less than 5%

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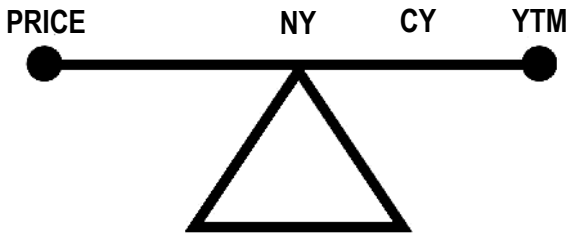
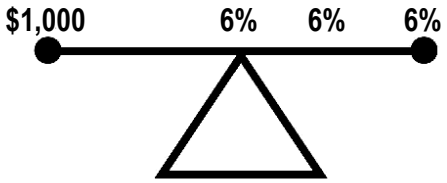
In the diagram below, since the nominal yield is fixed, it's always placed at the top of the triangle. The yield-to-maturity is always placed at the far end, while the current yield will always be placed in between the nominal yield and the yield-to-maturity.



To determine the relationship of yields on a discount or premium bond, just imagine the slope of the line and remember the order in which yields are plotted.

For illustration purposes, the following diagrams will use the yields shown on the previous page:



To summarize:

- If an investor purchases a bond at par, the nominal yield, current yield, and yield-to-maturity will all be equal.
- If an investor purchases a bond at a discount, the highest yield will be the yield-to-maturity, followed by the current yield, with the nominal yield as the lowest.
- If an investor purchases a bond at a premium, the highest yield will be the nominal yield, followed by the current yield, with the yield-to-maturity as the lowest.

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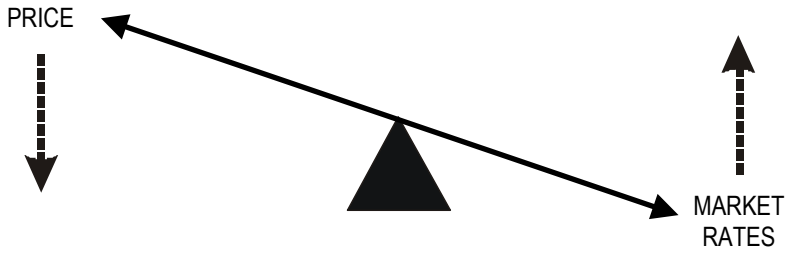
Prices and Yields: An Inverse Relationship

A bond's coupon (interest rate) is generally fixed for its life. As market interest rates change, new bonds will be issued with either higher or lower coupon rates than what existing bonds pay. In order to keep pace with current interest rates, the value of existing bonds will need to change.



As interest rates rise, the value (price) of existing bonds will fall since the demand for existing bonds that offer lower interest rates will decline. If interest rates fall, the value (price) of existing bonds will rise since they're worth more than a new bond issued with a lower coupon. So essentially, there's an inverse relationship that exists between market interest rates and existing bond prices.

> *To summarize, as interest rates increase, the prices of existing bonds decrease and, as interest rates decrease, the prices of existing bonds increase.*

Interest-Rate Risk

Investors who purchase bonds run the risk that the market value of their investments may decline if interest rates rise. This is referred to as *interest-rate risk*. If market rates increase, investors will not be interested in purchasing existing bonds at par since they can get higher yields by purchasing new issues. For that reason, existing bonds will have to be sold at a discount in order to attract purchasers.

Bonds with longer maturities tend to be more vulnerable to interest-rate risk than bonds with shorter maturities. Also, bonds with lower coupon rates also tend to be more sensitive to interest-rate risk, when compared to bonds with similar maturities and higher coupon rates.

Duration Another way to examine the price sensitivity of bonds is by *duration*. Duration can be considered as the length of time that it takes to breakeven on a bond. Usually, maturity is the barometer used to measure when principal is returned. However, duration is a better mechanism for assessing the time characteristics of bonds than maturity because duration considers not just repayment of principal (at maturity), but it accounts for all expected cash flows (represented by the semiannual coupons).

> *For example, let's consider a 20-year zero-coupon bond. Since no coupon is being paid, no cash flows are received until maturity. Therefore, the duration of a zero-coupon bond is equal to its maturity. In this case, the duration is 20 years.*

Now consider a 20-year bond with an 8% coupon. The duration of a coupon bond is less than its maturity because duration considers the coupon payments that are received. In this case, the duration may be 16.3 years, which is less than the bond's maturity (although complex mathematical calculations are used to determine duration, they're unnecessary for the exam).

What about a 20-year bond with a 6% coupon? The duration will still be less than the bond's maturity (for example, 18.7 years), but not as low as the 8% coupon bond since this bond is only paying $60 each year.

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Notice that duration is a way to compare cash flows. Due to this, duration can be used to compare dissimilar bonds (e.g., those with different coupons and maturities). Duration is also used to measure how a bond's price responds to small changes in market yields. The *price (dollar) value of a basis point* is the change in the price of a bond if the yield changes by one basis point. This is a measure of dollar price volatility rather than the percentage price volatility of a bond (price change as a percentage of the initial price). The following information summarizes some of the concepts of duration, assuming all of the securities have the same degree of credit risk:

- Short-term bonds will have lower durations than long-term bonds
- If two bonds have the same maturity, bonds with lower coupons will have higher durations
- If bonds have the same maturity, a zero-coupon bond will have a higher duration than a bond that pays periodic interest
- If bonds have the same maturity, par bonds will have a lower duration than bonds trading at a discount because the discount bond will have a lower coupon
- If bonds have the same maturity, premium bonds will have a lower duration than par bonds because the premium bond will have a higher coupon

Price Changes and Resulting Yield Changes

To illustrate the relationship between yields and prices, let's consider a 10% bond.

Par Bond First assume that the 10% bond was purchased by an investor at a price of 100 (par).

- The nominal yield is the stated rate of interest, which is 10%.
- The current yield equals the annual interest payment of $100 divided by the bond's cost of $1,000. Therefore, the current yield is 10%.
- Since the bond was purchased at par and will be redeemed at par at maturity, the yield-to-maturity will also be 10%.

Therefore, for a bond selling at par, the nominal yield, current yield, and yield-to-maturity are equal.

Discount Bond If interest rates rise, new bonds will be issued with coupon rates that are higher than the 10% bond that's used in our example. Investors are now able to earn more than the 10% nominal yield that's printed on the bond. The price of the 10% bond must be reduced to make its yield competitive with the newer higher yielding bonds. For that reason, the increase in interest rates causes the 10% bond to sell at a discount to par value.

Now, assume that the 10% bond is purchased at a price of 90 (90% of $1,000 face value).

- The nominal yield is still 10% since it was set at issuance and doesn't change.
- The current yield is now 11.11% (higher than the nominal yield). The annual interest is the same ($100), but the cost of the bond is now $900.

$$\frac{\$100 \text{ annual interest payment}}{\$900 \text{ current market price}} = 11.11\% \text{ current yield}$$

- If held to maturity, the bond will pay $1,000, which is $100 more than its purchase price. This additional $100 in capital appreciation adds to the bond's overall rate of return. Therefore, the yield-to-maturity (11.72%) will be higher than the current yield of 11.11%.

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As previously noted, calculating yield-to-maturity is normally done by using a bond calculator. However, recognizing the relationship between yields will allow a person to make safe assumptions about the yield-to-maturity without the use of a bond calculator.

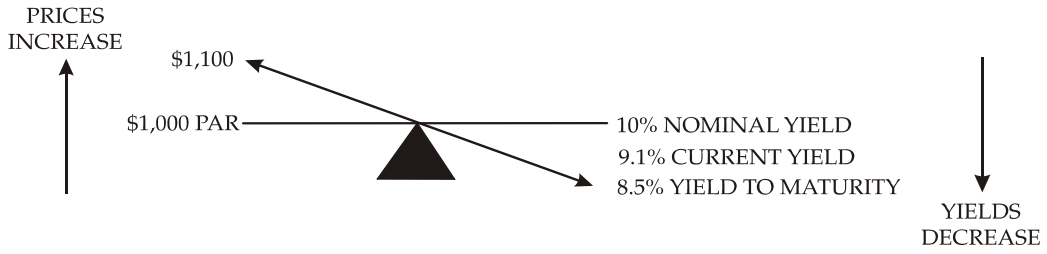
Premium Bond If interest rates decline, new bonds will be issued with coupon rates that are lower than the 10% bond used in our example. Investors are willing to pay more to obtain a bond that pays more interest (10%) than the new bonds being issued. Therefore, the bond will increase in price causing it to sell at a premium to par value.

Assume that our 10% bond is purchased at a price of 110 (110% of $1,000 face value).

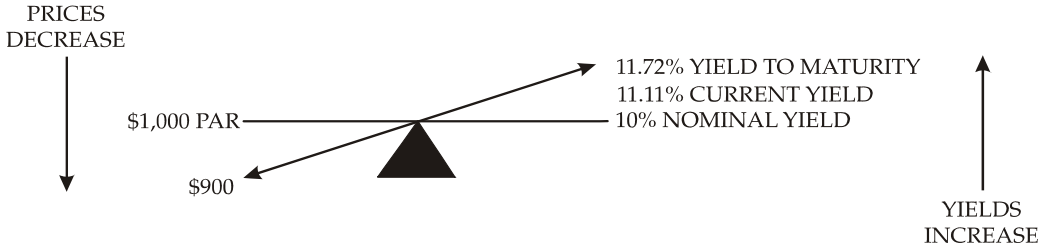
- The nominal yield is still 10%.
- The current yield is less than the nominal yield. While the annual interest payment is still $100, the cost of the bond is now $1,100. The current yield is now 9.10%.

$$\frac{\$100 \text{ annual interest payment}}{\$1{,}100 \text{ current market price}} = 9.10\% \text{ current yield}$$

- If the bond is held to maturity, the current owner will receive $1,000, which is $100 less than the bond's purchase price. While the current yield is 9.10%, the yield-to-maturity will be less, in order to reflect the premium that's lost over the life of the bond. In this example, the yield-to-maturity is approximately 8.50%, which is less than the current yield of 9.10%.



Therefore, for a bond selling at a discount, the nominal yield (coupon) is less than the current yield, which is less than the yield-to-maturity.



Therefore, for a bond selling at a premium, the nominal yield (coupon) is more than the current yield, which is more than the yield-to-maturity.

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Summary of Yield Relationships Understanding the relationship between bond yields and prices is an extremely important concept. These relationships can be summarized as follows:

- *Par Bond* The nominal yield equals the current yield, which also equals the yield-to-maturity.
- *Discount Bond* The nominal yield is less than the current yield, which is less than the yield-to-maturity.
- *Premium Bond* The nominal yield is more than the current yield, which is more than the yield-to-maturity.

The Relationship Between Prices, Yields, and Maturity Dates

Generally, bonds with longer maturities also have higher coupons. Since the investor's money is at risk for a long period, the investor expects a higher rate of return than those offered by shorter term investments. Short-term bonds are usually safer investments since buyers know that they will get their money back relatively quickly. For this safety, investors are willing to accept lower rates of interest. Of course, there are other factors that may affect the yield of bonds. An issuer that's considered a poor credit risk (described shortly) will need to offer higher yields to attract investors than issuers with higher credit ratings.

The prices of long-term bonds tend to fluctuate more than those with shorter maturities. A change in interest rates will affect the prices of 30-year bonds more dramatically than five-year bonds. Essentially, in periods of rising interest rates, the prices of long-term bonds will decrease more than the prices of short-term bonds, but also, when interest rates decrease, the prices of long-term bonds will increase more than those of short-term bonds. This is also true of zero-coupon bonds, which are more volatile (price sensitive) to changes in interest rates than regular bonds.

Low Coupon Bonds The prices of bonds that pay lower coupon rates are more sensitive to changes in interest rates than higher paying securities with similar maturities. The price of a 10-year bond paying 8% will drop more than the price of a similar 10-year bond paying 10% if overall interest rates rise.

Short-Term Yields versus Long-Term Yields Although long-term bond prices fluctuate more than short-term bond prices, the yields of short-term bonds will fluctuate more than those for long-term bonds. This is the opposite of what was explained about prices. When interest rates fluctuate, the change is first reflected in the yields that are offered by short-term bonds. Issuers that bring new short-term bonds to the marketplace will need to pay the higher rates of interest. The yields of new long-term bonds being brought to the market will change more slowly.

To examine how a bond's price responds to larger changes in yields, convexity must be considered.

Convexity As explained previously, an increase or decrease in interest rates will have an inverse effect on bond prices. *Duration* allows the comparison of interest-rate risk among securities with different coupons, maturities, and credit quality. Longer maturities and lower coupon rates and yields all create higher durations. Bonds with durations of one to three years reflect minimal interest-rate risk (they're conservative); those with durations of four to seven years have moderate interest-rate risk; and those with durations of longer than seven years have greater interest-rate risk.

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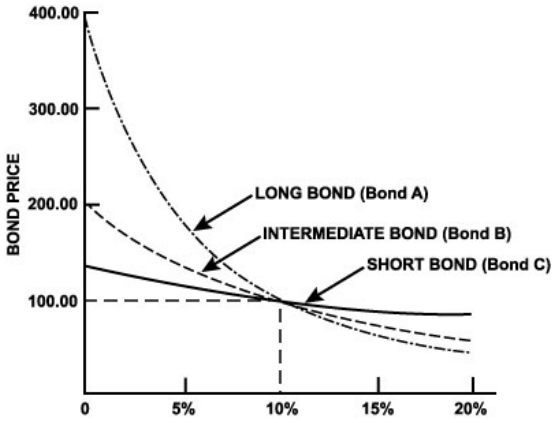
When graphed, the price/yield relationship forms a curve that's more convex (cup-shaped) for low coupon issues and long maturity issues. Higher coupon bonds with short maturities produce flatter price/yield curves, which shows a lower degree of price sensitivity. The graph on the right demonstrates this point:



Notice that Bond A is more cup-shaped (convex) than Bond B. As yields decrease (e.g., from 5% to 4%) the price of Bond A changes more (is more sensitive or volatile) than Bond B. As yields continue to decline (from 4% to 3%), the price of Bond A increases at an increasing rate (the curve is steeper or more convex for the long bond). This is referred to as *positive convexity*.

Callable bonds and mortgage-backed securities are subject to *negative convexity*. In other words, as yields fall, the price of the bond increases at a decreasing rate. As rates continue to fall, the probability of an early call increases dramatically, and the price of the bond declines to the stated call price. For mortgage-backed securities, falling rates make an increase in prepayments more likely.

The Real Interest Rate The real interest rate is the rate an investor in fixed-income securities actually receives once inflation is taken into account. For example, if a 10-year bond offers a 7% yield when the inflation rate is 3%, the real interest rate is 4%. The bond's 7% yield is composed of a 4% real interest rate, plus a 3% inflation premium.

Inflation or *purchasing-power risk* is the risk that the money invested today will not be worth as much when it's received in the future. If an investor buys a 5% bond and the rate of inflation subsequently rises to 6%, then the purchasing power of the cash flow will have decreased.

Reinvestment risk reflects the potential that future distributions of interest and principal may have to be reinvested at a lower rate of return. Since zero-coupon bonds don't make periodic payments, they're considered an investment that eliminates reinvestment risk (i.e., there's nothing to reinvest).

Redeeming Bonds

Callable Features

When a bond reaches its maturity date, the bondholder will redeem it to the issuer and receive the bond's par value plus her last interest payment. At this point, the issuer's obligation to the bondholder has ended and the debt is considered *retired.* However, some bonds are redeemed before they mature.

Call Risk Since issuers tend to call bonds when interest rates are falling, the bondholders are unlikely to be able to reinvest their money for the same return that they were previously receiving, unless they're prepared to increase the level of credit risk. This concept is referred to as *call risk*.

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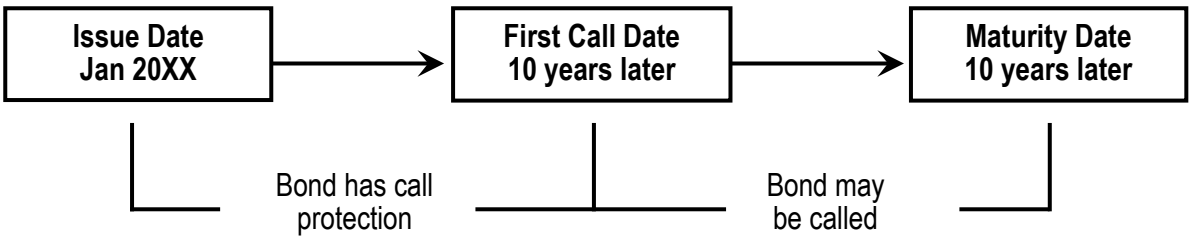
If a bond offering has a call feature attached, the issuer has the ability to redeem the outstanding bonds before the ultimate maturity. If called, the investor receives the full return of principal plus any accrued interest. For the issuer, the benefit is that it's no longer required to make periodic interest payments once the bond issue has been called.

Call Protection and Call Premium To make callable bonds more marketable to investors, most offerings will provide a *call protection period*. This is the period during which the bonds cannot be called, which is typically 5 to 10 years after the date of issuance. If the bonds are subsequently called, the issuer is often required to pay the bondholders more than the par value in order to compensate them for the early redemption of the bonds. This additional amount is referred to as a *call premium*.

> *For example, in January 20XX, an issuer sold bonds that mature in 20 years. Beginning 10 years after issuance, the bonds are callable at 102. If a bondholder buys one of these bonds and the issuer calls it back after 10 years, she will receive $1,020 ($20 more than the bond's par value). The call protection gives the investor the assurance of knowing that her bond cannot be called for 10 years.*



Call Types Some calls are *in-whole*, which means that the entire issue is being called at one time. Another type is a *partial (lottery calls)*, which means the some of the bonds will be retired early, while others will remain outstanding. A call feature that may be exercised at any time after the first call date is a referred to as a *continuous call*. Some calls may be exercised only on particular dates, such as one of the bond's interest payment dates. Finally, selected types of bonds may have *catastrophe call* provisions which are enacted only if a bond's underlying collateral is destroyed.

> *For example, a bond is issued to generate funds which will be used to construct a bridge. Later, due to severe flooding, if the bridge washes into the water, the issue may be called and the bondholders will be paid back with insurance proceeds.*

Both partial and in-whole calls must be disclosed to a client prior to a bond's purchase and noted on the confirmation. However, due to the unlikelihood of occurrence, catastrophe calls are exempt from the disclosure requirement.

Refunding Refunding involves an issuer selling a new bond and using the proceeds to pay off a bond that's currently outstanding. Refunding usually benefits issuers by providing them with the option of calling back the outstanding bonds due to a decline in interest rates. Ultimately, if interest rates do decline, the issuers are able to refinance their debt at a lower rate of interest. This is similar to the process that homeowners may use to refinance their mortgages once mortgage interest rates drop.

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With bonds, if an issuer's outstanding bonds have a 9% stated rate of interest, but current market interest rates have fallen to 6%, the issuer may reduce its interest costs by calling back the 9% bonds and issuing new bonds with a 6% interest rate. On the other hand, if interest rates rise, the issuer is unlikely to call the bonds.

Since issuers tend to redeem bonds early due to falling interest rates, the bondholders are unlikely to be able to reinvest their money and achieve the same rate of return that they had been receiving. For example, if an investor's 9% bond was called, she may be forced to invest her money in a bond that's paying only 6% or seek a riskier investment in order to continue generating the same return. For that reason, early payment (call risk) also exposes an investor to reinvestment risk.

Prerefunding If an issuer intends to lock in a lower rate *prior to a scheduled call date*, it may choose to prerefund its outstanding issue. (Prerefunding is also referred to as *advance refunding.*) The new issue being sold is considered the *refunding issue*. The proceeds of this new issue are typically invested in government securities and are deposited in a bank. An escrow agreement is signed and the bank ensures that the securities on deposit, along with their earnings, will be available to pay the interest and principal on the outstanding issue. At this point, the original issue is considered to be *prerefunded.*

Since the original issue is now secured by government securities that are held in escrow, the issuer is no longer responsible for payment of interest and principal on these bonds. Also, the original rights and liens the bondholders had under the *indenture (bond agreement)* are eliminated. This elimination of the issuer's responsibility for the offering and the elimination of the bondholder's rights is referred to as *defeasance*. Ultimately, the creditworthiness of the offering is enhanced and there's an increase in the bond's market value due to its increased quality.

The term *current refunding* refers to a bond issue that's issued no more than 90 days before the final payment of principal and interest. However, if the refunding issue is issued more than 90 days before the final payment of principal and interest, it's referred to as an *advance refunding* issue.

Escrowed-to-Maturity (ETM)/Escrowed-to-Call (ETC) When money is deposited into an escrow account and used to pay off a bond at its maturity date, it's referred to as being *escrowed-to-maturity*. However, if it's being paid off at a call date, it's referred to as being *escrowed-to-call.*

Crossover Refunding Crossover refunding is a form of advance refunding in which the revenue stream originally pledged to secure the refunded bonds continues to be used to pay debt service on the refunded bonds until they mature or are called. At that time, the pledged revenues "crossover" to pay debt service on the refunding bonds and escrowed securities are used to pay the refunded bonds. During the period when both the refunded and the refunding bonds are outstanding, debt service on the refunding bonds is paid from interest earnings on the invested proceeds of the refunding bonds.

Sinking Funds Many issuers establish a special fund—a *sinking fund*—into which they deposit funds each year in order to redeem their bonds. The funds may be used to either redeem bonds early or when they mature. Some bond indentures may require the establishment of a sinking fund or an issuer may choose to set one up independently.

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A sinking fund ensures that the debt will be retired in an orderly fashion and enhances the safety and the liquidity of the issue. A disadvantage for investors is the same as any call—the issuer may redeem the bonds at a time when interest rates are low, making it difficult for the bondholders to reinvest their money and receive a comparable rate of return. Issuers that have term bonds outstanding are more likely to establish a sinking fund since they may be interested in starting to save money to satisfy a large debt that comes due in 10, 20, or 30 years.

Extraordinary Call This call provision, which is found in many revenue bond offerings, can be optional or mandatory and is exercised by the issuer due to unusual or unforeseen events, including:

- The destruction or condemnation of the project which is the source of revenue for the bonds
- Tax law changes which alter the status of the issuer for a taxable bond
- A fire, flood, or other catastrophe
- Failure of the project that the debt was issued to finance
- A failure of the issuer to appropriate the funds necessary to pay debt service on lease rental bonds or certificates of participation
- Mortgage prepayments on housing bonds

Municipal bonds with this feature can be called away at any time which may require the investors to reinvest their principal at lower rates. Extraordinary call provisions are disclosed in the official statement.

Mandatory Call In some cases, a bond issue may require a mandatory redemption if the assets being used to collateralize the issue become undervalued. For example, let's assume than an issuer has pledged $50 million of securities as collateral and has issued $35 million of bonds against this collateral. The trust indenture may have a provision which stipulates that if the asset value declines by 20%, the issuer is required to deposit additional collateral in order to bring the collateral value back to the original level. If the issuer cannot deposit the necessary collateral, there will be a forced redemption of some of the bonds. In this example, if the market declines and the asset value of the collateral drops to $40 million or less, the issuer can either deposit $10 million of additional securities or redeem $10 million of the outstanding bonds (i.e., a mandatory call feature provides adequate protection for the bondholders).

Put Provisions

Bonds may also be issued with a *put provision*, which is the opposite of a call provision. This feature gives the *bondholder* the right to redeem the bond on a specified date(s) prior to maturity. The bondholder typically receives the bond's par value, but the bond may also be redeemable at a discount or premium. A put provision is a benefit to bondholders, since it allows them to redeem the bonds if interest rates rise and to then reinvest their money elsewhere.

To give investors an incentive to purchase callable debt, the yield on bonds with a call feature will be higher than the same bond that was not callable. Yields will generally be lower for bonds with a put feature since bondholders have the ability to redeem their bonds and reinvest the principal if interest rate rise.

Yield-to-put is the yield that's calculated when the bond is put back to the issuer (or its agent). Prior to the bond's issuance, the issuer and the investor will have agreed on a specific date on which the put option can be exercised. This calculation includes the principal amount that's returned to the investor and the semiannual interest payments up to the put date.

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Tender Option Tender option bonds are also referred to as put bonds. The holders of put bonds have the option to tender their bonds to the issuer or another entity that's acting on behalf of the issuer at par plus accrued interest on a specified date. If the bonds are not put back, the holders typically retain this option for each interest payment date thereafter. Some tender option bonds have a mandatory provision that requires the bondholders to surrender their bonds based on a certain date or the occurrence of an event.

Open Market Purchase

Making an *open market purchase* is another redemption option that's available to the issuer. In this case, the issuer can redeem bonds by repurchasing them in the open market. For example, let's assume that an offering has a mandatory sinking fund call feature and 5% of outstanding bonds must be retired this year. The issuer can call 5% of the issue or, if interest rates have risen (causing the prices of its existing bonds to fall), the issuer can purchase the bonds in the open market at price that's lower than the call price.

Advantages and Disadvantages Call provisions are advantageous to the issuer (since it can refinance if rates decline), but disadvantageous to the bondholders (since they're forced to reinvest the proceeds at lower rates). Put provisions or tender option bonds are advantageous to the bondholders (since they receive par value despite the fact that the bonds are selling at a discount), but disadvantageous to the issuer (since it will buy the bonds at par value if rates increase and the bonds are selling at a discount).

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Chapter 2

Types and Analysis of Municipal Securities

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Introduction

Municipal bonds are issued by states, territories and possessions of the United States, as well as other political subdivisions, such as counties, cities, or school districts. Public agencies, including authorities and commissions, may also issue municipal bonds.

Municipal issues are exempt from the filing provisions of the Securities Act of 1933 and are therefore not registered with the SEC. However, municipal securities are not exempt from the anti-fraud provisions of the Act.

General Obligation (G.O.) Bonds

A general obligation bond is secured by the full faith, credit, and taxing power of the issuer. Only issuers that possess the ability to levy and collect taxes may issue general obligation bonds. Essentially, state or local governments are able to issue general obligation bonds based on *statutory* or *constitutional powers*.

A statutory power is a law that's passed by a state or local government which allows for the sale of the security. These laws can be amended by legislative action. Constitutional powers to issue general obligation bonds are derived from the state constitution—a law or statute is not required to be passed first. These statutory and constitutional powers can also limit the amount of debt an issuer is able to incur.

State general obligation bonds are usually secured by income, sales, gasoline, excise, and other taxes that are collected on the state level. For local jurisdictions, such as counties and cities, the most common taxing power is on property. An *ad valorem tax* (property tax) on the assessed value of real estate is the source of funds the local government uses to support its expenses and debt (G.O. bonds). School taxes are also charged at the local level.

As stated, property tax is based on the assessed value of property and the tax rate levied. The tax rate is expressed in terms of mills. One mill equals 0.1% of the assessed value, which equates to a tax of $1 per $1,000 of assessed value. If expressed as a decimal, one mill equals .001.

> *For example, a taxpayer owns property that's assessed at $300,000 and is subject to a tax of 7 mills. This results in property tax of $2,100 ($300,000 x .007 or 300 x $7).*

In addition to the different taxes, *non-tax revenue* (e.g., parking fees, park and recreational expenses, and licensing fees) can be used to pay the debt service on G.O. bonds.

Certain governmental entities, such as school districts, have a legal limit on the tax rate that they can levy. Bonds that are issued by these entities are referred to as *limited tax* general obligation bonds. *Unlimited tax* bonds are issued by government units that have no legal limitation on their power to tax.

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Analyzing General Obligation Bonds

Unlike U.S. Treasury debt, municipal securities do carry default risk. When evaluating the risk of default for a general obligation bond, analysts will consider the following factors:

- The overall economic health of the community including changes in property values, its largest employers, average income, and demographic factors
- The tax burden and source of payments
- The budgetary structure and financial condition of the issuer
- Existing debt using measures such as debt per capita and overlapping debt (described later)

Demographics The issuing municipality's population is an important indicator of a bond's quality. Since many general obligation bonds are dependent on property tax revenues, a growing population is a sign of economic strength, whereas a declining population may signal a deterioration in the tax base and therefore a weak economy. (Although a city may lose population to its suburbs, it may still retain its economic strength as a place of employment.)

Geography (where a bond is issued) plays an important role in analyzing GO bonds. If an area of the country (e.g., the industrial northeast) is experiencing negative population trends, that's a factor that may cause concern for the agency that's providing the rating of a bond.

Analyzing the specific industries that constitute the community's employment is another important demographic factor to examine. Diversification of economic activity signals economic strength, as it indicates that a municipality is not dependent on any one industry (e.g., computer technology). A mixture of new, growing companies and reliable, established companies is a desirable combination when analyzing a general obligation issue.

Nature of the Issuer's Debt Examining the *fiscal responsibility* of the issuer's past attitudes towards debt will be an indicator of the issuer's present, and possibly future, ability to engage in fiscally sound behavior. Important indicators are whether the issuer has maintained a balanced budget over the last five years and how well the issuer has maintained fund reserves.

Analyzing the municipality's *debt trend* must also be considered. If a community uses debt to support the growth of its suburbs (by building roads and schools needed to support that growth), debt is not necessarily bad. Conversely, issuing debt to finance budget deficits or to increase spending in a weak local economy may be an indication of unwise fiscal policy.

Another aspect in the analysis of the debt is the *schedule of debt repayment*. A serial bond issue (which has staggered maturities) will provide greater flexibility to meet debt requirements than a term issue (which has one maturity date), because serial maturities can be organized to coincide with expected revenues.

Future financing also plays a part in analyzing general obligation issues. Issuers that borrow now to finance school improvements or new water systems for expected increases in the future, may be better off than municipality's that wait until it's too late to support an over-burdened infrastructure.

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Fiscal Responsibility The soundness of the budget process is critical because it shows how well the particular governmental entity is managing its fiscal affairs. Fiscal responsibility, such as balancing the budget, creating rainy-day funds for use in business cycle downturns when fewer tax receipts are collected, a string of budget surpluses over five years, and reducing expenditures by monitoring the conditions on which services are provided, are issues to consider when analyzing G.O. bonds.

Financial Condition A strong financial condition depends on sound budgetary practices. How well public officials manage in times of economic and financial stress is particularly important to the credit quality of an issuer. A sound financial condition means that the governmental entity is able to meet all of its obligations to creditors, employees, taxpayers, suppliers, and others, as they come due. Measuring the financial resources that are necessary to make payments determines the financial condition.

Unfunded Pension Liabilities Another factor to examine is the municipality's pension fund. The existence of *unfunded pension liabilities* (the money available is less than the amount that's required to pay projected pensions) will have a negative impact on the quality of the issuer's debt.

Tax Issues A community's *tax limitations* must be examined in addition to budget considerations. Attempts to limit a municipality's taxing power will positively influence general obligation bonds, as projected revenues will service the already-issued debt; fiscal responsibility is imposed and the creditworthiness of the issuer is enhanced.

Since most general obligation issues are secured by property taxes, the *tax collection record* of the community is an essential component of quality analysis. A poor collection record may be a red flag which indicates an inefficient local government and result in bonds with low credit ratings.

Another red flag or negative trend that impacts an issuer's credit is whether property taxes were increasing in the face of a declining population, if there was an increasing tax burden on the community in comparison to other regions, or if general obligation debt was increasing and property values remained stagnant.

Other Considerations If a community is involved in a lawsuit, any liability that a municipality is obligated to pay will place a large financial burden on the community. This *litigation* may negatively affect the community's ability to pay the debt service on outstanding bonds and will be a relevant factor to consider when analyzing the issue. Conversely, the receipt of non-tax revenues, such as federal payments for education, may serve to enhance the community's ability to pay the required debt service.

Tracking trends in *real estate valuation* provide a good indication of a community's health. Analysts concentrate more on the market value of real estate rather than the assessed value. Estimating the revenues available to a general obligation bond involves the community's full evaluation, percentage of assessed value that's taxable, and the tax rate (millage rate).

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For example, a community that has a full valuation of $250,000,000, a 40% basis of assessment, and a millage rate of 20 produces $2,000,000 in property tax.

$250,000,000	x	40%	=	$100,000,000
(full valuation)		(basis of assessment)		

$100,000,000 x .02 (remember, 1 mill = .001) = $2,000,000

The Debt Statement A critical tool that's available to those analyzing the debt of a municipality is the debt statement. The various components are listed below:

- *Direct Debt:* All of the debt (bonds and notes) that's issued by the municipality.
- *Net Direct Debt:* The direct debt (all issues) minus any self-supporting debt, such as revenue issues and note issues. In general, the net direct debt is only general obligation debt (bonds supported by taxes).
- *Overlapping Debt:* Debt of a political entity (e.g., a county or school district) where its tax base overlaps the tax base of another political entity (e.g., a city or town within a county or school district).

  For example: Broward County, Florida issues a general obligation bond that's secured by the assessed value (property tax) within Broward County. The city of Fort Lauderdale lies within Broward County. Part of the assessed value that secures the county debt lies in Fort Lauderdale, so that the county's debt overlaps Fort Lauderdale. Fort Lauderdale is therefore responsible for a portion of the county's debt.

  Another example of overlapping debt involves the debt of a school district that's comprised of one or more cities or towns. When examining the debt of a city, if a city and school district lie within the same boundaries, they're considered to be coterminous and the school district's debt must be shown as overlapping debt.
- *Total Bonded Debt:* The sum of both the long- and short-term debt of a municipality, plus its applicable share of overlapping debt.

To assist analysts in comparing the debt of different communities, the ratio of debt to different factors are used. Typically, the analyst will use the ratio of net direct debt plus overlapping debt (net overall debt) to assessed value or to population (debt per capita). An analyst could also use the ratio of *annual debt service-to-tax and other income* to assess the quality of a G.O. issue. A high ratio indicates a decreasing margin of safety to repay principal and interest. If the debt service increases and tax and other income remain stagnant or decrease, there are fewer funds available to pay the debt service.

Revenue Bonds

Revenue bonds are issued for either projects or enterprise financings in which a bond issuer pledges to bondholders the revenues that are generated by the financed project. Issuers of revenue bonds can be authorized political entities, such as state or local governments, or an authority (e.g., the Port Authority of New York and New Jersey), or a commission that's created to issue bonds and build and operate a project.

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Revenue bonds can be used to finance airports, water and sewer systems, bridges, turnpikes, hospitals, and many other facilities. Concessions, tolls, and user fees that are associated with the use of these facilities are used to make interest and principal payments on the bonds.

Another source of revenue could originate through rental or lease payments. An example of this occurs when a state creates a non-profit authority to issue revenue bonds to build a school. The local government using the school will lease the facility from the authority. The lease payments are used by the issuer to pay interest and principal.

Revenue bonds can be issued when voter approval for general obligation bonds cannot be obtained. Revenue bonds can also be used to finance capital projects when statutory or constitutional debt limitations prevent a municipality from issuing general obligation bonds.

Types of Revenue Bonds

Revenue bonds are generally characterized by the project that the bond will be financing or by the source(s) backing the bond. The following list summarizes some of the different types of revenue bonds.

Housing Bonds These are tax-exempt bonds that are issued by state and local governments and commonly referred to as mortgage revenue bonds (MRBs) and multifamily housing bonds. Issuers use the proceeds to finance low-cost mortgages for lower income first-time homebuyers or for the creation of apartments with rents that are affordable for lower-income families. Each state's annual issuance of housing bonds is capped. MRB mortgages are restricted to first-time homebuyers who earn no more than the area median income (AMI). The price of a home that's purchased with an MRB mortgage is limited to 90% of the average area purchase price.

Housing Finance Agencies (HFAs) also use their MRB authority to issue mortgage credit certificates (MCCs), which provide a non-refundable federal income tax credit for part of the mortgage interest that qualified home buyers pay each year.

Housing bonds are secured by the revenue received from the mortgages being paid by the owners of the property (interest and principal repayment). This creates uncertainty for bondholders since the issuer may call in bonds as these prepayments occur.

Some of these bonds are taxable, some are tax-exempt [such as qualified 501 (c)(3) bonds], and some are subject to the AMT.

Super Sinkers These are forms of housing bonds. Typically, housing bonds are issued as term bonds. In many cases, one issue may have several term maturities and may be called at any time. However, these bonds offer little or no call protection to investors. As homeowners refinance and sell their homes, principal payments increase (prepayments). A super sinker issue represents the first bonds that are called from these prepayments (the prepayments are deposited into the sinking fund). This is similar to a mortgage-backed security, which means that these bonds are likely to be called prior to maturity. In other words, the investor will receive the par value prior to maturity. For this reason, super sinkers offer long-term rates, but trade like short-term securities. For example, a 30-year bond may be called in as few as five to seven years.

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Utility Revenue Bonds These bonds are used to finance gas, water and sewer, and electric power systems that are owned by a governmental unit. The bonds are normally backed by the user fees being charged to customers. When assessing the credit risk, environmental factors and the growth rate of the area served by the utility are important.

Health Care Revenue Bonds These bonds are used for the construction of non-profit hospitals and health care facilities. The bonds typically pay their debt service out of gross revenue (i.e., revenues received will be used for debt service prior to deductions for any costs or expenses). In some cases, the existence of nearby competing facilities will influence the quality of the bonds.

Transportation Bonds These bonds are used to finance projects such as bridges, tunnels, toll roads, airports, and transit systems. The user fees (e.g., tolls) are used to pay the debt service on the bonds. When analyzing bridge, tunnel, and turnpike bonds, the investigation must include the availability of fuel and the existence of competing non-toll facilities. In addition, the analysis of airport revenue bonds must investigate the level of tourism in an area, fuel costs, and competing airports.

Industrial Development Revenue Bonds (IDB) and Pollution Control Revenue (PCR) Bonds These bonds are issued by a municipality and are secured by a lease agreement with a corporation. The bonds are issued to build a facility for a private company. The credit risk on these types of bonds is based on the corporation's ability to make lease payments since the municipality doesn't back the bonds.

Special Tax Bonds These bonds are payable only from the proceeds of a special tax. An example of a special tax bond includes a highway bond that's payable from a gasoline tax.

Special Assessment Bonds These bonds are backed by charges which are imposed against the properties that receive specific benefits. Examples include sidewalks as well as water and sewer systems. The debt service is paid based on the value of the benefit being received or on the valuation of the property. Ultimately, the higher the value of the property, the greater the benefit and the greater the assessment for the property owner.

Moral Obligation Bonds These bonds are first secured by the revenues of a project; however, if revenues are not sufficient to pay debt service requirements, the state (or state agency) is morally obligated (but not required) to provide the necessary funds. These bonds need *legislative approval* by the state government since the state government is agreeing to make up the difference of any needed funds.

Education Bonds These bonds are secured by the repayment of loans by students, money contained in the fund that's established by the bond's indenture, and insurance payments that are made by the state or federal government.

Lease Rental Bonds These bonds involve one municipal entity leasing a facility from another. For example, a state building authority may issue bonds to build a college dormitory and then lease the dorm to the college. The bond that's issued by the building authority will be paid from revenues which are in the form of lease payments received from the college. If the lease payment is subject to an annual budgeting process, credit risk is tied to the willingness of the issuer to annually budget these payments. In addition to facilities, lease rental bond proceeds could be used for equipment, such as cars and trucks, computers and software, office equipment, and telecommunication equipment.

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Certificates of Participation (COPs) A Certificate of Participation (COP) is a type of lease financing agreement and is typically issued in the form of a tax-exempt or municipal revenue bond. Traditionally, COPs have been used as a method of monetizing existing surplus real estate. This financing technique provides long-term funding through a lease that doesn't legally constitute a loan, thereby eliminating the need for a public referendum or vote.

Taxable Municipal Bonds In some situations, municipality may not be able to issue bonds that are exempt from federal income tax. This may occur if the use of the proceeds doesn't meet federal tax law requirements. Some examples include the proceeds being used to build a sports facility, certain types of housing, and borrowing funds to replenish a municipality's unfunded pension liabilities. These bonds will have higher yields and may be suitable for taxable investors, such as pension funds and foreign investors.

Build America Bonds (BABs) Build America Bonds (BABs) are municipal bonds that were issued under the American Recovery and Reinvestment Act of 2009 (ARRA). Although the BAB program officially ended in 2010, a student should still be aware of their fundamental characteristics. BABs were designed to assist municipal issuers in raising funds for certain infrastructure projects; they were issued for capital expenditures, not for working capital. The interest on these bonds is taxable, but the Treasury offers a tax incentive to either the issuer or the bondholder depending on whether the bond is a tax credit bond or a direct pay bond. A *Tax Credit Bond* allows the bondholder to receive a credit against their federal income tax in lieu of an interest payment. The objective was to broaden the appeal (increase the demand) of municipal securities to taxable fixed income investors.

Direct Pay Bonds were issued by municipalities to raise capital for all of the traditional purposes except for refundings, private activity bonds, and 501(c)(3) borrowers. The Treasury reimbursed 35% of the interest paid on the bonds to the issuer, which helped to defray the costs of borrowing. For example, if a municipality issued a BAB at a taxable rate of 6.25%, the issuer received 2.19% (6.25% x 35%) annually from the U.S. Treasury. The net amount of interest the issuer paid was equal to 4.06% (6.25% – 2.19%).

Despite the fact that Build America Bonds are taxable, they were issued by municipal governments and subject to MSRB rules. Broker-dealers that were involved in the underwriting of these bonds were required to provide official statements (MSRB Rule G-32) and all sales activities had to be supervised by a Municipal Securities Principal.

501(c)(3) Organization Under IRS guidelines, a 501(c)(3) organization is a not-for-profit entity such as an educational, charitable, or religious entity. Examples include a not-for-profit retirement community or low-income housing project, a not-for-profit college or university, and a hospital that's owned by a religious organization. The issuer of these bonds is an agency or authority (e.g., the New York State Dormitory Authority), while the beneficiary is a 501(c)(3) not-for-profit organization (e.g., Cornell University). The payments and credit strength of these bonds are based on the 501(c)(3) borrower, not the issuer.

Double-Barreled These bonds are backed by a specific revenue source (other than property taxes) as well as the full faith and credit of an issuer that has taxing powers. Normally, a combination of tax dollars and revenue dollars from the project being constructed will be used to pay the debt service on the bonds.

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Essentially, a double-barreled bond is a municipal security that's paid from the revenues of a project and is also a general (binding) obligation of a municipal government. On the other hand, a moral obligation bond is a municipal revenue bond that's payable by the state if revenues from the project don't satisfy debt service payments. However, the state is not legally obligated to make these payments.

Advance Refunded Municipal Bonds These bonds—also referred to as *prerefunded* or *defeased* bonds—are outstanding obligations that have been collateralized by U.S. government securities. These bonds are usually paid off on their next call date.

Escrowed-to-Maturity Bonds Escrowed-to-maturity municipal bonds are secured in the same manner as refunded bonds, but they don't have a call feature. For that reason, these bonds remain outstanding until they mature.

Parity Bonds These bonds exist when two or more revenue bond issues are backed by the same revenue pledge.

Analyzing Revenue Bonds

When analyzing a revenue bond issue, it's not necessary to look at the tax base or the tax collection record since taxes are not the source of payments to the bondholders. One of the most important factors to consider when analyzing revenue issues is the comparison of the money available and the amount of debt service (total interest and principal owed to bondholders).

Debt Service Coverage Almost all revenue issues pledge net revenue to pay the bondholders. This means that operating and maintenance expenses are first deducted from the project's gross revenues before being applied to debt service. The ratio of net revenue (gross revenue minus operating and maintenance expenses) to debt service is referred to as the *debt service coverage ratio*. This ratio is one of the most important factors used when analyzing a revenue issue. For example: A revenue issue shows the following financial data:

Annual Debt Service	$3,000,000
Annual Gross Revenue	$8,000,000
Annual Operating and Maintenance Expenses	$2,000,000

To find net revenue, subtract operating and maintenance expense from the gross revenue ($8,000,000 revenues – $2,000,000 expenses = $6,000,000 net revenue).

The debt service coverage ratio is found by dividing the net revenue by the debt service ($6,000,000 net revenue ÷ $3,000,000 debt service). The debt service coverage ratio is 2-to-1 which is considered adequate.

Covenants In addition to the debt service coverage ratio, there are various provisions in the bond's *indenture* (also referred to as the *trust indenture* or *bond resolution)* that should be examined when analyzing revenue bonds. The indenture is a contract between the borrower (the issuer) and the lender (the trustee that represents the bondholders' interests). The indenture includes a variety of provisions that establish the issuer's responsibilities and the bondholders' rights. Since the indenture describes the legal protections that are afforded to bondholders, it's essential to analyze some of the provisions (e.g., the *flow of funds* and the various *covenants).*

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Some of these covenants (pledges or promises) are:

- *Rate Covenant* The issuer pledges to maintain rates at a level sufficient to meet operation and maintenance costs, debt service, and certain reserve funds.
- *Maintenance Covenant* The issuer pledges to maintain the project in good working order.
- *Insurance Covenant* The issuer pledges to carry insurance on the property.
- *Financial Reports and Audits* An accounting firm will be retained to do an outside audit and the issuer pledges to maintain proper records. This avoids the possibility of the misuse of funds.
- *Issuance of Additional Bonds* If there's a closed-end indenture, no additional bonds that have an equal claim on the pledged revenues may be issued against the same security. If there's an open-end indenture, additional bonds may be issued in the future for expansion of the project. Typically, before additional bonds can be issued, the project must meet certain earnings tests.
- *Non-Discrimination Covenant* The issuing body pledges not to grant special rates to any person/group.

Flow of Funds Most revenue bonds have a series of funds (or accounts) which provide for the security of the bonds as the funds are used to pay for operations and debt service and to establish reserves. Found in the bond's indenture, the *flow of funds* describes the priority for disbursing the revenues generated by the facility. To accomplish this, the indenture will establish accounts into which monies will be deposited. Revenues generated by the project fill each of the funds to a prescribed level and then flow to the next fund. The flow of funds described below is typical of most revenue bonds.

- *Revenue Fund* The account where all receipts and income (gross revenues) are deposited and recorded.
- *Operation and Maintenance Fund* A prorated amount is deposited to meet costs of operating and maintaining the project. Occasionally, there are enough funds deposited to set up a reserve.
- *Debt Service (Bond Service) Fund* Amounts are deposited that will be sufficient to pay semiannual interest and maturing principal.
- *Debt Service Reserve Fund* Money is apportioned here after annual debt service is ensured. These funds are used only if the debt service fund itself is insufficient to meet annual payments.
- *Reserve Maintenance Fund* Money is allocated to this fund to meet unexpected maintenance expenses.
- *Replacement and Renewal Fund* Based on the engineer's reports, funds are deposited to meet new equipment and repair costs.
- *Sinking Fund* Money is accumulated to retire bonds prior to maturity. If there's a mandatory sinking fund provision in the indenture, this fund will receive money prior to the replacement fund. An issue with a mandatory sinking fund will retire a portion of the issue prior to its stated maturity. Since the entire issue will not reach maturity, the issue will have an average life that's less than the stated maturity.
- *Surplus Fund* Excess money will be placed in this fund and can be used in emergencies.
- *Construction Fund* Money is allocated here for the use of future construction.

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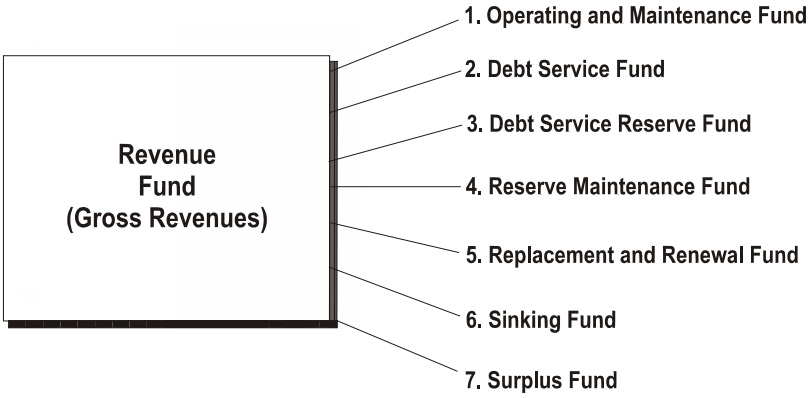
The order of the first three funds is important. If net revenues (gross revenues less operating and maintenance expenses) are pledged toward paying debt service, the bond is considered a *net revenue issue*. If gross revenues are pledged to pay debt service (where debt service is paid first, before the operation and maintenance fund), it's considered a *gross revenue issue*. After the first three funds, the order may vary. The following is a typical flow of funds for a net revenue issue:



	General Obligation (G.O.) Bonds	Revenue Bonds
Who issues ...	States and local municipalities	States or local governments, an authority, or agency
Issuance requires ...	Voter approval	Feasibility study
Source of funds backing bonds ...	Taxes ▪ State GOs secured by income, sales, and other state collected taxes ▪ Local GOs secured by property tax (ad valorem tax on assessed property value)	Collected revenues generated by the financed project ▪ Concessions ▪ Tolls ▪ User fees ▪ Rental or lease payments
Bonds provide funding for ...	General operating expenses of a municipality and capital improvement projects, such as roads, parks, schools, government buildings	Airports, water and sewer systems, bridges, turnpikes, hospitals, etc.
Analysis should consider ...	▪ Economic character of community ▪ Assessed property values ▪ Employment rates ▪ Industries that constitute the community's employment ▪ Issuer's fiscal responsibility ▪ Existence of unfunded pension liabilities ▪ Debt statement	▪ Debt service coverage ratio ▪ Bond's indenture ▪ Covenants ▪ Flow of funds

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Bond Ratings

Credit risk is a significant factor when purchasing fixed-income securities. This is the risk that the issuer may default and be unable to meet its obligations to pay interest and principal to the bondholders. Not surprisingly, issuers that are considered poor credit risks must pay a higher rate of interest in order to induce investors to purchase their bonds.

Securities that are issued by the U.S. government are considered to have no credit risk. This is because they're backed by the government's ability to tax and print money, which is virtually unlimited. Credit risk is difficult for investors to determine on their own, especially when the issuer is a corporation or a lesser governmental unit, such as a state or municipality. Consequently, most investors and their advisers rely on an organization that specializes in analyzing the creditworthiness of securities.

Moody's, Standard & Poor's, and *Fitch Investors Service* are some of the prominent companies that rate bond issues. Each company emphasizes the risk of default in determining its ratings. An issuer must request and pay for an analysis of its issue. Once a rating is assigned, it will be reviewed periodically and updated by the rating service and may be raised or lowered. A lowered credit rating can cause a bond's price to drop significantly.

Below are the ratings of Moody's, Standard and Poor's, and Fitch from the highest to the lowest:

		Moody's	S&P	Fitch
Investment Grade	Best Quality	Aaa	AAA	AAA
	High Quality	Aa	AA	AA
	Upper Medium	A	A	A
	Medium	Baa	BBB	BBB
Speculative Grade		Ba	BB	BB
		B	B	B
		Caa	CCC	CCC
		Ca	CC	CC
		C	C	C
			D	DDD
				DD
				D

For bonds that are issued by corporations, Moody's further subdivides each major rating category by using a 1, 2, or 3, with 1 being the highest. For example, Aa1 is higher than Aa2, which is higher than Aa3.

Standard & Poor's uses a minus (–) and plus (+) to further distinguish between ratings. For example, A^+ is better than A, which is better than BBB+, which is better than BBB.

It's important to note that only relatively large issues are rated. This doesn't mean that an unrated issue is of poor quality; instead, it may be too small to apply for and be given a rating.

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Investment-Grade versus High-Yield (Junk) Bonds

Securities that are rated Aaa to Baa or AAA to BBB are considered investment grade securities. These bonds are suitable for most investors since their risk of default is relatively low. Securities that are rated Ba or BB and below are considered speculative. The lower the rating, the greater the chance of default. (A rating of D means that the issuer is actually in default.) Bonds that are rated below Baa or BBB are also considered high-yield or junk bonds.

Credit Enhancements

A security is considered to be enhanced when its credit is reinforced. The following are some factors that supplement the credit rating of municipal bonds.

Letters of Credit *Letters of Credit* (LOCs) are used in the municipal bond market to enhance the credit of a bond issue. If there's a perceived weakness in the issuer's ability to meet its debt obligations, a bank may issue a letter of credit, substituting the bank's ability to pay interest and principal for the issuer's ability. The letter then serves to enhance both the credit and liquidity of the issue.

Advance Refunded Another credit enhancement for a municipal bond issue is if it's been *advance refunded*. As described earlier, this occurs when the debt service on a bond is replaced before the original call date by issuing refunding bonds.

Insured There are a number of insurance companies or groups that currently insure new issues of municipal bonds. When a policy is in effect, the insurer agrees to pay all interest and principal if, for any reason, the issuer fails to pay these costs. The issuer will pay a fee to the insurer, but the cost is offset by the issuer's ability to pay a lower coupon. Moody's and Standard & Poor's will usually assign a higher rating to an issue that's insured.

Guaranteed Investment Contract (GIC) A *Guaranteed Investment Contract* allows municipal issuers to invest the proceeds of bond sales at a guaranteed rate of return for a specified period of time with a guarantee of principal and interest earnings. The purpose is to reduce market risk, investment risk, and provide a higher return than an investment in Treasuries. (In some cases, the return can be more than 30 basis points higher.)

Municipal Notes

Municipal notes are short-term issues that are normally used to assist in financing a project. They may also be issued to help a municipality manage its cash flow. Municipal notes are interest-bearing securities that pay interest at maturity.

- *Tax anticipation notes (TANs)* are issued to finance current municipal operations in anticipation of future tax receipts from property taxes. TANs are typically general obligation securities.
- *Revenue anticipation notes (RANs)* are issued for the same purpose as TANs except that the anticipated revenues are typically federal or state subsidies. RANs are also usually general obligation securities.
- *Tax and revenue anticipation notes (TRANs)* are created when TANs and RANs are issued together.

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- *Bond anticipation notes (BANs)* are issued to obtain financing for projects that will eventually be financed through the sale of long-term bonds.
- *Grant anticipation notes (GANs)* are issued in expectation of receiving funds (grants) from the federal government.
- *Construction Loan Notes (CLNs)* are issued by municipalities to provide funds for construction of a project that will eventually be funded by a bond issue.

Investors can also purchase other tax-free money-market instruments, such as *tax-exempt commercial paper* and tax-free money-market funds. Tax-exempt commercial paper has a maximum maturity of 270 days and is normally backed by a bank line of credit.

Other Short-Term Municipal Securities

Auction Rate Securities Auction rate securities have a variable interest or dividend rate that's set periodically through a single price or "Dutch Auction" process. Auction rate securities are long-term securities that are marketed as short-term investments. They are generally issued by municipalities, corporations, student loan organizations, and closed-end funds as either bonds or preferred stock. They have also been called "Auction Market Preferred Stock", "Variable Rate Preferred Securities", "Money Market Preferred Securities," and "Periodic Auction Rate Securities."

The interest or dividend rate is reset at established intervals, typically 7, 28 or 35 days, based on an auction in which investors who already hold the security indicate their interest in continuing to hold, or selling it while investors who want to acquire the security indicate their interest at rates that they specify to broker-dealers that have been appointed to participate in auction. Although different bids may be submitted, all investors who are able to purchase the securities receive the same rate (i.e., *the clearing rate*).

The auction procedures set forth in most offering documents permit three types of auction orders to be placed:

- **Hold Order:** A holder may indicate to the auction dealer the amount of the security that she wants to continue to hold regardless of the clearing rate that's set by the auction. This type of order may be referred to as a "roll" order. If a holder of securities doesn't place an order, the auction procedures generally provide that the holder will be deemed to have elected to continue to hold the securities regardless of the clearing rate.
- **Bid:** A prospective holder/owner may indicate to the auction dealer that she wants to acquire a specified amount of the security, at or above a desired interest or dividend rate. A current holder may indicate their desire to continue to hold only if the rate is set at or above a specified rate. If the clearing rate sets below the interest or dividend rate that the holder or prospective holder specifies in their bid, the holder will be required to sell the securities subject to her bid, and the prospective buyer will not acquire the securities. Auction dealers refer to bids by prospective holders as "buy" orders and bids by holders as "roll-at-rate" orders.
- **Sell Order:** If a holder wants to sell a specified amount of the security in the auction without regard to the clearing rate that's set in the auction, she places a "sell" order with the auction dealer.

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Auction dealers use the term "exposed for sale" to refer to the total amount of securities that's the subject of sell orders and roll-at-rate orders. Based on the submitted bids, the auction agent will set the next interest rate as the lowest rate to match supply and demand.

After the deadline for submission of orders, the auction agent assembles all of the orders from lowest to highest bid and determines the clearing rate. The clearing rate is the lowest rate bid that's sufficient to cover all of the securities exposed for sale. However, if the quantity of bids is insufficient to meet the quantity that's exposed for sale, the auction is deemed to have failed. In this situation, the holders will continue to hold the securities and the interest rate will be set to the maximum rate allowed in the program documents. This rate is normally higher than the rate that would have cleared a successful auction.

These securities are usually sold as an alternative to other short-term money-market instruments. A registered representative (RR) must disclose to a client that, if the auction fails, the client may not have immediate access to her funds. The RR also has a duty to disclose to clients any material facts relating to the specific features of the auction rate securities and the clients' need for liquid investments when recommending this type of product.

Variable Rate Demand Obligations (VRDOs) Another type of long-term security which is marketed as a short-term investment is a VRDO. A variable rate demand obligation will adjust its interest rate at specified intervals (daily, weekly, monthly) and, in many cases, allows the owner to sell or put the security back to the issuer or a third party on the date that a new rate is established. The investor will receive the par value plus accrued interest.

It's important to understand the difference between a VRDO and auction rate municipal securities. Although they are both long-term securities with short-term trading features, only VRDOs have a put feature that permits the holder to sell the securities back to the issuer or third party. Auction rate securities (ARS) don't have this feature and, if the auction fails, the investor may not have immediate access to her funds. In addition, ARS use an auction process to reset the interest rate on the securities, whereas the reset interest rate on a VRDO is set by the dealer at a rate that allows the security to be sold at par value.

Ratings for Municipal Notes

Moody's and Standard and Poor's not only issue ratings for fixed-income securities, they both also have a rating system for municipal notes.

Moody's has four rating categories for municipal notes and variable rate demand obligations (VRDOs). The first three ratings are considered Municipal Investment Grade (MIG) ratings (also referred to as Moody's Investment Grade), with the fourth considered a speculative grade. VRDOs receive ratings based on a variation of the MIG scale—the Variable Municipal Investment Grade (VMIG) system.

- MIG 1 (VMIG 1): Superior credit quality
- MIG 2 (VMIG 2): Strong credit quality
- MIG 3 (VMIG 3): Acceptable credit quality
- SG: Speculative grade credit quality

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Standard and Poor's has the following four rating categories for municipal notes:

- SP-1+: Very strong capacity to pay principal and interest
- SP-1: Strong capacity to pay principal and interest
- SP-2: Satisfactory capacity to pay principal and interest
- SP-3: Speculative capacity to pay principal and interest

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Chapter 3

Tax Considerations and Municipal Fund Securities

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Customer Suitability Considerations

When buying or selling a municipal security on behalf of a customer, there are three important aspects.

1. The security should be suitable for the customer
2. All relevant information concerning the security should be disclosed to the customer
3. The price at which the security is purchased or sold should be fair and reasonable

Under industry rules, all recommendations to customers must be suitable based on the facts that are disclosed by the customer regarding other securities holdings and their financial situation and needs. Remember, suitability is the determinant of fair dealings with customers, not profitability. A recommendation that results in a large profit may still be viewed by regulators as unsuitable. Conversely, a recommendation that results in a significant loss may, in fact, have been suitable. Greater detail on suitability will be covered later in this manual with MSRB Rule G-19.

Asset Allocation

Bonds as Part of an Asset Allocation For suitability purposes, exam questions may ask, "What percentage of a client's portfolio should be allocated to bonds?" Given the tradeoff between risk and reward, the general guideline is that customers should have an amount invested in debt (as a percentage of their overall portfolio) that's approximately equal to their age. Or, put another way, simply subtract a person's age from 100 to arrive at the percentage that should be invested in equities. For example, a 30-year-old may have 70% of her portfolio allocated to equities (100 – 30 = 70) and 30% allocated to bonds.

The following are sample allocation applications that are based on the age of a customer:

- A 25-year-old may want 25% of his portfolio allocated to fixed-income investments, with 75% allocated to equity securities.
- A 45-year-old may want 45% of his portfolio allocated to fixed-income investments, with 55% allocated to equity securities.
- An 80-year-old may want 80% of his portfolio allocated to fixed-income investments, with 20% allocated to equity securities.

Keep in mind, on exam questions, the percentages may need to be adjusted based on the financial profile and risk tolerance of an individual customer.

The interest earned by investing in municipal bonds is generally exempt from federal taxation and, depending on each state's laws, may be exempt from state or local tax. The higher an investor's tax bracket, the more beneficial it is to invest in tax-exempt municipal bonds. For that reason, understanding a customer's *financial profile* is necessary to determine whether municipal bonds are suitable investments.

Municipal bonds provide various benefits to investors such as the coupon (the semiannual interest payments that generate a constant stream of *income* for investors) and *liquidity* (the ability to readily convert the securities into cash). The most liquid municipal bonds have short maturities and high marketability.

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Safety of principal is also of importance to investors who are involved in municipal bonds. The debt service on municipal bonds is backed by the taxes or other revenues that support the bonds (including revenue from property tax, sales tax, tolls, or fees associated with a project). Additionally, credit enhancements may ensure the bond's quality.

Purchasing discount municipal bonds can also provide potential capital appreciation to investors. For high-risk investors who are interested in *speculation*, they can increase their investment income by purchasing lower rated municipal bonds that provide higher yields.

Diversifying Holdings Customers who want to diversify their municipal bond holdings may consider a number of factors.

Geography Geographical concerns are important since residents of a state may not be subject to state or local taxation if they purchase their state's bonds. On the other hand, if they purchase out-of-state bonds, they're likely subject to state and/or local taxation.

Timing Since there are such a wide variety of municipal bonds available on the market, it's possible to purchase municipals to suit specific timing needs. For example, purchasing zero-coupon bonds is an excellent way to save for a college education since all of the tax-exempt interest is paid at maturity. If future cash needs are uncertain, purchasing municipal bonds with different *maturities* will allow for additional flexibility.

Managing Risk for Fixed Income Securities Although fixed income securities offer a fixed rate of return, it's impossible to completely eliminate risk. However, it's possible to reduce risk and, in certain cases, actually take advantage of the market conditions that create the risks. The factors that an individual should consider in making investment decisions are essentially the same factors that are used to reduce risk to an acceptable level. Some of these factors and their relationship to reducing risk for fixed income securities are described below.

The Issuer The more creditworthy (higher quality) the issuer, the lower the credit risk. A measure of the issuer's creditworthiness is the rating that's assigned by a recognized rating service (e.g., Moody's or Standard and Poor's). The higher the issuer's rating, the lower the credit risk. Therefore, investors have some control over the level of credit risk being assumed when they purchase fixed income securities.

An issuer's creditworthiness can decline after the purchase is made which results in an increase in the credit risk. This increases an investor's capital risk (i.e., the risk that an investor will lose his principal due to a default). Also, both inflationary risk and interest-rate risk are inherent in all fixed income securities regardless of the issuer's creditworthiness.

Maturity Along with the issuer, the length of time to maturity is also an important factor when making an investment decision to purchase bonds. The longer a bond's maturity, the longer the investor is exposed to interest-rate risk. There's a much greater possibility of an increase in interest rates during a 20-year period than during a one- or five-year period.

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Longer maturity bonds are more affected by interest rate changes than shorter maturity bonds. If interest rates rise, the price of a long-term bond will decline much more than a short-term bond. Therefore, maturity selection is the prime factor in reducing interest-rate risk.

If an investor is able to forecast the direction of interest rate changes, he's able to take advantage of the movement. If the investor believes that interest rates will rise, he should invest in short-term bonds. This decision will serve two functions. First, the price of the bonds will decline less than long-term bonds and, second, the investor's principal amount will be repaid sooner and can be reinvested at the available higher rate. If the investor believes that interest rates will decline, he should invest in long-term bonds since there will be greater appreciation (the price will rise more) than for short-term bonds. Also, the investor will lock in a higher rate than what may be available at a later date.

Specific Issue The decision regarding the specific issue to purchase can reduce and, in some cases, eliminate call risk. If the specific issue is non-callable, call risk is eliminated. An issue that can be called after 10 years will present less call risk than a bond that can be called after five years.

Reinvestment risk can also be reduced or eliminated by a specific issue. The risk of being able to reinvest interest payments at the same rate as the yield-to-maturity is reduced as the amount of the interest payment is reduced. Reinvestment risk is eliminated altogether if interest payments are eliminated. A zero-coupon bond eliminates reinvestment risk because no interest payments are received by the investor.

Interrelationship of Factors In the process of reducing risk, an investor must keep in mind that the basic objective of investing in fixed-income securities is yield (both current yield and yield-to-maturity).

- Investing in high quality bonds will reduce credit risk, but will also reduce the investor's yield. The higher the quality (creditworthiness), the lower the yield.
- Bonds with shorter maturities will offer less interest-rate risk, but will also reduce yield since yield is directly related to maturity. Generally, the longer the maturity, the higher the yield.

In light of these interrelationships, investors must base their investment decisions on the level of risk that's compatible with the yield level that's acceptable.

Tax Considerations

An important factor to take into account when engaging in securities transactions is the tax implications. Since tax consequences and tax aversions differ from customer to customer, registered representatives must make recommendations that suit their customers' overall tax situations. An investor is required to pay income tax on earnings from an occupation, investment, or other source. These sources of income are taxed at the same rate as the individual's ordinary income.

The laws concerning taxation in the United States are very complex and constantly changing. In addition to paying taxes to the U.S. government (federal taxes), individuals may also be required to pay taxes to the state, county, and/or city in which they live. The remainder of this section will focus primarily on the areas of the tax code that affect municipal bonds and municipal bond transactions. This includes the collection of interest, as well as the gains and losses that are realized on transactions.

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Types of Income

The manner in which income is taxed is often a function of the source of that income. There are several types of income, including earned, passive, deferred, and investment (portfolio) income. Most income is taxed as ordinary income based on the individual's particular tax bracket. Ordinary income includes wages, interest, and qualified withdrawals from retirement plans. Taxes on assets that are bought and sold for a profit are taxed at a separate capital gain rate.

Earned Income Compensation that's received for providing goods or services is considered earned income. This includes wages, salaries, and commissions from employment. Earned income is taxed as ordinary income.

Investment (Portfolio) Income Investment income is derived from sources other than wages or salaries. Examples of investment income include interest received from bonds and bank deposits, as well as dividends received from common and preferred stocks.

Interest Income On interest-bearing securities, the taxation of interest differs according to the issuer. Interest earned on corporate securities as well as interest earned from a bank account is fully taxable (i.e., it's subject to federal, state, and local taxation).

Interest earned on obligations of the U.S. government is subject to federal tax, but is exempt from state and local tax. On the other hand, interest earned on municipal obligations (state or local) is exempt from federal tax, but may be subject to state and local tax depending on the purchaser bought an in-state or out-of-state municipal bond. In most states, investors are not required to pay state and local tax on bonds issued by government entities in the state in which they reside.

> *For example, a California resident who owns State of California GO bonds will not pay federal, state, or local tax on the interest earned from the bonds. However, a California resident who owns New York State bonds must pay California state tax on the interest that's earned from the New York State bonds.*

For bonds that are issued by U.S. territories or possessions (e.g., the Commonwealth of Puerto Rico, Guam, and the U.S. Virgin Islands), it's important to note that they interest they pay is exempt from federal, state, and local tax. For this reason, these securities are referred to as *triple tax exempt*.

The chart below summarizes the tax treatment of interest income:

Type of Obligation	Subject to Federal Tax	Subject to State Tax
Corporate Bonds	Yes	Yes
U.S. Government Bonds	Yes	No
Municipal Bonds	No	Varies*
Territorial Bonds	No	No

*In most states, investors don't pay state and local tax on bonds issued by government entitles in the states in which they reside.

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Private Activity Bonds (PAB) or Alternative Minimum Tax (AMT) Bonds Bonds are considered private activity bonds if more than 10% of the bond proceeds are being used to finance a project that will be used by a private entity (e.g., a corporation or professional sports team) and if more than 10% of the bond proceeds will be secured by property that's used in the private entity's business. The interest on a private activity bond is subject to taxation at the federal level. However, if a bond is deemed to be a *qualified private activity bond,* the interest is exempt from federal taxation, but subject to the AMT. To be considered qualified, a private activity bond must meet certain standards and must be publicly approved. As a result, these bonds may trade with a higher yield than non-AMT bonds.

The AMT requires a taxpayer to make adjustments to her income, including interest on qualified private activity municipal bonds, if the proceeds of municipal offerings benefit or finance a facility for use by a private business. The MSRB requires registered representatives to disclose on the confirmation if the securities are private activity bonds.

If an investor is subject to the AMT, these bonds are an unsuitable investment. For example, let's assume that a client who's in the 35% tax bracket and subject to the AMT can purchase either an AMT municipal bond that's yielding 4.70% or a non-AMT municipal bond that's yielding 4.35%. The after-tax yield on the AMT bond is 3.05% [(4.70% x (1.00 – 35%)], which is lower than the after-tax yield of the non-AMT of 4.35%. However, if an investor is not subject to the AMT, the purchase of PABs will not trigger a federal tax liability.

Bank Qualified Issues To encourage banks to invest in municipal securities, some issues are specified as *bank qualified bonds*. Banks that invest in these bonds are permitted to deduct *80% of the interest cost* being paid to depositors on the funds that are used to purchase the bonds. In addition, the interest income on the bonds is tax-free. Bank qualified issues cannot be private activity bonds. Issuers may designate bonds as being bank qualified if they reasonably anticipate that the amount of these obligations will not exceed $10,000,000 in one calendar year.

Who Should Buy Municipal Bonds?

The benefit of tax-exempt income will increase as an individual's tax bracket increases. Conversely, municipals are unsuitable investment for investors who receive special tax considerations. For example, since the earnings in a pension fund accrue on a tax-deferred basis, the fund doesn't need the tax-exempt benefit that municipal bonds offer.

Taxable Equivalent Yield When seeking the best return and comparing bonds, an investor needs to determine the taxable yield that will be equivalent to the yield he's receiving on a municipal. To determine the taxable equivalent yield of a tax-exempt investment, the formula is:

$$\textbf{Taxable Equivalent Yield} = \frac{\text{Municipal Yield}}{(100\% - \text{Tax Bracket }\%)}$$

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For example: An investor in the 24% tax bracket purchases a 4.5% municipal bond at par. The investor will need to earn 5.92% on a fully taxable instrument (e.g., a corporate bond) to equal the tax-free yield on the municipal bond:

$$\textbf{Taxable Equivalent Yield} = \frac{4.5\%}{(100 - 24\%)}$$

$$\textbf{Taxable Equivalent Yield} = \frac{4.5\%}{76\%}$$

$$\textbf{Taxable Equivalent Yield} = 5.92\%$$

If the investor had been in the 35% tax bracket, the same 4.5% municipal bond will have a taxable equivalent yield of 6.92%.

$$\textbf{Taxable Equivalent Yield} = \frac{4.5\%}{(100 - 35\%)}$$

$$\textbf{Taxable Equivalent Yield} = \frac{4.5\%}{65\%}$$

$$\textbf{Taxable Equivalent Yield} = 6.92\%$$

This example shows that the same bond is more attractive to an investor who's in a higher tax bracket.

Net Yield Since the interest on a corporate bond is taxable, an investor will realize a lower net (after-tax) return. To determine the net yield of a taxable investment, the formula is:

Net Yield = Taxable Yield x (100% – Tax Bracket %)

For example: An investor who's in the 24% tax bracket purchases a 7% corporate bond at par. After taxes, the investor earns 5.32%, which is calculated as follows:

Net Yield = 7% x (100% – 24%)

Net Yield = 7% x 76%

Net Yield = 5.32%

In this case, a municipal bond will need to yield 5.32% to be equivalent to this corporate bond.

The State Tax Effect Depending on the situation, it may be necessary to adjust the taxable equivalent yield calculation if a question provides information about a customer's state income tax rate. The key to solving these more complicated taxable equivalent yield calculations is to adjust the divisor in the formula to account for any additional potential tax exemption. Since investors who purchase in-state municipal issues are exempt from *both federal and state taxes*, this combined tax liability is subtracted from 100% to calculate the divisor. Investors who purchase out-of-state municipal issues are still subject to state tax; therefore, only the federal liability is subtracted from 100% to calculate the divisor. Essentially, in the taxable equivalent yield calculation, the divisor is 100% minus any tax liability from which the bond's interest is exempt for a given investor.

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Consider the following examples:

Example 1: A California resident who's in the 24% federal bracket and subject to a 3% state income tax purchases a 4% City of Sacramento municipal bond at par. What will this investor need to earn on a fully taxable investment to equal the tax-free yield on the municipal bond?

Since the bond was purchased by a California resident, its interest is also exempt from California state tax. Therefore, the state tax rate is factored into the equation (24% + 3%).

$$\textbf{Taxable Equivalent Yield} = \frac{4\%}{(100\% - 27\%)} = \frac{4\%}{73\%} = 5.48\%$$

Example 2: A Wisconsin resident who's in the 24% federal bracket and subject to a 3% state income tax purchases a 4% City of New York municipal bond at par. What will this investor need to earn on a fully taxable investment to equal the tax-free yield on the municipal bond?

Since the bond was not purchased by a resident of the state of issuance (i.e., New York), interest is subject to Wisconsin state tax. Therefore, the state tax rate is NOT included in this calculation.

$$\textbf{Taxable Equivalent Yield} = \frac{4\%}{(100\% - 24\%)} = \frac{4\%}{76\%} = 5.26\%$$

Capital Gains and Losses

Securities such as stocks, bonds, and options are considered capital assets. If a capital asset is sold for less than its cost, the result is considered a capital loss. A capital loss may be used to offset capital gains or, within certain limits, ordinary income. On the other hand, if a capital asset is sold for more than its cost, it's considered a capital gain.

Cost Basis

The cost basis of a security is the total price that's paid to acquire the security, including any transaction costs (e.g., commissions). For tax purposes, an investor's profit or loss on a position is calculated based on the difference between the cost basis and proceeds from the sale. For most securities, the cost basis is the original cost of acquiring the securities.

Accrued interest doesn't affect the cost basis of a bond. The holder of a bond includes the accrued interest received as interest income when the bond is sold. The new holder includes the amount of the interest payment (coupon) as interest income *minus* the accrued interest paid.

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Capital Gains and Losses on Municipal Bonds

Although the interest on municipal bonds is exempt from federal taxation, any capital gains resulting from the sale or redemption of municipal bonds are subject to tax. In some cases, the gains are reported as ordinary income. Capital losses may also result from the sale or redemption of municipal bonds.

Original Issue Discount Bonds A bond that's initially issued at a discount is classified as an *original issue discount (OID)*. The appreciation in value (the amount of discount) is treated differently than a municipal bond that's purchased at a discount in the secondary market. The discount on an OID must be *accreted*. In other words, each year, a portion of the discount is treated as interest income for tax purposes and is added to the bondholder's cost basis.

Since the accreted amount is treated as interest on a municipal bond, it's tax exempt. Each year the bondholder's cost basis is increased, and, at maturity, the cost basis reaches par. At maturity, the cost basis equals the redemption price (par) and there's no capital gain. However, if the bond is sold prior to maturity, the cost basis will reflect the accretion (referred to as the adjusted cost basis) and is used to calculate gains or losses.

For example, an investor purchases an OID municipal bond at a price of 42. After three years, the bond has accreted to a price of 47.

- If the bond is sold at a market price of 49, the investor will have a 2-point capital gain (49 market price – 47 adjusted cost)
- If the bond is sold at a market price of 45, the investor will have a 2-point capital loss (45 market price – 47 adjusted cost)
- If the bond is sold at a market price of 47, there will be no capital gain or loss (47 market price – 47 adjusted cost)

The actual IRS method of accretion is referred to as the *constant yield method* or the *constant interest method*. With this method, the first period's (six months) accretion is determined by multiplying the offering price by one half the yield-to-maturity and then subtracting the actual amount of interest received. The calculated amount, which is the *compound accreted value*, is then added to the bondholder's cost basis. Each successive period's accretion is calculated in the same manner, but using the accreted cost basis in place of the original offering price.

A zero-coupon bond is considered an OID and the discount is treated in the manner as described above.

***De Minimis* Exemption** For OID bond, if the amount of the discount is considered small (*de minimis*), it can be ignored. The IRS considers a discount to be *de minimis* if it's less than one-fourth of 1% (1/4% or .25%) of the principal amount multiplied by the number of full years until the bond's maturity.

> *For example, at issuance, a customer purchases a 10-year bond which has a face value of $1,000, but pays only $985. The de minimis amount is equal to .25% of $1,000 times 10 (the number of full years to maturity), which equals $25 ($1,000 x .0025 x 10). Since the amount of the discount is $15 ($1,000 – $985) and it's less than the de minimis amount ($25), it can be ignored. At issuance, if the bond was purchased at a price of $950, the discount of $50 is greater than the de minimis amount of $25. In this case, the discounted amount of $50 would be accreted.*

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Secondary Market Discount (SMD) If a municipal bond is purchased at a discount in the secondary market (a discount that's caused by market conditions) and held to maturity, there's a taxable gain at maturity. However, the gain is actually reported as ordinary income.

> *For example, a municipal bond was originally issued at par. Later, a customer purchases the bond in the secondary market for $920. At maturity, the $80 difference between the purchase price and par value is reported as ordinary income and subject to federal taxation.*

The de minimis exemption also applies to a secondary market discount. The de minimis amount is treated as a capital gain. For example, if a municipal bond is purchased at $980 with 10 years to maturity, the $20 difference is considered a capital gain at maturity.

Premium Bonds If a bond is purchased at a premium (above par), the premium amount must be *amortized* each year. This means that the premium must be written off over the remaining life of the bond. The amortized amount is subtracted from the bondholder's cost basis, but is non-deductible for tax purposes. At maturity, the cost basis will be reduced to the redemption price of par and there will be no loss for tax purposes. However, if the bond is sold prior to maturity, the adjusted cost basis (original cost minus amortization) is used to calculate a gain or a loss.

Keep in mind, although the actual method of accretion or amortization of a bond's basis is the constant yield (constant interest) method, the exam will not expect a person to calculate it. Instead, the exam may expect a person to be able to accrete a discount or to amortize a premium bond using the straight-line method. With straight-line, the amount to be accreted/amortized is determined by taking the discount or premium amount and dividing by the number of years to maturity. This amount is then used each year to increase/decrease the cost basis.

> *For example, an investor purchases a municipal bond at a price of 110 that matures in 10 years. The cost basis is reduced by $10 a year ($100 premium ÷ 10 years). After four years, the bond has been amortized to a cost basis of 106. The amortized cost basis must now be used to determine the gain or loss on any future sale.*
>
> - *If the bond is sold at 109, there's a 3-point capital gain (109 – 106 adjusted cost)*
> - *If the bond is sold at 104, there's a 2-point capital loss (104 – 106 adjusted cost)*
> - *If the bond is sold at 106, there's no gain or loss (106 – 106 adjusted cost)*

The following chart summarizes the tax treatment of OID, SMD, and premium municipal bonds:

	If Sold Prior to Maturity	If Held to Maturity
OID Bond	Sale versus accreted cost basis will determine capital gain or loss	No capital gain or loss
SMD Bond	Sale versus accreted cost basis	Accretion is taxable as ordinary income
Premium Bond	Sale versus amortized cost basis will determine capital gain or loss	No capital gain or loss

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Recognition of Gains and Losses

When buying a security, the holding period begins on the day after the trade date (the day the order was executed). When selling a security, the holding period ends on the trade date. The resulting gain or loss from the sale of a security is considered short-term if it was held for one year or less; however, the gain or loss is considered long-term if it was held for more than one year. A gain or loss will always be recognized in the tax year in which the security was sold.

Netting Gains and Losses An investor is permitted to net (offset) capital losses against capital gains with no maximum dollar limitation. The result will be a net capital gain or a net capital loss. Net short-term capital gains are taxed at ordinary income rates. On the other hand, net long-term capital gains are taxed as ordinary income at the individual's tax bracket, up to a maximum of 20%. If an investor has both net long-term gains and net short-term losses, these two figures must be netted before the 20% maximum applies.

> *For example, an investor in the 35% tax bracket establishes a long-term capital gain of $15,000 and a long-term capital loss of $5,000. This results in a net (long-term) capital gain of $10,000 ($15,000 gain – $5,000 loss). Therefore, the investor will owe tax of $2,000 on the net capital gain ($10,000 net gain x 20%, which is the maximum rate for long-term capital gains).*

Net capital losses may be used to offset ordinary income on a dollar-for-dollar basis in any tax year, up to a maximum of $3,000. In a particular year, any excess capital loss may be carried forward indefinitely.

> *For example, in 20XX, an investor has the following gains and losses from securities transactions:*
>
> - *A $15,000 long-term capital gain from the sale of common stock*
> - *A $22,000 long-term capital loss from the sale of corporate bonds*
>
> *Netting capital losses against capital gains results in a $7,000 net capital loss for the year ($22,000 loss – $15,000 gain). The investor may use $3,000 of this loss to reduce his ordinary income. The remaining $4,000 is carried forward to the next year to offset future capital gains. In the next year, if the investor has no additional capital gains or losses, he may deduct $3,000 from his ordinary income and carry forward the remaining $1,000.*

Wash Sale In some cases, the claiming of a tax loss on the sale of an investment may be disallowed by the IRS. After claiming a loss on a sale, if the investor purchases *substantially the same security* within 30 days of the sale, it's considered a wash sale and the tax loss will not be allowed at that time. Instead, the loss is added to the basis of the newly purchased securities.

> *For example, on February 1, an investor purchases 100 shares of ABC at $60. Then, on August 1, she sells the shares for $50 per share. This creates a $10 per share capital loss. However, if the investor repurchases 100 shares of ABC at $45 on August 15, her loss is not recognized. Instead, the loss of $10 per share is added to the basis of the shares that were just acquired. Those new shares will now have a cost basis of $55 ($45 + $10).*

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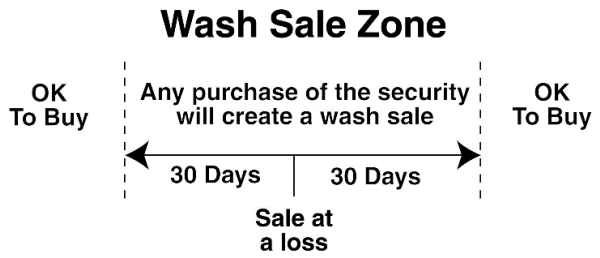
The 30-day period is both before and after the sale date. Therefore, the total critical period is 61 days—30 days before the sale, 30 days after the sale, as well as the date of the sale itself.



Tax Swaps or Bonds Swaps In some cases, investors hold municipal bonds which have declined in value and may choose to sell them in order to realize the loss. However, if they don't want to change the overall composition of their portfolios, a tax (bond) swap may be appropriate.

> *For example, an investor purchased some 5% Oregon G.O. bonds that are due in 2027 at par. Let's assume that interest rates increased after they were purchased and it caused the market value of the bonds to fall to 80. The investor then locates some similarly rated 4 7/8% State of Washington G.O. bonds that are also due in 2027, which are also trading at 80. The investor sells the Oregon bonds and realizes a $200 per bond capital loss, but the proceeds are reinvested in the Washington bonds. Since the portfolio has been changed (although only slightly), the investor can deduct the $200 per bond capital loss.*

In order to avoid the wash sale rule when executing a tax (bond) swap, the investor must repurchase bonds that have material differences from the bonds that were sold at a loss. Relevant factors include altering the bond's issuer, or coupon rate, or maturity date. The IRS requires the new bonds to differ in *at least two of these three factors*.

Swapping can also be done for non-tax reasons. Some of these reasons include changing a portfolio's maturity or to enhance its quality or yield.

Treasury Arbitrage Restrictions Due to the tax-exempt status of municipal bond interest, municipalities are normally able to issue bonds with coupon rates that are below those of Treasury securities. This could present an arbitrage opportunity since a municipality could borrow money at a low rate of interest and invest the funds in higher yielding, risk-free Treasury securities. Treasury Arbitrage Restrictions were enacted to prohibit state and local governments from refinancing their debt and placing the proceeds into an escrow fund that invests in Treasuries with yields above a certain rate.

State and Local Government Series (SLGS) SLGS are securities that are sold to issuers of municipal bonds and will allow them to comply with the yield restrictions of the arbitrage rebate provisions of the Internal Revenue Code. These provisions typically arise in connection with advance refundings of outstanding municipal bond issues. Although the Treasuries to be escrowed can be purchased by the issuer in the open market, the issuer must ensure that the earnings from the escrow account don't violate IRS arbitrage rules. Specifically, the yield on the escrowed Treasury securities cannot exceed the coupon of the advance refunded municipal debt.

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As an alternative, the municipal issuer can purchase SLGS directly from the Treasury. The SLGS will be tailored by the Treasury to ensure compliance with IRS rules. The maturity of the SLGS is also customized to meet the municipal issuer's refunding needs.

Municipal Fund Securities

Section 529 Plans

The Economic Growth and Tax Relief Reconciliation Act of 2001 expanded the federal tax treatment of state-run 529 plans, which are also referred to as *municipal fund securities*. As with Coverdell Education Savings Accounts (CESA), 529 plans are not retirement accounts; instead, they're savings vehicles that are created to meet the expenses of education. Under federal law, contributions are made with after-tax dollars, but any earnings grow on a tax-deferred basis. In fact, if withdrawals are used to pay for education expenses, they're considered qualified withdrawals and are tax-free. States that offer 529 plans are responsible for determining the specific plan rules, such as allowable contributions, investment options (e.g., mutual funds), and the deductibility of contributions for state tax purposes. The beneficiary, who may include the donor, is able to be changed in the future.

There are two types of 529 plans—*prepaid college tuition plans* and *college savings plans*. All states and the District of Columbia have college savings plans and many states also offer prepaid tuition plans. Private schools are also allowed to offer their own prepaid tuition plans.

Prepaid Tuition Plans

Prepaid tuition plans are designed to cover tuition costs at public in-state colleges and universities, but they're *not* considered municipal fund securities. In effect, these plans lock in tuition costs at today's levels and protects the saver against future cost increases. Unlike college savings plans, tuition plans are not self-directed and typically offer guaranteed returns. The donor may pay for amounts of tuition in one lump-sum or through installment payments. Some prepaid tuition plans offer contracts for a two-year or four-year undergraduate program and can cover one to five years of tuition. Other plans may even allow for the contract to be applied to graduate school.

Residency Requirements and Other Limitations Many plans require the donor or the beneficiary to be a resident of the state in which the plan is offered. Some plans also limit enrollment to a certain period each year and they may limit the expenses that are covered. For example, some plans may cover the costs of tuition, books, and laboratory fees, but may not cover the costs of room and board.

Prepaid tuition plans don't provide the donor with any investment options. The price of the contract is determined prior to purchase and typically depends on the type of contract, the current grade of the beneficiary, and the current and projected cost of tuition.

Transferability If the beneficiary of a prepaid tuition plan chooses not to attend a college that's covered by the plan, most plans provide the option to transfer the plan to another sibling of the original beneficiary. In some cases, age restrictions may apply and, if the sibling decided not to attend college or if the donor cancels the plan, only the original contribution will be returned. Any interest that's earned on the plan will be lost and, in addition, some plans may charge a cancellation fee.

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529 College Savings Plans

College savings plans are similar to a 401(k) plan in that they offer mutual fund type investments that grow on a tax-deferred basis. Some plans offer rather limited investment choices, including aged-based portfolios that automatically adjust their asset allocation based on the beneficiary's age. These plans typically move money from stock funds to bond funds as the child grows closer to college age. It's important to note that the donor doesn't make the investment decisions. Instead, the plan's portfolio investment decisions are made by the manager who has been appointed by the state administrator.

Other plans offer a variety of investment fund choices and also allow investors to switch (roll over) accounts once per year from one state to another in order to take advantage of differing investment options. A rollover must be completed within 60 days of receiving the funds. If not completed, it will be viewed as a distribution for non-qualified tuition expenses. A 529 plan cannot be rolled over to a Coverdell Education Savings Account. Under federal tax law, investors are also allowed to switch investment options within a state's plan, but only twice per calendar year.

Although 529 plans are offered by individual states, many college savings plans allow out-of-state investors to open accounts. Unlike prepaid tuition plans, the money invested in a college savings plan may be used to attend schools in any state, but there's no guarantee on the rate of return.

Under federal law, another benefit of 529 plans is that any person can set up an account for any beneficiary and that future contributions can be made by any party. Although the donor is also permitted to be the beneficiary, individual states will typically place limits on who can be an account owner, contributor, or beneficiary. It's permitted to open an unlimited number of accounts for the same beneficiary, but states will generally limit the total contributions for one beneficiary.

As individual 529 plans vary from state to state, so too do the fees that are associated with each plan. The five potential costs to a college savings plan's participant include:

1. Enrollment fees
2. Sales charges
3. Annual maintenance fees
4. Management fees
5. Additional fund expenses

Not all of these charges and fees will necessarily be found in any one plan. The college savings plans of some states charge only a management fee that can be as low as 0.50% annually. Fees for enrollment and maintenance are often waived for in-state contributors or for accounts with a value of more than a certain amount (typically $25,000 to $30,000). Some college savings plans offer different share classes. Class A shares have up-front sales charges that can be reduced by investing greater amounts and reaching a breakpoint. Class B shares have sales charges that are assessed when shares are redeemed and decline over time (these are generally referred to as contingent deferred sales charges, or CDSC). Class C shares primarily consist of 12b-1 fees that are assessed annually and accumulate over time. Tuition savings plans charge only an enrollment fee or, in some states, no fees at all. The important point for potential investors is that fees and costs vary greatly, as will their impact on final returns.

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Tax Advantages

Although contributions to 529 plans are not deductible for federal tax purposes, earnings grow on a tax-deferred basis. One key element is that qualified withdrawals (those used to meet educational costs) are federally tax-free. In addition to the federal income tax breaks, many states now offer tax incentives including deductibility of contributions for state income-tax purposes. As with federal tax laws, earnings are tax-deferred at the state level as well, and almost all states offer tax-free withdrawals for educational purposes. However, a number of states do tax withdrawals from out-of-state plans, and some state's tax out-of-state rollovers.

The other major tax advantage of a 529 plan involves gift/estate taxes. Currently, individuals may give up to the maximum gift tax exclusion which is currently $19,000 to any person in any one year without being subject to a federal gift tax. In fact, current tax laws exempt gift taxes on the first $95,000 when a 529 plan is set up ($190,000 for a married couple). Essentially, donors are permitted to treat the $95,000 as if it's being made over a five-year period. Also, assets that are placed in a 529 plan are generally excluded from the estate of the contributor.

Other Advantages

In addition to the ability to initially gift up to $95,000, there are other benefits associated with 529 plans when they're compared to other college savings vehicles. Unlike the Coverdell ESA which phases out eligibility for married couples who file jointly with a combined income above a maximum amount, there are no income limits for 529 plan donors. Also, the maximum Coverdell contribution is $2,000, while state-sponsored 529 plans allow for substantially greater contributions, in some cases up to $300,000.

Another key benefit of the 529-plan is that donors are able to change beneficiaries. Unlike a Uniform Gifts to Minors Act (UGMA) or a Uniform Transfers to Minors Act (UTMA) account, gifts that are made under Section 529 are revocable. However, if a college savings plan is rolled over from one beneficiary to another, the new beneficiary must be a family member of the original beneficiary. Family members include the beneficiary's spouse, children, grandchildren, nieces, nephews, and first cousins. The ability to change beneficiaries means that the money contributed to a 529 plan may leave donors' estates, but not their control. Many plans have no time limit as to when the funds must be withdrawn, and the donor will authorize the payment of any future educational expenses.

Although bona fide educational expenses are broadly covered by 529 plans, there are limitations that relate to room and board. Under any scenario, the qualified expenses may not be more than the amount charged by the institution for the majority of its on-campus residents.

Risk Associated With 529 Plans

It's important for investors to not focus too heavily on the benefits of 529 plans and overlook the risks. One potential risk is that the rules governing these plans are varied and subject to change. A state can have rules that differ from the norm and federal tax law may also change over time. In addition to the potential for future changes, there are a number of other limitations that are built into the current law. If the money is used for purposes other than educational, the withdrawals are subject to a 10% penalty plus taxes at ordinary income tax rates on any deferred earnings. The penalty is waived for the non-qualified distribution if the beneficiary has died, become disabled, or received a scholarship.

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There are also estate and gift tax implications for plan donors. Additional taxes may apply if the beneficiary is changed to an individual in a succeeding generation. For example, if the beneficiary is changed from a grandson to a great-grandson, this may trigger the so-called generation skipping tax. Also, despite the ability to gift large amounts, donors may face gift taxes if their contributions exceed the $19,000 per year limits.

Another potential problem is that investors may focus too much on tax benefits and fail to consider performance risk. Overly aggressive investment choices could significantly reduce the funds that are available for educational purposes. Bond funds are generally considered less risky than stock funds, but loss of principal is a real possibility for either investment. Rising interest rates could cause negative consequences for an account that's invested primarily in bond funds, which is often the asset of choice for accounts of children who are approaching college age.

Contingent Owner In most states, a 529 plan owner will be asked to name a successor owner—often referred to as a *contingent owner*. Failure to do so may result in the beneficiary or the estate becoming the account owner. If the child becomes the owner of the account's funds, she may use the funds for non-educational purposes. Furthermore, if the estate becomes the owner, the named beneficiaries may also use the funds for non-educational purposes. Either one of these two events could have negative tax implications and result in the funds not being used for their intended purpose.

Distribution and Regulation

Section 529 plans may provide for direct investment without the assistance of a broker-dealer. In fact, sales of 529 plan investment by non-broker-dealer personnel are not covered under MSRB regulation. Some states may choose to use a broker-dealer as the primary distributor to handle the marketing of a 529 plan and these broker-dealers may enter into selling arrangements with other broker-dealer firms. Although similar to mutual funds, 529 plans and the broker-dealers that market them are specifically exempt from the provisions of the Investment Company Act of 1940. However, any broker-dealers that are involved in the distribution of 529 plans are covered by MSRB rules. In any distribution that involves a broker-dealer, SEC Rule 15c2-12 requires the issuer to provide the broker-dealer with an official statement (also referred to as a Plan Disclosure Document, Program Description, or Disclosure Statement).

Summary of 529 Plan Changes Since there are a number of different requirements that are centered on changes to 529 plans, the following summary should be helpful.

- Changes can be made to the named beneficiary without limitation. Each time a beneficiary is changed, the selection of investments may change. For example, if a person has two children and one is the beneficiary of a 529 plan in the state of New Jersey, he can change the beneficiary to his other child and, at that time, change the investment selection for that child.
- Changes can be made to the investment options within a 529 plan by the account owner no more than twice per calendar year.
- The account owner is permitted to rollover funds from one 529 to another 529 plan for the same beneficiary, but only once a year. For example, if a person's child is the beneficiary of a 529 plan in the State of New Jersey, he can rollover the funds for that child to a 529 plan in Pennsylvania, but no additional rollovers to another state's 529 plan is permitted for that same child during the year.

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Expanded Use of 529 Plans Although originally intended to accumulate funds to only pay for college educational expenses, the funds in these plans may now also be used for expenses related to elementary and secondary schools at public, private, or religious institutions.

New legislation allows individuals to take up to $20,000 in distributions annually from their 529 plans to pay for private school tuition and books for grades K through 12—in addition to using their account proceeds for college costs. Qualified withdrawals are also permitted to cover the expenses related to *qualified post-secondary professional certification programs* (e.g., CFP, CPA) as well as licensing programs. These expenses include:

- Tuition, fees, and costs for books, supplies, and equipment required for the enrollment or attendance of a designated beneficiary in a recognized post-secondary credential program
- Fees for testing if such testing is required to obtain or maintain a recognized post-secondary credential, and
- Fees for continuing education if such education is required to maintain a recognized post-secondary credential

Note: Certain types of educational related costs are still ineligible, such as general career development programs (e.g., software skills).

An individual is also now permitted to withdraw up to $10,000 on a tax-free basis (a qualified withdrawal) to repay a qualified student loan as well as expenses for certain apprenticeship programs. This is a lifetime limit that applies to the beneficiary and each of the beneficiary's siblings.

529 ABLE Plans

Section 529 Achieving a Better Life Experience (ABLE) plans—also referred to as *529A plans*—are municipal fund securities that can be purchased to help support individuals with disabilities without jeopardizing their disability payments received from Social Security, Medicaid, or private insurance.

The maximum contribution is $19,000 per year and front-loading is not permitted. The individual's other disability payments will continue as long as the account's value doesn't exceed $100,000. Distributions from the plans are tax-free if they are used to pay qualified expenses.

Local Government Investment Pools (LGIPs)

Local government investment pools are created by individual states to give local government agencies the ability to manage their idle funds efficiently and to take advantage of money-market interest rates. Although the laws vary widely among the states, most states have historically prohibited local agencies from investing directly in money market investments unless the investments were included in the state's legal list of acceptable securities.

In the early 1970s, LGIPs were created as an alternative to direct money-market investment and provided a vehicle for local communities to invest their excess funds. The local entities that may take advantage of LGIP investing could include:

- Cities, towns, and counties
- Public retirement systems

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- Regional school districts
- Local public agencies (e.g., libraries)
- Public health districts
- Soil conservation districts

Participation in a particular pool is typically limited to a specific governmental entity (or entities) as set forth under state law, or by the rules of the particular LGIP. It's also possible for individual entities to invest in one or more LGIPs within a given state.

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Formation and Structure of the Pool

Most pools are established and administered by the state treasurer's office, often in conjunction with the state investment board and a local government advisory council. However, in some cases, private organizations provide advisory and administrative services, usually under the sponsorship of the state or an association of local governments.

The operation of most pools works much the same as a traditional money-market mutual fund in that investments can be made and withdrawn on a daily basis. Interest is earned on a daily basis and is paid to participants for the number of days that the assets are held in the pool. Contributions are made in cash either by sending a check or through a wire transfer system, and withdrawals can also be made by check or wire transfer.

Investment Policy

Incorporated within the structure of each LGIP is a *Statement of Policy* that's prepared by the investing entity. This statement of policy typically includes the following information.

Statement of Purpose The statement of purpose addresses the primary investment objectives and the priority of investment needs of the entity. The priority of investment objectives should address:

- Safety of principal
- Liquidity
- Return on investment

It's important to note that LGIPs are typically not guaranteed by either the issuer or the pool's manager. Although the assets are often invested in short-term money-market securities, investors in LGIPs still assume investment risk. This is similar to an investment in a money-market mutual fund which attempts to maintain a constant $1 per share net asset value (NAV). In both cases, there's no guarantee that a constant NAV will be maintained.

LGIPs that attempt to earn higher returns by investing in longer term securities are also offered. These pools will have an NAV that will fluctuate along with the market value of the pool's underlying investments, and will typically carry a higher level of risk. In addition, pools may be created for the purpose of investing the proceeds of municipal bond issues—typically bonds that are issued to prerefund existing bonds. The proceeds are generally segregated in an escrow account and the Internal Revenue Code restricts the yield that municipalities may earn on the reinvestment of bond proceeds. LGIPs are often created to meet these restrictions.

List of Authorized Investments A summary of authorized investments is published in the statement of policy. These investments typically include:

- Certificates of deposit, savings accounts, and deposit accounts
- U.S. government and government agency debt instruments
- Municipal debt instruments within the state

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- Short-term commercial paper that's rated within the highest two investment-grade categories
- Repurchase agreements and banker's acceptances
- Mutual funds that are registered under the Investment Company Act of 1940

Standards of Prudence These standards cover the fiduciary role of the person that's authorized to make the investments. Any broker-dealer or bank that buys or sells securities for the investors is required to be given a copy of the statement of policy. The financial intermediary must acknowledge receipt of the document and agree to comply with the terms of the policy when buying or selling securities.

Scope of the Policy The scope covers an investor's assets that will be invested under the program.

Delegation of Authority to Make Investments This provision specifies which office or officer within the entity has the authority to direct the investment of assets. Authority may be given to the county treasurer or some other person who reports to the local governing board.

Statement of Safekeeping and Custody This statement identifies where invested assets will be held, whether at the office of the investor or by a third-party bank or custodian.

Investment Activity Report The person or department that's authorized to make the investments must provide a written annual report to the governing board as well as any other reports that are required in order to ensure compliance with the statement of policy.

Distribution and Disclosure

As described for 529 plans, LGIPs often provide for direct investment without the assistance of a broker-dealer. Sales by non-broker-dealer LGIP personnel are not covered under MSRB regulation. However, broker-dealers that are involved in the marketing of LGIPs are covered by MSRB rules and must conduct their business in compliance with those rules. Although similar to mutual funds, LGIPs and the broker-dealers that market them are specifically exempted from the provisions of the Investment Company Act of 1940.

Broker-dealers may charge reasonable commissions, sales charges, and other fees in connection with the sale and operation of these plans, but these fees must be properly disclosed. Other disclosure requirements that relate to the distribution of an official statement (e.g., SEC Rule 15c2-12 and MSRB Rule G-32) will be described later in this manual.

Create a Chapter 3 Custom Exam

Now that you've completed Chapter 3, log in to *my.stcusa.com*. From your Dashboard, select *Final Exams*, then scroll down and select *Create a Custom Exam*. Now, select *Chapter 3* and, at the bottom of the screen, enter 10 questions in the *Number of Questions* box, and then select *Build Exam*.

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Chapter 4

The Market for Municipal Securities

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Primary Market for Municipal Bonds

Although states, counties, and cities borrow for different purposes, they follow very similar procedures when selling a bond issue.

Issuing General Obligation (G.O.) Bonds

A general obligation issue typically requires approval by the voters since it's their taxes that will repay the debt. For a G.O. bond, the indenture (bond resolution) will indicate the statutes which permit the issuer to levy taxes. A G.O. issue is typically subject to debt limitations that are placed on the municipality by a voter referendum or by statutes. The municipality is not permitted to issue bonds in excess of its debt limitation, since doing so will exceed its *debt ceiling*.

Issuing Revenue Bonds

Since a revenue issue is not backed by taxes, the offering doesn't require voter approval. However, there are special procedures to be followed and requirements to be met prior to issuing the bonds.

Feasibility Study The municipality must hire a consulting engineer to study the project and present a report to determine if the project can bring in the needed revenues. This is referred to as conducting a *feasibility study*. This process involves examining the need for the proposed project and determining whether the project is a sound economic investment. The feasibility study also compares the cost of the proposed service to other alternatives that are available within the project's area to ensure that the project will be competitive and generate revenues. An accounting firm is typically retained to help determine whether the revenues will be sufficient to cover expenses and debt service.

New Issue Underwritings

Once a municipal issuer has determined a need for a bond issue and has followed the preliminary steps of voter approval for a G.O. issue or a feasibility study for a revenue issue, it can continue the process of issuance. To do so, a municipality will normally seek the assistance of an underwriter.

Role of the Underwriter A municipal underwriter plays an important role in the offering of securities. The underwriter acts as a vital link between the issuer and the public by assisting the issuer in pricing the securities and, in some cases, helping to structure the financing and preparing the official statement. For these reasons, underwriters of municipal securities have certain obligations that must be observed.

According to the SEC, the underwriter of any security makes an implied recommendation to buy that security by simply participating in the underwriting. Therefore, in order to avoid violating the antifraud provisions of the federal Securities Acts, an underwriter must have a reasonable basis on which to make this recommendation. This reasonable basis normally refers to having reviewed the accuracy, truthfulness, and completeness of key statements that are made in any of the disclosure documents being used in the offering. This process is referred to as performing *due diligence*.

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Selecting an Underwriter There are typically two ways that a municipal issue will select its underwriter—through a *negotiated sale* or a *competitive sale*. In a negotiated sale, the issuer will simply appoint its underwriter. However, in a competitive sale, the issuer requests that interested underwriters submit their proposals through a bidding process. Typically, revenue issues are sold through negotiated sales, while general obligation issues are sold through competitive sales.

Negotiated Sale A negotiated sale involves an issuer that brings its issue to market by selecting the lead underwriter or senior manager that will sell the issue to the public. The underwriter will work with the issuer on a one-to-one basis. The underwriter may either offer the bonds through a public offering or sell them directly to a select group of institutional investors through a private placement. If necessary, the underwriter may solicit other broker-dealers to form a syndicate and assist in the offering.

The underwriters will attempt to sell the issue at an agreed upon yield level (interest cost to the issuer); however, if necessary, these yields can be changed. The yield may be raised if the issue is not selling well, or it may be lowered if the issue is selling very well.

Competitive Sale Rather than selecting an underwriter, an issuer may invite all interested underwriters to submit bids for the issue. Essentially, the underwriters will be in competition with one another. The best bid that's submitted will be awarded the bonds. Normally, the best bid is the one that costs the issuer the least amount of interest dollars over the life of the issue. The winning underwriter is committed to the issuer at the specific level submitted. At this point, the interest cost to the issuer is set and any changes that are made by the underwriter are at its liability.

Internet Bidding With the increasing use of the internet as a tool in the securities industry, municipal bonds can now be bid for online. The City of Pittsburgh became the first issuer to use the MuniAuction Internet website for the competitive bidding of a $70 million G.O. issue that was auctioned on a maturity-by-maturity basis. Internet bidding is becoming more and more common as technology allows for an increased number of locations on which online bidding can occur.

Advantages of a Negotiated Sale A negotiated sale enables an issuer to exercise greater influence over both the selection of the underwriter and distribution. In addition, negotiated sales allow for far greater flexibility in the timing and structure of an offering. Issuers can more easily respond to changes in the market by adjusting the issue's structure up until the time of sale. When the underwriter is assured that it will have the right to purchase the bonds, its able to conduct greater presale marketing. Also, by reducing its potential inventory risk, it may be able to reduce costs.

Possibly the greatest advantage of a negotiated sale is the opportunity for the issuer to partner with a firm with which it feels most comfortable. Ultimately, an issuer wants to work with a firm that can demonstrate the knowledge and experience that will likely lead to a successful offering.

Disadvantage of a Negotiated Sale Due to a lack of competition, an underwriter involved in a negotiated sale may structure the offering to maximize its own profits. In addition, issuers may be seen as showing favoritism to the underwriter and must stand ready to defend the qualitative and quantitative factors that were used in its selection.

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Advantages of a Competitive Sale By choosing a competitive sale, the issuer is protecting the public by taking advantage of market competition in order to achieve an effective interest cost that's as low as possible. Historically, competitive sales have resulted in lower gross underwriting spreads (management fee, expenses, underwriting fee, and takedown). Additionally, a competitive sale is an open process that avoids allegations of unfairness or impropriety.

Disadvantage of a Competitive Sales One disadvantage of competitive sales is that the issuer is limited in its ability to adjust the timing and structure of the issue. In addition, the issuer has little influence over which firm will be awarded the underwriting, which other firms will be involved in the underwriting team (syndicate), and how the bonds will be distributed.

Underwriters may also be uncertain of the market demand for the new issue. To compensate, bids will often include an additional risk premium. This is especially true if the issuer is not well-known among underwriting firms. A competitive sale also offers the underwriter the least amount of structuring flexibility since the issuer determines most of the offering's terms.

Procedures for Competitive Bids A competitive issue involves more steps than a negotiated issue. The following section describes the steps involved for the competitive underwriting of a new issue.

Notice of Sale When an issuer wants to sell bonds through a competitive bid, it will advertise by means of a *Notice of Sale*. The notice is published in major financial newspapers, as well as publications which are specific to the municipal securities industry, such as *The Bond Buyer*. The issuer may also send a notice to underwriters that have placed bids on previous issues.

The Notice of Sale will typically contain all of the information that an underwriter will need to submit a bid. This information includes the amount and purpose of the issue, the time and place at which the bids will be accepted, the amount of the good faith deposit (a check that must accompany the bid), registration provisions, interest payment dates, and how interest will be paid. The Notice will also describe the specific bidding requirements for the issue and include the issue's *dated date*. The dated date is the date from which interest will begin to accrue.

(Please see the end of the chapter for specific information on a Notice of Sale.)

Structure of the Issue The Notice of Sale specifies whether the issue will be structured as a serial or term maturity. For a *serial issue*, maturities are scheduled over several years. This allows the issuer to pay down the principal over an extended period. Serial bonds are normally quoted on a yield-to-maturity basis. A serial structure lends itself to providing the issuer with *level debt service*. This means that the total payment of interest and principal owed or paid each year will remain approximately the same.

If the entire issue matures in one specific year, it's referred to as a *term issue*. In many cases, the issuer agrees to deposit money in a sinking fund to retire the debt at maturity. Toll roads often issue term bonds. Term bonds are considered *dollar bonds* since, in the secondary market, they're quoted at a dollar price (percentage of par), rather than on a yield-to-maturity basis.

Another method of structuring issues is having a portion of the issue mature serially and a large portion mature in the final year. This is referred to as a *balloon issue*.

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Bond Counsel and the Legal Opinion The Notice of Sale will also discuss the status of the *legal opinion*. Every municipal bond must be issued with a legal opinion which is written by a recognized bond counsel and reflects on the validity of the bond issue. Bonds are usually issued with the legal opinion printed on the bond. However, it may also be printed on a separate sheet of paper and attached to the bond. Although it's rare, a municipal bond may be issued without a legal opinion. If this occurs, it must be disclosed to a purchaser that the bond is being delivered *ex-legal.*

Although the bond counsel is hired by the issuer, its obligation is ultimately to the investor. The bond counsel will ascertain that the issuer has the authority to issue the bonds and that all legal procedures were followed. The legal opinion will also contain a statement by the bond counsel that, in its opinion, the interest is exempt from federal taxation. However, the bond counsel doesn't comment on the investment merit of the bond issue.

In some cases, the legal opinion is an unconditional affirmation of the legality of the issue and is referred to as an *unqualified legal opinion*. Occasionally, there are situations which may have a bearing on the legality of the issue (e.g., a pending lawsuit). If the legality is in question, the bond counsel may issue a *qualified legal opinion* which is a conditional confirmation of the issue's legality. Ultimately, an unqualified legal opinion is better than a qualified one.

Financial Advisor The *financial advisor*, also referred to as *the fiscal consultant* or *fiscal agent*, consults with the issuer and advises it on matters such as the price, timing, structure, and marketing of the issue (similar to an underwriter). The financial advisor may also assist the municipality in choosing an underwriter and analyzing the financing needs of the community.

Official Statement The disclosure document that's used in a municipal offering is referred to as the *official statement*. Municipal securities issuers are not subject to the disclosure requirements that pertain to corporate offerings. However, the SEC requires firms that are selling municipal securities to follow high standards in assuring that the information being disseminated is complete and accurate. The official statement contains the most detailed information about a new municipal offering as well as financial information about the issuer. The underwriter will often assist in the preparation of an official statement.

(For a more detailed list of items included in the official statement, please see the end of this chapter.)

There are many sources that an underwriter may utilize to check on the information that's presented about an offering. They include, but are not limited to:

- The underwriter's research department
- Secondary market trading of the issuer's outstanding bonds
- Participation by the underwriter in other offerings for the issuer
- Access to the information that's contained in the official statement

EMMA The Electronic Municipal Market Access (EMMA) System is the MSRB's dataport through which municipal bond underwriters and issuers submit official statements and continuing disclosures. EMMA also provides trade data and is a source for accessing information related to specific municipalities and their associated official statements, continuing disclosures, and advance refunding documents.

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New Issue Information Dissemination Service (NIIDS) – Rule G-34

MSRB Rule G-34 requires an underwriter to apply to a securities depository to ensure that a new issue is depository-eligible. The term *depository-eligible* refers to a security being able to be held by a registered clearing agency (e.g., the Depository Trust Company, or DTC) in book-entry form. DTC rules define which securities are eligible and created the New Issue Identification System (NIIDS) specifically for municipal securities. The underwriter is required to file an application by no later than *one business day* from the award by the issuer for a competitive sale, and by no later than *one business day* after the execution of the contract to purchase the securities from the issuer for a negotiated sale.

Once the application is filed, the managing underwriter communicates information about the new issue to other dealers and data vendors *within two business hours* using the New Issue Identification System (NIIDS). This is done so they can clear, confirm, and settle transactions in these securities through the National Securities Clearing Corporation (NSCC). The term *business hours* refers to 9:00 a.m. to 5:00 p.m. Eastern Time. Both NIIDS and the NSCC are part of the Depository Trust and Clearing Corporation (DTCC).

The managing underwriter is required to make submissions to the NIIDS for municipal securities, with the following exceptions:

- An issue that's not depository-eligible
- Any issue that's maturing in 60 days or less
- Commercial paper

Underwriters are required to submit information concerning commercial paper to market participants as promptly as possible, but they don't use NIIDS. Instead, this information is required to be announced by no later than the time of the first execution of a transaction in the new issue by the underwriter.

Any information that's being submitted through NIIDS must be entered by no later than two business hours after *Time of Formal Award*, which is:

- *For competitive issues* – the later of the time that the issuer announces the award or the time that the issuer notifies the underwriter of the award
- *For negotiated issues* – the later of the time that the contract to purchase the securities from the issuer is executed or the time that the issuer notifies the underwriter of its execution

The *Time of First Execution* is the time the underwriter plans on executing its first transaction in a new issue. Although there are exceptions, this typically occurs no less than two business hours after all of the information that's required by NIIDS has been transmitted.

To summarize, the underwriter is required to provide information to NIIDS by *no later* than two business hours after the Time of Formal Award, and the Time of First Execution is *no earlier* than two business hours after the information has been entered into NIIDS. For example, if the Time of Formal Award is 12:00 p.m., the information must be submitted to NIIDS by no later than 2:00 p.m. (the maximum two-hour period), and the Time of First Execution cannot occur earlier than 4:00 p.m. (the minimum two-hour period).

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Underwriting Syndicate

When an issue is sold through a competitive sale process, different underwriters will submit bids for the issue. Generally, a number of broker-dealers will combine to form a bidding syndicate, but one of the firms will act as the syndicate manager. This syndicate is a group of underwriters that will each be responsible for selling a certain percentage of the new bonds. In this way, the responsibility for both selling the entire issue and assuming liability for any unsold bonds is dispersed and the risk is reduced for each specific underwriter.

The syndicate will generally consist of firms that have worked together in the past. Firms that are invited to join the syndicate should be financially strong enough to absorb unsold bonds in the event there are problems distributing the issue. In addition, a firm that's participating in an underwriting syndicate should have the ability to sell their allocated portion of the issue.

Firms may choose to resign from the syndicate if they feel as though the underwriting spread is insufficient or if they believe that the price of the new issue is too low or too high. A firm may even be dropped from the syndicate if past behavior has shown that they're unable to sell their allotment of bonds or if the firm goes out of business.

Responsibilities of Syndicate Manager Some of the responsibilities of the syndicate manager include taking the largest underwriting commitment and keeping track of sales and how many bonds are available. The manager presides over the preliminary pricing meeting at which the manager requests for each member to submit their pricing scale.

Syndicate Letter The syndicate manager invites other firms to participate in a new offering by sending them a *syndicate letter*. The syndicate letter specifies the obligations and participation level of the members. For example, the syndicate letter could indicate the preliminary amount of bonds to be underwritten by each member, how long the syndicate lasts, an acknowledgment that the bid and offering terms will be set by the majority of the members, and the priority of orders. The syndicate letter also establishes that the syndicate is not a partnership, but rather a joint venture in which the liability of each member is detailed.

(For a negotiated issue, the syndicate is formed using an *agreement among underwriters*, rather than a syndicate letter.)

Responsibilities of Syndicate Members Each member must sign and return a copy of the syndicate letter to the manager, which will indicate the member's acceptance of the terms.

Type of Syndicate – Divided or Undivided Account The syndicate can be formed as either a *divided* or an *undivided* account. In a divided or Western account, each member is responsible for a specific percentage of the issue. If the member has sold its portion of the issue, it will not be responsible for any part of the unsold balance.

> *For example: If a member assumes liability for 10% of a $10,000,000 issue, its responsibility ends once it sells $1,000,000 of the issue. If it only sells $750,000, then it's still responsible for the remaining $250,000.*

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In an undivided or *Eastern* account, each member is responsible for a specific percentage of the unsold balance, regardless of how much the member sold.

> *For example: If a member assumes liability for 10% of a $10,000,000 issue and sells its $1,000,000 allocation, it's still responsible for 10% of any remaining unsold balance. If the syndicate has $2,000,000 of unsold bonds at the time it's dissolved, this 10% participant will receive $200,000 (10%) of the unsold bonds.*

Determining the Bid After the syndicate is formed, it will determine the bid that it intends to submit to the issuer. The dollar amount of the bid being offered to the issuer is referred to as the *bid price*.

After the preliminary scale or pricing is set, syndicate members will distribute the scale to their traders and sales personnel to gauge investor interest. Orders are solicited and some orders for bonds are lined up before the actual bid is submitted.

Final Pricing Meeting At the final pricing meeting (held before the bid is due), the syndicate manager announces the proposed pricing scale, the size of the underwriting spread, and the interest rates that the members believe will make the issue attractive to potential investors. During this meeting, the manager receives the opinions of the syndicate members regarding the pricing scale and spread.

Reoffering Scale Next, the syndicate manager will determine the amount of profit that it intends to make. Using the bid limitations that are set for coupon rates and bid price, the syndicate will establish the complete reoffering scale (i.e., the yields that future bondholders will receive). The reoffering scale will list each maturity and the corresponding coupon and yield, along with the amount of selling profit.

The reoffering scale is determined by the syndicate during pricing meetings which are usually held just prior to entering the bid. Once the scale has been established, it's used to calculate the bid which must be submitted to the issuer on either a net interest cost (NIC) or true interest cost (TIC) basis. The total amount of funds produced if the issue is sold at the reoffering scale is the reoffering price or yield. The difference between these two is referred to as the spread or production.

In order to produce the desired spread on an issue, a *swing coupon* may be utilized. The swing coupon is the maturity year in which the coupon will be adjusted to produce the desired spread.

Net Interest Cost and True Interest Cost A syndicate must submit a bid to the issuer in the form of either net interest cost or true interest cost. The NIC shows the total interest cost to the issuer over the life of the offering, plus any discount or less any premium. The actual computation requires the number of bonds, years to maturity, and coupon rates. The NIC is calculated by dividing the total interest by the number of bond years.

Bond years are the number of bonds outstanding multiplied by the number of years to maturity (from dated date to maturity). One bond year is one $1,000 bond which is outstanding for one year. So, if a $5,000 par bond will mature three years from issuance, it consists of 15 bond years (5 par bonds x 3 years).

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Let's consider an example of how the NIC is calculated:

A serial issue of $3.5 million par bonds is being underwritten. The maturities and coupons are indicated and the dated date is seven years in the future. What's the NIC?

	Amount	Years to Maturity	Bond Years	Coupon	Coupon Payment Per Bond Year	Total Interest (Bond years x coupon payment)
	$1,000,000	4	4,000	5.00%	$50	$200,000
	$1,000,000	5	5,000	5.50%	$55	$275,000
	$1,000,000	6	6,000	6.00%	$60	$360,000
	$500,000	7	3,500	6.50%	$65	$227,500
Total			18,500			$1,062,500

NIC = $1,062,500 ÷ 18,500,000 (bond year dollars or 18,500 x $1,000) = 5.74%.

If the syndicate proposed a bid at $1,020 (a 2% premium), this amount would reduce the total amount owed by the issuer. The premium ($3,500,000 x .02 = $70,000) would reduce the total amount of interest owed by the issue and would be subtracted from the total interest ($1,062,500 – $70,000 =$992,500). If issued at $1,020, the NIC would be 5.36% ($992,500 ÷ 18,500,000).

True interest cost (also called the Canadian Method) takes into account the time value of money. The TIC calculation starts with NIC, but then uses present value tables to arrive at the NIC. Computers can calculate these bids almost instantaneously.

Submission of the Bid The bid along with the good faith deposit (similar to a security deposit) is submitted at the designated time and place that's listed in the notice of sale. The bid must be presented on the *bid form* that's provided by the issuer. The bid form typically requires the bidding syndicate to enter its proposed interest rate(s) and the price that it's willing to pay. The bid that the syndicate submits is the end point in the process of pricing the issue.

Winning the Bid After the bids are opened, the syndicate with the lowest bid (lowest NIC or TIC) is awarded the issue. The winning bid is typically the one that costs the issuer the least amount of interest over the life of the bond. Good faith checks are returned to losing syndicates.

The good faith check of the winning syndicate is retained to ensure proper performance and the amount is deducted from the total amount that's owed by the syndicate to the issuer. The good faith deposit can range from 1% to 5% of the issue's par value, with 2% being the typical amount.

Order Period Once the municipality awards the bid to the winning syndicate, the syndicate will immediately call its customers to inform them of the details of the new offering. Some customers will accept the terms and agree to buy the issue, while others may believe that the cost is too high and will pass on the issue. The period after the awarding of the bid is referred to as the *order period*. During this time, non-priority orders that are submitted by account members are allocated without consideration of time of submission.

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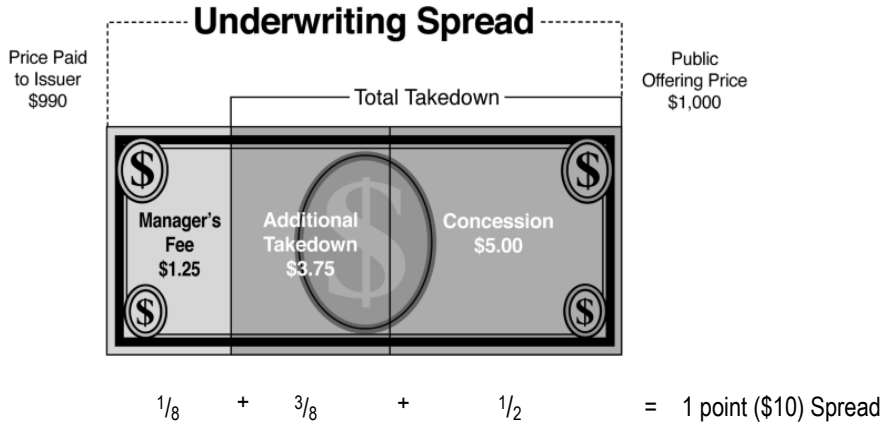
Spread As described earlier, the winning syndicate will purchase the bonds from the issuer and sell the issue to the public. The syndicate and its members make a profit by selling the bonds at a higher price than it paid to the issuer. The difference between the price that's paid to the issuer (the bid) and the price at which the bonds are sold to the public (the reoffering yields) is referred to as the *underwriting spread* or *production.*

A small portion of the spread is used to cover syndicate expenses and syndicate manager's fee. The remainder (spread minus manager's fee and expenses) is considered the *takedown* or *total takedown*. A member of the syndicate receives the takedown any of the bonds that it sells. The total takedown is divided into two parts—*the additional takedown* and *concession*. A firm that's not a syndicate member (i.e., part of the *selling group*) is able to purchase bonds at a small discount or concession from the public offering price.

Selling Group A selling group is a group of municipal securities brokers and dealers that help the underwriting syndicate distribute the new issue. The members of the selling group don't share in the underwriting syndicate's net profit and are not liable for any of the bonds that remain unsold. Selling group members purchase bonds from the syndicate at a price less the concession and then sell the bonds to the public at the offering price.

The following diagram shows the components of the underwriting spread:



For example, if the syndicate manager sells bonds to a customer, the manager will earn the entire spread of 1-point, or $10 per bond. If a syndicate member sells bonds to a customer, the member will earn the total takedown of 7/8 of a point, or $8.75 per bond. If a broker-dealer that's not a syndicate member sells bonds to a customer, the broker-dealer will earn the 1/2-point concession, or $5 per bond.

Priority of Orders If the syndicate is successful, orders are given to the syndicate manager and the manager is responsible for allocating bonds to the members. Some syndicate managers will allocate a certain number of bonds to the co-managers (i.e., a pre-distribution). If syndicate members choose to retain some of the issue for their own purposes, these bonds are referred to as *retention bonds*.

Allocation is done according to the priority of orders which is disclosed in the syndicate letter. The purpose of the priority is to give the maximum benefit to the entire syndicate as a group over any one particular member.

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The typical priority of orders is:

1. *Presale Orders* These are orders that are placed prior to the actual awarding of the issue to the syndicate and are given the highest priority since they are the most beneficial to the syndicate. Knowing that it has commitments for a part of the issue, the syndicate is able to enter a more aggressive bid. The term "presale" is used is used primarily with competitive underwriting. In a negotiated underwriting, these types of orders are referred to as *retail orders,* which are defined by the issuer of the securities.
2. *Group Net Orders* These are orders in which all members of the syndicate share the profit (the total takedown).
3. *Designated Orders* With these orders, the total takedown is directed to the dealers that are designated by the customer.
4. *Member Orders* Since these orders are entered by member firms for their own clients, they receive the lowest priority. Only the firm that enters the order will receive the total takedown.

Settlement of Issue The issuer and underwriting syndicate will determine a final settlement date for the issue. This is the date on which the issuer delivers the bonds and the syndicate pays the issuer. New issues of municipal bonds typically settle 30 days after the securities are awarded to the underwriter.

When Issued Until the issue's settlement date is established, the bonds will trade on a *when issued* basis (commonly abbreviated W.I.). This means that the trade will take place when, as, and if the bonds are issued and will be canceled only if the bonds are not issued as originally represented. Settlement occurs on a date that's agreed to by both parties. If the transaction is not eligible for automated comparison, settlement cannot be earlier than the first business day following the date that the confirmation indicating final settlement is sent. If the transaction is eligible for automated comparison, settlement cannot be earlier than one business day after notification of initial settlement. A purchaser of the new issue will receive a when issued confirmation. The buyer will not owe any funds to the dealer at that time since the amount of accrued interest cannot be calculated without a settlement date.

Tombstone Advertisement If the winning syndicate intends to advertise the issue, it will publish a *tombstone*. The tombstone ad will show the amount of the issue and its purpose. Interest payment dates will be given along with the dated date (the date from which interest begins to accrue). The name of the bond counsel that will write the legal opinion will also be given, and it's likely that the general counsel and underwriter's counsel will be included as well. There will be a list of maturities along with the coupon rate and yields-to-maturity. However, if the settlement date is not available, the information given in the tombstone will not be sufficient to calculate the dollar price or any accrued interest.

Secondary Market Trading

Once a bond has been sold as a new issue, subsequent transactions take place in the secondary market, specifically in the over-the-counter (OTC) market. The OTC market is a negotiated market in which negotiation occurs at the best bid and offer prices. Since there's no central exchange for the trading of municipal securities, broker-dealers have established a number of outlets that may be used to market their inventories of municipal bonds. *Brokers' brokers* are primarily used by dealers to obtain pricing information while still remaining anonymous.

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Brokers' Broker Communication Systems In some cases, a broker-dealer may ask another firm to assist it in selling bonds in the secondary market. This firm—referred to as a *broker's broker*—deals exclusively with other brokerage firms and banks. A broker's broker doesn't underwrite new issues, carry inventory positions, or deal with public customers. Instead, it acts as an agent by purchasing and selling for brokers and dealers as well as receiving a commission for the service it provides.

Each firm provides a wire service which shows the bonds that are out for bid (for sale). A firm that subscribes to the service can contact the brokers' broker and enter a bid for a block of bonds or put a block of bonds out for a bid.

At the end of the day, the broker's broker will notify the firm whose bonds are on the wire of the high bid. If accepted, the broker's broker will inform the high bidder that it has won the bonds. The identities of the buying and selling firms are not disclosed to each other. The broker's broker charges the selling broker a fee for providing this service.

The Bond Buyer The Bond Buyer is the online newspaper of the municipal industry and contains news that pertains to both the municipal market and the financial community in general. The Bond Buyer also contains announcements such as notices of sale, call notices, a new issue calendar, and other pertinent announcements. *The Bond Buyer* compiles a variety of statistics that relate to the municipal bond market, some of which are listed below.

Visible Supply and Placement Ratio *The 30-Day Visible Supply* is compiled each day from the Bond Buyer's columns, "Sealed Bids Invited" (competitive offerings) and "Proposed Negotiated Offerings." The Visible Supply reflects the total dollar volume of bonds expected to reach the market over the next 30 days and gives an indication of the *supply side of the market*.

Visible Supply

Date	Competitive	Negotiated	Total
2/26	1,864,011	5,563,282	7,427,293
2/19	1,929,628	4,326,210	6,255,838
2/12	1,866,907	6,338,906	8,205,813
2/5	1,516,746	6,723,046	8,239,792
1/29	2,432,014	8,472,323	10,904,337
1/22	2,385,365	9,315,425	11,700,790
1/15	961,388	4,945,078	5,906,466

The Bond Buyer Placement Ratio is compiled weekly at the close of business on Friday. The ratio represents the dollar amount of bonds that were sold by underwriting syndicates each week as a percentage of the amount that were issued that week by issuer's selling $1 million or more par value of securities. The placement ratio gives an indication of the *demand side of the market*.

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Placement Ratio

	No. New Accts.	Total Amt. New Accts. ($000s)	Sales from New Accts. ($000s)	Placement Ratio (%)
2/26	14	434,102	408,297	94.1
2/19	19	714,685	668,240	93.5
2/12	11	290,175	248,870	85.8
2/5	11	474,075	423,680	89.4
1/29	19	2,002,188	1,977,803	98.8
1/22	8	435,192	431,392	99.1
1/15	11	754,395	754,395	100.0

Bond Buyer Indexes The Bond Buyer compiles indexes that are widely watched in the municipal bond industry. These indexes give an indication of the average weekly yields for general obligation and revenue bonds.

Bond Buyer Indexes

Average Municipal Bond Yields—Compiled Weekly

	20 G.O. Bonds (1)	11 G.O. Bonds (1)	25 Rev. Bonds (2)	Treasury Bonds (3)
May 21	8.31	8.17	8.68	9.00
May 14	7.82	7.70	8.20	8.72
May 7	7.86	7.74	8.20	8.64
Apr. 30	7.85	7.72	8.13	8.44
Apr. 23	7.82	7.96	8.16	8.53
Apr. 15	7.90	7.77	8.28	8.27
Apr. 9	7.27	7.14	7.54	8.07
Apr. 2	6.93	6.80	7.26	7.91
Mar. 26	6.79	6.67	7.11	7.55
Mar. 19	6.68	6.55	7.08	7.50
Mar. 12	6.61	6.48	7.02	7.51
Mar. 5	6.54	6.40	6.92	7.44
Feb. 26	6.59	6.45	7.01	7.49
Feb. 19	6.62	6.49	7.05	7.53
Feb. 12	6.67	6.53	7.09	7.58
Feb. 5	6.57	6.43	6.98	7.46
Jan. 29	6.56	6.43	6.98	7.44
Jan. 22	6.54	6.40	6.92	7.36
Jan. 15	6.65	6.51	7.04	7.37
Jan. 8	6.70	6.57	7.01	7.31

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The 20 Bond Index is the average yield on 20 general obligation bonds with 20-year maturities. This index has an average rating that's equivalent to Moody's Aa2 and S&P's AA. *The 11 Bond Index* is the average yield on 11 of the 20 bonds in the 20 Bond Index. The average rating for the 11 bonds is Aa1 and AA+. *The Revenue Bond Index* is the average yield on 25 revenue bonds with 30-year maturities rated A1 or A+. These three indexes are published and updated weekly.

A fourth index is the *Bond Buyer Municipal Bond Index,* which represents an average of the prices of 40 recently issued, actively traded municipal bonds. The prices are calculated based on quotations obtained from municipal brokers' brokers. The index is published daily, and the components of the index are adjusted twice per month.

Two additional informational sources which are not shown above are the SIFMA Index and the Municipal Market Data (MMD) Curve. The *SIFMA Index* is a seven-day market index of Variable Rate Demand Obligations (VRDOs) issues with outstanding amounts of at least $10 million. The *Municipal Market Data (MMD) Curve* is published by Thompson Financial and is the yield curve of the highest rated (AAA) municipal bonds.

Market Participants

The main market makers for municipal bond trading are the *municipal bond traders* who work for dealer firms and dealer banks. These traders are connected by phone and computer so that they're able to buy and sell for other dealers and for their own inventories.

Types of Trades If the trader buys or sells for its firm's account, the trade is considered a *principal trade.* On the other hand, if the trade is executed by the trader on behalf of another party, the trade is referred to as an *agency trade*. The trader receives a commission for executing agency trades.

Types of Investors Since municipal traders don't want to own an inventory of securities that are difficult to sell, they should be aware of their clients' needs (both retail and institutional investors). *Institutional investors* include large commercial banks, insurance companies, or mutual funds. However, *retail investors* (individuals) constitute a large majority of municipal bond transactions.

As salaries rise, more taxpayers will be pushed into a higher tax bracket and may want to purchase municipal bonds to alleviate their tax burden. In fact, the underlying characteristic of municipal bond investors is the fact that they're in a tax bracket that's high enough for them to benefit from the tax exemption.

Functions of a Municipal Bond Trader In addition to making markets, the municipal bond trader may engage in *position trading*. In this case, the trader's firm may instruct him to maximize the firm's position in a particular municipal security based on the expectation that the price will rise due to a decline in interest rates.

Two or more municipal securities dealers may form a *joint account* in order to purchase and distribute a large block of securities and therefore spread the risk.

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A municipal bond trader may also be asked to *appraise or evaluate* an issue in order to determine the marketability of the bonds in an investor's portfolio. Evaluations are used to determine the individual price for a given municipal bond in a portfolio if the bond is to be sold that day. For instance, a trader may be asked to give an idea of what a particular bond(s) is worth for estate valuation purposes.

Using Futures If interest rates are rising, a trader who owns bonds will experience some loss of capital. Treasury futures contracts are a form of derivative whose prices will fluctuate based on the value of Treasury securities. If rates increase, the futures contract's value will decrease. Therefore, a trader who sells these futures contracts will be able to repurchase them at a lower price, thereby profiting from the difference. This profit will help offset the loss of capital on the bonds that the investor currently owns.

Trading Terms

- A *quote* for a municipal bond is the current bid and offer price that's available for the security.
- A *firm bid* or *firm offer* is a quote for a municipal security that will not change for a specific period for the prospective party to whom the quote is given.
- *Down bid* means the most recent bid for a security is lower than the previous bid.
- *Cover bid* is the difference between the bid at which a transaction was executed (the winning bid) and the next best bid. The cover bid is usually expressed in basis points or in dollars per bond. For example, if the winning bid was at a 4.30 basis and the next best bid was 4.35 basis, the cover bid is 5 basis points. Additionally, if the winning bid was 101 1/2 and the next best bid was 101 1/4, the cover bid is 1/4 of a point, or $2.50 per bond.
- *List* is the price at which a security is offered. If a security is "traded at list," it's trading at its list price.
- A *locked market* occurs when the prices being shown by a dealer that's bidding for a security and a dealer that's offering the same security are identical.
- *Workable* is a (bid) price at which a dealer indicates it's willing to buy bonds. Dealers often obtain workable indications from other municipal firms to give clients an indication of the prices at which they could sell their bonds.
- *Out firm* is a quotation that a dealer is committed to honor, usually for a set period. For example, Dealer A gives Dealer B a quote of 7.50 basis firm for one hour. Dealer B can call Dealer A back at any point within the next hour and buy all or part of the bonds at the offered price. Dealer A's bonds are considered to be out firm to Dealer B.

The following order qualifiers may be used by investors when they purchase municipal bonds:

- *All or none* (AON) is a type of order which indicates that the prospective purchaser must buy all of the securities being offered if it wants to buy.
- *Fill or kill* indicates that the prospective purchaser must act immediately and purchase the securities at the offering price or the quotation will be withdrawn.
- *Multiples of* offerings occur when a seller offers bonds in lots of 25, 50, 100, or 200 bonds of $1,000 each.

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Quotations

Municipal bonds are typically quoted (bid or offered) on a yield basis. As stated earlier, some term issues are referred to as dollar bonds since they're quoted at a dollar price (percentage of par), rather than on a yield-to-maturity basis.

For example, a quote for New York State bond may be:

100M New York State 4.00 7-1-40 @ 6.25 – 1/2 C30 @ 100

The offering is for $100,000 face value of 4.00% New York State general obligation bonds which mature July 1, 2040, and are callable beginning July 1, 2030 at 100. The bonds are assumed to be G.O.s since no description beyond the name is indicated. If a bond is a revenue issue, it must be designated as such and the type of project (e.g., water or sewer) must be indicated.

The bonds are offered at a 6.25 basis (6.25% yield) less 1/2-point dealer concession. To determine the actual cost of the bond, it's necessary to determine the dollar price at the 6.25% yield and then deduct the 1/2-point ($5 per bond) concession. This dollar price may be determined by using a bond calculator or a basis book. A basis book will show the dollar price necessary to receive a desired yield-to-maturity for a bond with a specific coupon rate and maturity. Many financial data services will automatically calculate this information.

Yield Disclosure

The pricing of a bond involves calculating the dollar price of a bond that's sold at a yield or calculating the yield of a bond that's sold at a dollar price. Pricing a bond to its maturity date will give a different value than pricing to its call date. The Municipal Securities Rulemaking Board requires using the lower value of the price or yield that's calculated to maturity, as compared to the price or yield that's calculated to the call. The general rules relating to pricing of bonds are:

- A bond that's selling at a discount is always be priced to maturity
- A bond that's selling at a premium, but callable at par, is always be priced to the call
- A bond that's selling at a premium, but callable at a premium, may be priced to maturity or to the call, whichever gives the lower price or yield

In the previous example of New York State bonds, the bonds will be priced to maturity since they're quoted at a discount. In fact, the pricing of bonds is usually based on the yield-to-maturity except for callable bonds that are trading at a premium, which are typically priced to the yield-to-call. This concept of pricing to the lowest yield is often referred to as the *yield-to-worst*.

Create a Chapter 4 Custom Exam

Now that you've completed Chapter 4, log in to *my.stcusa.com*. From your Dashboard, select *Final Exams*, then scroll down and select *Create a Custom Exam*. Now, select *Chapter 4* and, at the bottom of the screen, enter 10 questions in the *Number of Questions* box, and then select *Build Exam*.

Please note that the contents of a Notice of Sale and Official Statement are listed on the following page.

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Contents of a Typical Notice of Sale

1. Date, time and place of sale
2. Name and description of issuer
3. Type of bond
4. Terms and conditions
5. Bidding restrictions
6. Interest payment dates
7. Dated date, interest accrual date, first coupon payment date
8. Maturity structure
9. Call provisions
10. Denominations and registration provisions
11. Expenses to be borne by purchaser or issuer
12. Amount of good faith deposit
13. Paying Agent and/or Trustee
14. Name of attorney providing legal opinion
15. Details of delivery
16. Right of rejection
17. Criteria for award

Outline of a Typical Official Statement

1. Offering terms
2. Summary statement
3. Purpose of issue
4. Authorization of bonds
5. Security of bonds
6. Description of bonds
7. Description of issuer
    a. Organization
    b. Area economy
    c. Financial summary
8. Construction program
9. Project feasibility
10. Regulatory matters
11. Specific provisions of Indenture and/or Resolution
    a. Funds and accounts
    b. Investment of funds
    c. Additional bonds
    d. Insurance
    e. Events of default
12. Legal proceedings
13. Tax status
14. Continuing disclosure certification
15. Appendix
    a. Various consultant reports
    b. Legal opinion
    c. Financial statements and audit

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Chapter 5

Monetary and Fiscal Policy

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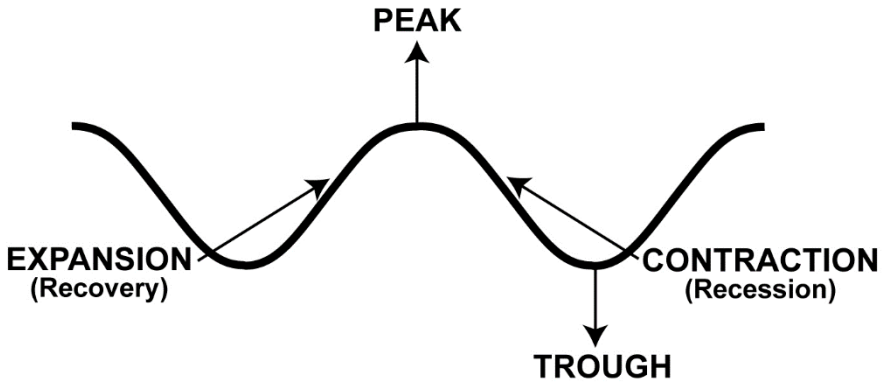
Introduction

The U.S. economy is a dynamic and enduring phenomenon. Market experts and participants study economic activity to gauge and forecast its impact on the direction of interest rates. The economy is grounded in the basic framework of democracy and free market principles, but it doesn't run without attentive monitoring and constant adjustment. Government and market officials monitor economic activity and adjust policies in an effort to steer the economy in the desired direction. This chapter will discuss the role that monetary and fiscal tools play in the formulation and implementation of economic policy as well as examine factors that affect interest rates.

Before examining how monetary and fiscal policy is used to influence the economy, let's begin with a brief background on the cyclical nature of economic activity.

The Business Cycle

The business cycle represents a repetitive succession of changes in economic activity. The business cycle has four phases—*expansion (recovery), peak, contraction (decline),* and *trough*.



In the expansion phase, business activity grows, production and demand increase, and employment increases. Businesses and consumers normally borrow money to expand which causes interest rates to rise. Rising rates will have an adverse effect on the price of existing bonds.

As the cycle moves into the peak, demand for goods overtakes supply and prices rise, which creates *inflation*. Inflation is a persistent and appreciable rise in the general level of prices. Inflation occurs when the demand for goods and services in the market increases at a faster rate than the supply of these items. In other words, *there's too much money chasing too few goods*. Businesses are able to charge more for their products, causing prices to rise, and reducing the purchasing power of the consumer.

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As prices rise, demand slackens, which causes economic activity to decrease. The cycle then enters the *contraction* or *recessionary* phase, defined as a decline in real GDP for two consecutive quarters. As business activity contracts, employers lay off workers (unemployment increases) and demand slackens. This typically causes the rate at which prices are rising (*inflation*) to decline (*disinflation*). The situation by which prices are actually falling in real terms is referred to as deflation. Deflation is the persistent and appreciable drop in the general level of prices. The cycle then enters the *trough*. Eventually, lower prices will stimulate demand and the economy will move into the next cycle, which begins again with expansion.

Remember, during the peak phase of the cycle, purchasing power can be reduced due to inflation. The government attempts to minimize the negative impact of inflation (the reduced purchasing power of the dollar) and keep the economy operating smoothly through the use of monetary and fiscal policies.

Monetary Policy

Monetary economic theory focuses on the money supply. A monetarist believes that the expansion and contraction of the money supply is the most important factor in controlling the demand for goods and services in the economy. Monetary policy attempts to control the supply of money and credit in the economy. This will affect interest rates, causing an increase or decrease in economic activity. The primary focus of monetary policy is the actions of the Federal Reserve Board as it attempts to control inflation. The Federal Reserve Board (also referred to as *the Fed* or *the FRB*) attempts to control the money supply and credit to maintain a stable, growing economy while controlling inflation.

Objectives of Monetary Policy

The Federal Reserve Act clearly states that the Fed must pursue maximum employment, stable prices, and moderate long-term interest rates. Although controlling inflation is a driving factor in the Fed's monetary policy, it's not specifically mandated in the Federal Reserve Act.

Stable Prices Supply and demand is the ultimate determinant of the average level of prices in the economy, but the level of demand for goods and services is affected by Fed policy. Moderating demand and therefore moderating prices are the Fed's overriding long-term goals.

Maximum Employment The Fed strives to maintain the unemployment rate at a level that's as low as possible without pushing it below the full employment level. If unemployment falls too low, then the expectation is that there will be inflationary pressure on worker compensation (wage inflation). Wage inflation will cause businesses to raise prices to keep operating profits as stable as possible, which will hinder the achievement of one of the major objectives—stable prices. Therefore, the goal of maximum employment is to reduce the unemployment level until prices are stable and growth is moderate. Price stability means that the Fed should strive to keep inflation on a downward trend (disinflation) without creating wage inflation.

Money Supply

Money is the unit of value by which goods and services are measured and it's the medium of exchange through which business is transacted. The Federal Reserve Board attempts to control the money supply and credit to maintain a stable, growing economy with the aim of combating inflation.

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There are several standard measures of the money supply that are used by the Federal Reserve Board, including the monetary base, M1, and M2. The *monetary base* is defined as the sum of currency in circulation and deposits that are held by banks and other depository institutions in their accounts at the Federal Reserve (reserve balances).

Definitions of the Money Supply	
M1	Currency in circulation held by the public + demand deposits at commercial banks + other checkable deposits
M2 = M1	+ money market deposit accounts (MMDAs) + savings and relatively small time deposits (less than $100,000) + balances at retail money market mutual funds

Major Tools of the Federal Reserve Board (FRB)

The FRB has the following tools at its disposal through which it may implement its monetary policy:

- Setting reserve requirements
- Setting the discount rate
- Implementing open market operations
- Setting margin requirements
- Utilizing moral suasion

Reserve Requirements

Member banks are required to keep a portion of their deposits on reserve with the FRB. By adjusting the amount that banks must keep on reserve at the FRB, the Fed can tighten or ease the money supply. If reserve requirements are lowered, the banks are able to extend more credit and therefore increase the money supply. The opposite effect occurs with an increase in reserve requirements.

After meeting its reserve requirement, a bank will strive to lend the remaining funds to borrowers. The amount of funds that a bank has above the reserve requirement is referred to as its *excess reserves*. The money that's spent by the borrowers will eventually be deposited in another bank. This continues as money is deposited from bank to bank, creating a multiplier effect on deposits. In other words, the *multiplier effect* is the rate at which banks can create new money by relending deposits and, in turn, creating new deposits. Changing the reserve requirements will have an impact on the multiplier effect within the banking system.

An additional factor is the *velocity of money* which measures the number of times a dollar is spent over a given period. The effects of these changes to the reserve requirement can be drastic and have the most immediate impact on the money supply, therefore, this is one of the least used tools of monetary policy.

Discount Window

The FRB was originally established to aid the banking system in emergency situations by acting as a banker's bank. The FRB always stands ready to lend money to its members and fulfills that function through its discount window. The rate charged by the FRB for loans it provides is referred to as the *discount rate*.

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When members of the Fed borrow using the discount window, new money is injected into the system (which is then expanded by the multiplier effect). The FRB can encourage or discourage use of discount window borrowing by changing the rate of interest that it charges for those loans.

By decreasing the discount rate, the FRB encourages borrowing, which expands the money supply. Conversely, the money supply will contract due to an increase in the discount rate. A change in the discount rate is usually taken as a very strong sign that monetary policy has shifted. The discount rate is the only rate that's directly set by the FRB. Although it's largely symbolic, it acts as the basis on which other key interest rates are built, such as the federal funds rate.

Federal Funds

Due to deposits, withdrawals, and loan demands, a bank may find itself with either an excess reserve position or a deficit reserve position. If a bank has excess reserves, it may lend additional funds to borrowers (e.g., commercial banks) that are in a deficit reserve position. These short-term loans of excess reserves that banks lend one another are referred to as *federal funds*. The rate of interest that's charged on these loans is the federal funds rate.

The federal funds rate is determined by supply and demand. Since federal funds are for short-term (overnight) purposes, they're considered money-market instruments. Also, due to the short duration of the loan, the fed funds rate is normally considered the most volatile interest rate. The effective federal funds rate is published daily and shows the average rate that was charged the previous night for federal funds. Although the FRB doesn't directly set the fed funds rate, it does set a target. The FRB's Open Market Operations are designed to maintain the fed funds rate within this prescribed target range.

Open Market Operations

Unlike the previous tools (e.g., reserve requirements and the discount window) that entail very public moves on the part of the FRB, open market operations can be implemented very quietly and without disruption to the financial markets.

The *Federal Open Market Committee (FOMC)* oversees the FRB's buying and selling of U.S. government securities in the secondary markets. Open market operations are the most effective and frequently used tool of monetary control that's employed by the FRB. The FOMC's operations are also the most flexible tool and the easiest to reverse.

Open market operations typically involve the purchase and sale of U.S. government securities—primarily Treasury bills. However, the FRB also trades government notes and bonds. These trades are executed through *primary government dealers*, which include the nation's largest banks and brokerage firms that have been appointed by the FRB.

Buying Securities If the Fed buys securities, it pays for these securities with funds that are ultimately deposited in commercial banks. This causes deposits at banks to increase and therefore adds to the funds that are available for loans. The result of this activity is an increase in bank reserves. Money becomes more available and interest rates tend to move downward. This is referred to as an easy money policy.

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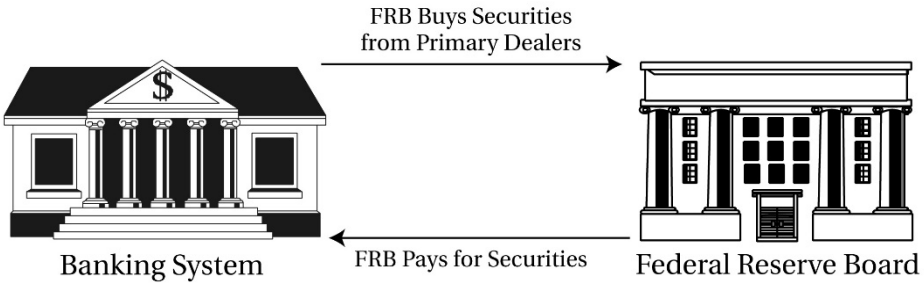
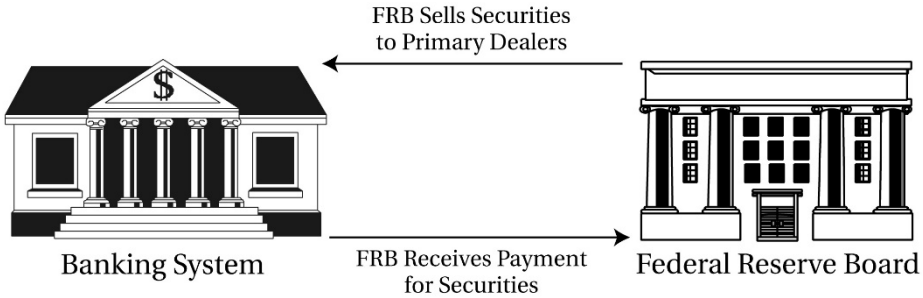


Selling Securities If the Fed intends to tighten (reduce) the money supply, it will sell securities to banks and securities dealers. The banks and dealers will pay for these securities by withdrawing the money from their demand (checking) accounts and, therefore, their bank reserves will decrease. The withdrawal of money from the banks will decrease the amount of money available for loans. Ultimately, this will have a tightening effect on the money supply, causing interest rates to rise.



Repurchase Agreements A repurchase agreement (also referred to as a repo) is a contract that's entered into by the Federal Reserve to purchase U.S. government securities from dealers at a fixed price, with provisions for their resale back to the dealer at the same price plus a negotiated rate of interest. When the Fed effects a repo, it's lending money and, therefore, increasing bank reserves (an easy money policy).

A reverse repo (also referred to as a *matched sale*) occurs when the FRB sells securities to dealers with the intention of buying the securities back at a future date. This has the short-term effect of absorbing funds from the money supply (a tight money policy).

Margin Requirements

The Securities Exchange Act of 1934 gave the Federal Reserve Board the power to determine the amount of credit that can be extended to purchase securities. Regulation T applies to credit extended by brokerage firms, while Regulation U applies credit extended by banks and all other lenders. By increasing margin requirements, the FRB reduces the amount that brokers and banks may lend, which causes the money supply to tighten. Changing the margin requirement is the least effective method that the FRB uses to control credit because it only affects securities market transactions.

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Moral Suasion

There are times when the Fed attempts to influence bank lending policies through moral suasion (also referred to as jawboning). The Fed exerts its influence through the public media or through the examiners that are sent to member banks. Its efforts to control the money supply by these means are limited by the extent to which they can elicit cooperation from these institutions.

Effects of the FRB's Activities

As with any product, when the supply increases, the price of that product will decrease and, if the supply contracts, the price will increase. The price of money is the interest rate that lenders charge borrowers. Therefore, as the FRB changes the supply of money, the price of money (interest rates) must also change. As interest rates change, the FRB will adjust its monetary policy in order to influence the various sectors of the economy.

In summary, Federal Reserve Board's activities tend to cause the following:

Activity	Effect on Money Supply and Credit (Loan) Availability	Impact on General Interest Rate Levels
Raise bank reserve requirements	Decrease	Raise
Raise the discount rate	Decrease	Raise
Raise margin requirements	Decrease	Raise
Sell government securities in the open market	Decrease	Raise
Lower bank reserve requirements	Increase	Lower
Lower the discount rate	Increase	Lower
Lower margin requirements	Increase	Lower
Buy government securities in the open market	Increase	Lower

Any method or tool that creates additional money for the banking system is potentially inflationary. On the other hand, any tool or method that shrinks the amount of money available to the banking system is potentially deflationary. The FRB uses its tools to influence inflation and deflation.

> *For example, to combat inflation, the FRB may seek to sell securities through its open market operations. Inflation normally occurs due to an abundance of money in circulation. Since selling securities reduces the money supply, this action may curb inflation.*

To curb deflation, the FRB will seek to buy securities. During deflationary periods, prices are dropping. Business activity is sluggish which reduces the demand for money. This results in a drop in interest rates. By purchasing securities through its open market operations, the FRB will be injecting money into the banking system in order to stimulate investment and business activity.

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How Money is Created As measured by M1, money consists of currency plus checking account balances. While the FRB prints currency, the commercial banking system creates checking accounts. Banks make a profit if they can attract deposits and lend those funds at a higher rate of interest.

Intermediation and Disintermediation Banks can only create money if they're able to attract deposits and subsequently make loans. *Intermediation* is a term that refers to the ability of financial intermediaries (such as banks) to attract deposits and, in turn, extend credit.

Disintermediation is the process by which investors withdraw funds from banks in order to seek higher-yielding investments elsewhere. For example, if money-market mutual funds are yielding 4%, while time deposits at banks are yielding 2%, investors may invest money in the funds with bank withdrawals. The higher mutual fund yield may affect the bank's ability to attract and keep deposits.

Definition and Impact of Economic Indicators

The Fed uses the business cycle as one determinant in forming policy. Another major consideration is the state of the economy as evidenced by economic indicators. The indicators are also a driving force in the capital markets. Each day, traders and money managers await that day's economic report that will include the results of one or more indicators. For instance, if the *market* (a consensus of economists employed by brokerage firms) anticipates that Gross Domestic Product (GDP) has grown at an annualized rate of 2.8% for the last quarter, but the report shows GDP growth of 3.1%, the stock market will typically react positively. GDP is the total value of goods and services that are produced within U.S. borders. Treasuries will generally fall in price because growth that's faster than expected is inflationary and fuels the perception that fixed-income values will be eroded if such growth numbers persist.

In the preceding example, the reason for the bond market's reaction is not necessarily because economic growth of 3.1% is excessive, but because it exceeded the expected rate of 2.8%. Growth exceeding that number means that bonds may be over-priced and an adjustment may be necessary.

One way to avoid misinterpretation of economic indicators is to examine the trend of a recent string of releases for a given indicator. Trend analysis helps "smooth" data and helps market players remove distortions and identify patterns that are evident in data. It's also helpful to examine a number of indicators in concert with one another to identify corroborating evidence of patterns and trends in economic activity, rather than simply looking at an isolated piece of data.

Business Cycle Indicators

Although the economy tends to follow a general pattern, it's often difficult to determine its direction at any given time. Economists use three types of indicators that provide monthly data on the movement of the economy as the business cycle enters different phases. The three types of economic indicators are *leading*, *coincident*, and *lagging*.

Leading Economic Indicators Leading economic indicators precede the upward and downward movements of the business cycle and may be used to predict the near-term activity of the economy.

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The government index of 10 leading economic indicators is released monthly and its components are:

1. Average weekly hours; manufacturing
2. Average weekly initial claims for unemployment insurance
3. Manufacturing new orders; consumer goods and materials
4. ISM Index of New Orders (this reflects the level of new orders from customers)
5. Manufacturers' new orders, non-defense capital goods excluding aircraft orders
6. Building permits; private housing units
7. The prices for the S&P 500 Index common stocks
8. Leading Credit Index (this index consists of six financial indicators based on various yields)
9. Interest rate spreads, 10-year Treasury bonds less federal funds
10. Average consumer expectations for business conditions

Coincident Economic Indicators Coincident indicators typically mirror the movements of the business cycle. The coincident economic indicators include the following four components:

1. Employees on non-agricultural payrolls
2. Personal income less transfer payments (transfer payments represent aid for individuals in the form of Medicare, Social Security, and veteran's benefits, to list a few.)
3. The Index of Industrial Production
4. Manufacturing and trade sales

Lagging Economic Indicators The index of lagging indicators represents items that change after the economy has moved through a given stage of the business cycle. The index of lagging indicators should confirm the economic condition portrayed by previous leading and coincident indexes. Lagging indicators include:

- The average duration of unemployment
- The relationship of inventories to sales, manufacturing, and trade
- Labor cost per unit of output for manufactured goods
- The average prime rate charged by banks
- Commercial and industrial loans outstanding
- The relationship of consumer installment credit to personal income
- The consumer price index for services

Other Important Indicators

The preceding indicators are important as components of the leading, coincident, and lagging indexes, but there are a number of other indicators that are also closely watched by investors and the bond market.

Gross Domestic Product (GDP) Gross Domestic Product has replaced Gross National Product as the most important measure of output and spending within the United States. GDP is the output of goods and services that are produced by labor and property located in the U.S. without regard to the origin of the producer. For example, a Toyota plant in Columbus, Ohio is part of GDP. Components of GDP include consumer spending, investments, government spending, and net exports. The most useful variation of GDP is *real GDP*, which is GDP that's been adjusted for inflation. This is considered the key measure of aggregate economic activity. In fact, rising GDP signifies economic growth and potential inflation.

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Existing Home Sales Existing home sales is a strong indicator of housing demand and a leading indicator of overall economic activity. This report covers the number of existing, privately owned, single-family homes that were sold during the month. Some economists believe this report is more significant than new home sales since it's based on a much larger sample size and is released approximately one week before new home sales data. A strong upward trend in existing home sales is considered bad for the bond market.

Consumer Price Index (CPI) The Consumer Price Index is widely considered to be the most important measure of inflation. CPI measures the prices of a fixed basket of goods that are bought by typical consumers. If the prices of these goods are rising, then the economy is experiencing inflation. Inflationary periods are typically characterized by rising interest rates.

Producer Price Index (PPI) The PPI is the first indication of the level of inflation each month and often leads the way toward a change in sentiment regarding growth in the economy. The PPI is a measure of prices at the producer level that generally indexes finished goods at wholesale prices. It also provides an index of commodity prices with no consideration for services in the economy.

The PPI provides pricing information for consumer-related goods and capital equipment in three stages of processing. Finished goods (no further processing) is the most heavily publicized stage. Pricing information for intermediate goods (in process, but not yet completed), and crude materials (not manufactured) are also available. A PPI figure that exceeds expectations will typically have a negative impact on the bond market.

Foreign Exchange and Trade Changes in interest rates affect not only the domestic economy, but also international economic activity. If interest rates in the U.S. are higher than interest rates overseas, foreign investors seeking to earn the higher rate will want to invest in the U.S. markets. To invest in the U.S., foreign investors must first convert their funds into U.S. dollars. As demand for dollars increases, the price of dollars (exchange rate) will increase. The result is that higher U.S. interest rates compared to foreign yields may lead to a stronger dollar.

Foreign exchange rates also have an impact on foreign trade. If the U.S. dollar is strong, U.S. consumers can purchase more foreign goods. Therefore, imports into the U.S. (exports from foreign countries) will increase. Conversely, foreign consumers (with weaker foreign currencies) will be unable to purchase the relatively more expensive U.S. goods. This causes exports from the U.S. to decrease and leads to a trade deficit for the U.S. (imports exceeding exports).

To correct a trade deficit, the dollar must fall. U.S. goods will become cheaper (more competitive) abroad and foreign goods will become more expensive in the United States. This will lead to more U.S. exports and fewer U.S. imports, which should help to alleviate the trade imbalance.

Commodity Prices Another leading indicator of inflation is commodity prices. If prices of commodities (e.g., oil) increase, it's considered an inflationary sign. In response to this sign, the Fed will raise interest rates. The Fed could do this by tightening the money supply which involves selling securities to banks and securities dealers. The banks and dealers will pay for these securities by withdrawing money from their reserves, thereby decreasing the amount of money available for loans.

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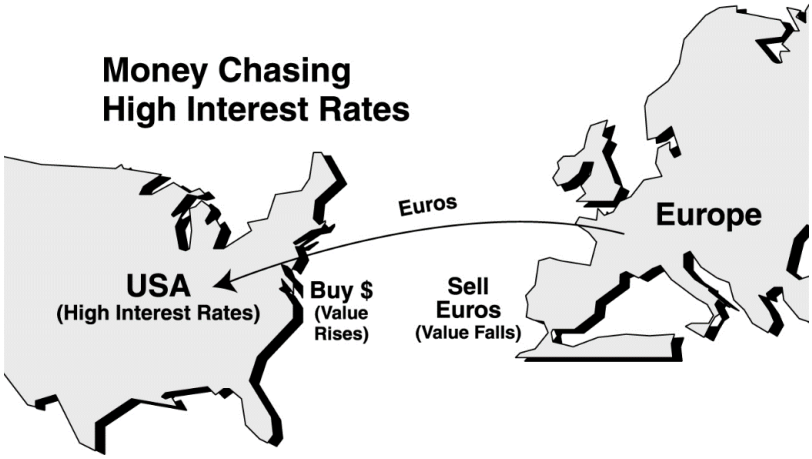

Fiscal Policy

Fiscal policy involves the government's use of taxation and expenditure programs to maintain a stable, growing economy. If the economy is in a recession or trough, the government can increase its spending to stimulate demand. Alternatively, it can cut taxes, which will increase the disposable income of consumers and also stimulate demand. If the economy is overheated (too much demand), the government can cut its spending or increase taxes.

Fiscal policy is set by the President and Congress and, therefore, some decisions may be based on political motives, rather than those that are purely economic. However, the main focus of fiscal policy is on economic growth and high employment. This policy is more concerned with how much the government will spend in total, rather than on individual programs. The goals of fiscal policy are to influence the performance of the economy in order to allow the simultaneous existence of full employment, a stable price level, and sustained economic growth.

Taxation

Tax policy can be used to stimulate or reduce economic activity. General tax cuts will normally stimulate the economy. On the other hand, specific tax deductions, credits, and loopholes can stimulate particular sectors of the economy. The main purpose of the tax system is to spread the cost of government throughout society.

The effect of an income tax is to reduce the magnitude of fluctuations in the economy. An economy with a low income tax rate will suffer wider swings in national income from a change in aggregate expenditures than an economy with a higher tax rate. Therefore, an income tax serves as an automatic stabilizer.

If a progressive income tax exists, it will function even more effectively as a built-in stabilizer. A progressive income tax, where rates are progressively higher as the taxable amount increases, magnifies the effectiveness of taxes as built-in stabilizers. When GDP increases, tax collections rise more than proportionally as individuals move into higher tax brackets, and fall more than proportionally when GDP declines.

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Expenditure Programs

The government may spend money to create programs in hopes of stimulating the economy. However, Congress must keep track of the level of spending. When the government spends more than it collects in tax receipts, it's forced to borrow the difference. This is referred to as *deficit spending*. The increased borrowing may cause the level of interest rates to rise.

If the policy is successful, economic activity will increase and the private sector will need funds to expand plants and production, which will also cause a rise in interest rates. However, there's a limit to how much interest the private sector (corporations and individuals) can afford to pay. Since the government's source of funds to pay interest on its debt is essentially unlimited, it's insensitive to interest rates. Therefore, the government can outbid the private sector for available funds. The private sector is squeezed out of the credit markets by high interest rates. This is referred to as *crowding out*.

Budget Deficit

How can economic decision makers know at any point whether fiscal policy is expansionary or contractionary? They will often examine the federal budget deficit for the answer. The size of the actual budget deficit is the product of two forces—the *fiscal policy of the federal government* and *cyclical fluctuations*. The size cannot be used to determine the stance of fiscal policy because the amounts of tax receipts and government expenditures vary directly with the level of national income.

The *cyclical deficit* is the portion of the total budget deficit that's caused by the cyclical fluctuation in the economy. The *structural deficit* is the budget deficit that occurs if the economy is operating at the level of full employment.

The structural budget deficit or surplus is a better indication of the direction of the federal government's fiscal policy than the actual budget or surplus because the cyclical effects on the deficit or surplus have been eliminated. For that reason, the structural deficit serves as an indicator of the stance of fiscal policy. If a structural deficit exists, then fiscal policy is expansionary.

Debt Management

Debt management practices involve deciding whether to sell short-term or long-term debt in order to finance government operations. For example, in the event of a surplus, the Treasury may pay off some of its debt in order to change the profile of its outstanding debt. Alternatively, if the Treasury believes that there's a need for long term financing, it may decide to issue long-term debt.

The Treasury has attempted to manage its debt so that it can market the debt in the face of volatile interest rates and lengthen the average maturity of its outstanding debt. The Treasury's main objective is to get debt sold in the least expensive and least disruptive way possible. With this goal in mind, the Treasury began regularizing debt issuance in order to minimize the cost of issuing Treasury debt and to maximize the capacity of the market to absorb debt issuance. Regular, predictable debt issuance should reduce the yields that dealers and investors bid for new Treasury securities and therefore reduce the cost of financing the debt.

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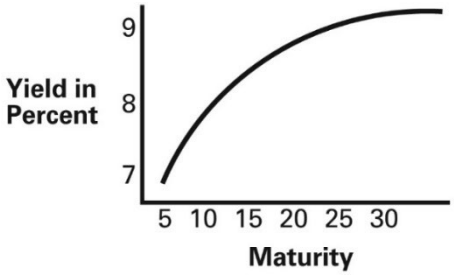
By increasing the length of the average maturity of its outstanding debt, the Treasury will not be forced to issue debt each year just for refunding purposes. (This makes the interest component of debt service highly sensitive to current market rates.)

Yield Curves

If different maturities are plotted against the corresponding yield for each maturity, the resulting graph is a yield curve. A yield curve is also referred to as the term structure of interest rates. A yield curve can be created for any type of bond, but investors and analysts tend to use yield curves that are derived from securities which are issued by the U.S. government in order to judge the direction in which interest rates are heading.

Normal Yield Curve

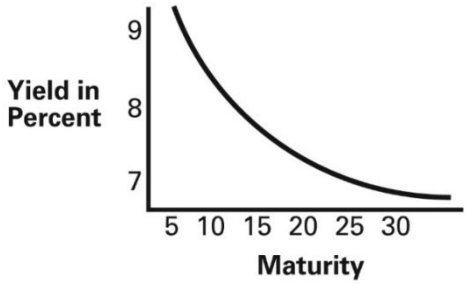
A positively sloped yield curve is the type that exists under most market conditions and is referred to as a *normal, positive, ascending*, or *upward sloping yield curve*. Since yields generally increase as maturities lengthen, the typical yield curve will show lower yields in the shorter maturities and higher yields in the longer maturities.



Inverted Yield Curve

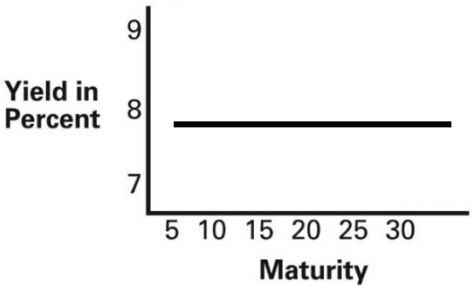
The inverted yield curve is also referred to as being a *negative, descending*, or *downward sloping curve* and is relatively rare. Notice that yields are the highest for the shortest maturity and decrease as the maturity increases.

The negatively sloped yield curve shows the reverse of the positively sloped yield curve. Weak demand for bonds with short maturities drives yields up, while strong demand for bonds with long maturities drives yields down. Negatively sloped yield curves tend to appear when interest rates are relatively high, such as in periods of high inflation. When the demand for money (borrowing) far exceeds the supply, there is an inverted yield curve.



Flat Yield Curve

A flat yield curve reflects similar demand and supply and, therefore, similar yields, across all maturities.



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Yield Curve Analysis

Economic activity is highly scrutinized by policymakers, economists, and market participants in an effort to forecast the direction of interest rates. This section will explain that the yield curve is another tool that's used to analyze market expectations and also predict the future direction of interest rates in the economy.

The slope of a yield curve is based on the nominal interest rate, which is composed of the real interest rate plus the inflation premium. For example, if a 10-year bond is yielding 7% when the inflation rate is 3%, the real rate of interest is 4%. The 7% is composed of a 4% real interest rate, plus a 3% inflation premium.

As the yield curve takes shape, the inflation premium is added to each level of interest rate at a particular maturity. The premium reflects the level of inflation that the market expects over the lifetime of the bond. For example, while the market may add a 3% inflation premium for 10-year bonds, it may require a 4% premium for 30-year bonds.

Non-Treasury bonds typically offer higher yields because, in addition to an inflation premium, the market adds another premium for other types of risk, such as credit or default risk, call or early redemption risk, liquidity or market risk, and unexpected changes in the inflation rate.

The Shape of the Yield Curve

Different factors influence the various slopes of the yield curve. These include macroeconomic factors such as Federal Reserve policies, the rate of inflation, and the conditions of the U.S. economy. The slope of a non-Treasury bond yield curve is also influenced by technical factors, including call features, credit risks, and liquidity risks.

The positively sloped yield curve reflects the strong demand of investors for shorter maturity debt. Therefore, yields are lower in the earlier maturities and higher at the longer maturities.

The negatively sloped yield curve reflects the reversed conditions from a positively sloped yield curve. As described earlier, during inflationary times, when demand for money (issuers wanting to borrow) exceeds supply, there may be an inverted yield curve. Demand for short-term borrowing will drive yields up, while strong demand by bond investors for long maturities drives yields down (due to the buying demand, high prices will push yields down). This may indicate that investors expect interest rates to fall (investors want to take advantage of the short-term rates).

Explaining Yield Curves

Several theories attempt to explain the term structure of interest rates.

The Market Expectations Theory This theory states that there's a link between current rates and expected rates (forward rates). For example, if today's yield for a one-year bond is 5%, and if the consensus is that one year from now yields on one-year securities will be 7%, the yield today on a two-year bond should be 6%. An equilibrium is reached because investors should be indifferent to investing for successive one-year periods or for a two-year period. If this theory is correct, the yield curve could be used to predict future interest rates.

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The Market Segmentation Theory The market segmentation theory assumes that different groups of investors have preferences for different maturities of bonds. For example, life insurance companies and pension funds prefer long-term obligations due to the fact that they don't need liquid investments and their liabilities are long-term and predictable. On the other hand, banks prefer short-term instruments to match their short-term demand liabilities. Therefore, the shape of the yield curve is determined by the changing relationships between the supply of bonds and the demand for them from various investor groups.

The Liquidity Preference Theory Another explanation for the shape of the yield curve states that it illustrates the risk premium demanded by investors who buy long-term bonds. Investors who buy long-term issues face risk of default or interest rate changes for a longer period of time and, as a result, they demand additional yield as compensation. Investors who purchase short-term bonds are willing to sacrifice yield to increase liquidity, which is also referred to as the *liquidity preference theory*.

Interpreting the Yield Curve

In comparison to short-term rates that are strongly influenced by the current reserve position of the Federal Reserve Bank, longer-term rates are influenced by expectations of future short-term rates and therefore by the longer-term effects of monetary policy on inflation and output. For example, a steep positive yield curve may be an indication that participants in the bond market believe that monetary policy has become too expansive and, without a monetary policy correction, more inflationary. This type of curve will be suggesting for the Fed to provide fewer reserves by reducing the buying activity in federal open market operations.

Conversely, an inverted yield curve may be an indication that fiscal policy is restrictive. However, various other influences must be considered, such as uncertainty of future interest rates. Therefore, a steepening of the yield curve may indicate that market participants have become more uncertain about the outlook for interest rates, rather than believing that monetary policy is too expansive. In other words, liquidity premiums embodied in long-term interest rates may have risen.

Yield Spread

Another variable that can create opportunities as well as problems for bond investors is the difference (spread) between yields for different classes of bonds. For example, A-rated corporate bonds should always have higher yields than similar maturity Treasury securities. However, the amount by which the corporate yield exceeds the corresponding Treasury yield (the "spread over Treasuries") is not constant.

Yield spreads between classes of bonds can be affected by a variety of factors, including:

- The expectations investors have for the economy (during recessions, investors stay away from risky creditors in what's referred to as the "flight to quality.")
- Financing activities by various issuers (a large Treasury sale can significantly increase supply.)
- The entry into, or exit from, the market of large classes of investors (e.g., mutual funds and insurance companies)

During times of falling interest rates, the price performance among various types of bonds can differ due to *compression.* When interest rates fall, bond prices increase; however, the price of some types of bonds will not increase as much. Instead, the price will be compressed towards par.

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> *For example, in periods of falling interest rates, the value of Treasuries and mortgage-backed securities both rise, but the rise in mortgage securities is limited by the effect of prepayments. Since prepayments are always returned at par, investors are unwilling to pay much above par for a security that's likely to prepay soon. Therefore, par compression occurs as MBS prices resist rising above par as interest rates decrease.*

There can also be variations in yield within a particular class of bonds. For example, in theory, two AAA-rated, 10-year utility bonds should have the same yield-to-maturity, since they're at the same point on the AAA yield curve. However, if one bond has a 4% coupon and the other has a 9% coupon, the high-coupon premium bond will likely have a higher yield when interest rates are falling than the low-coupon bond, because it's more likely to be called.

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Chapter 6

SEC Rules and MSRB Qualification Rules

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Introduction

Although municipal securities are subject to specific rules and guidelines that are unique to their market and issuers, they're also governed by a regulatory structure that's similar to other securities.

The Securities and Exchange Commission (SEC)

The SEC is responsible for enforcing federal securities laws. Members of the Commission are appointed by the President with the advice and consent of the Senate. The commissioners are appointed to terms of five years and must engage in the business of the SEC on a full-time basis.

Securities Act of 1933

The sale of new issues of securities is governed by the Securities Act of 1933. Unless an exemption is available, the issuer must file a registration statement with the SEC whenever the mails or other channels of interstate commerce are used to sell the securities. Sales of large blocks of previously issued stock—referred to as *secondary distributions*—can also be registered under the Act.

The Registration Process

The Securities Act of 1933 attempts to prevent fraud in the sale of new issues by requiring that investors be provided with enough relevant information about the offering to make an informed decision. This information is provided through a *registration statement*, which is a public document that's filed with the SEC and designed to provide *full disclosure* of all material information about the issuer and the offering. A summary of the registration statement—the *prospectus*—must be provided to all purchasers of the new issue.

The SEC reviews the registration statement and will not allow the sale to proceed if it believes that the document is incomplete or misleading. However, the SEC doesn't pass judgement on the accuracy of the disclosures that are contained in the registration statement. Additionally, the SEC neither approves issues nor passes on the investment merit of any security. If a registered representative implies that the SEC has approved an issue or passed on the accuracy of a prospectus, the RR has violated federal law. The front cover of every prospectus must display a statement that describes the limitations of the SEC's review.

Exemption Securities In certain situations, new issues of securities can bypass the SEC registration process by qualifying for an *exemption*. An exemption can be of great financial benefit to an issuer, since it's able to avoid the time and expense of registration. The following securities are exempt from the registration and prospectus requirements of the Act:

- Municipal securities
- U.S. government securities, U.S. government agency securities, and U.S. government sponsored enterprises
- Securities that are issued by non-profit organizations
- Short-term corporate debt instruments (e.g., commercial paper) that have maximum maturities of 270 days
- Securities issued by domestic banks and trust companies (but not bank holding companies)

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Antifraud Rule In addition to specific registration requirements, the Securities Act of 1933 prohibits fraud in connection with the sale of any new issue. This antifraud rule also applies to government and municipal securities, as well as other types of issues that are otherwise exempt from the Act.

SEC Rule 15c2-12: Municipal Securities Disclosure

SEC Rule 15c2-12 assists an underwriter in meeting its obligation to have a reasonable basis when recommending a municipal security. According to this rule, an underwriter:

- Must obtain and review an official statement prior to bidding for or purchasing the securities. The official statement must be considered in final form by the issuer at that time. Since the following information may not yet be known, it can be omitted:
  - Offering price
  - Interest rate
  - Selling compensation
  - Aggregate principal amount and principal amount per maturity
  - Delivery dates
  - Rating
  - Identity of the underwriter(s)
- Must send customers the most recent copy of the preliminary official statement, if any, within one business day of request (for negotiated offerings)
- Must contract with the issuer to receive, within seven business days after the agreement to purchase, offer, or sell the securities, sufficient quantities of the final official statement

Exemptions SEC Rule 15c2-12 pertains to most primary offerings of municipal securities, with the following exceptions:

- Primary offerings with an aggregate principal amount of less than $1 million
- Bonds that are sold to investors in units of no less than $100,000 and sold to no more than 35 sophisticated investors (private placement)
- Any offerings that are sold by an issuer directly to an investor without using an underwriter (a direct loan)
- Bonds that are sold in $100,000 minimum denominations and mature in nine months or less

Rule 15c2-12 also contains an exemption if the bonds continuously maintain a $100,000 minimum denomination and offer tender rights at least every nine months. This exemption specifically applies to variable-rate demand obligations (VRDOs).

Continuing Disclosure Requirements After both the initial issuance of municipal bonds and the obligation to send clients an official statement is satisfied, what type of additional disclosure is required? Although corporate issuers are required to file certain documents with the SEC, municipal issuers are exempt from most SEC rules. SEC Rule 15c2-12 includes provisions that an issuer or another obligated person may enter into a contract to provide continuing disclosure information to the MSRB's EMMA website. An *obligated person* is defined as any other entity that has legally agreed to support all or a part of the payment of the issue of securities. These disclosures typically contain financial or operating information and notices of material events.

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An underwriter is required to disclose to the MSRB whether the issuer or other obligated persons have agreed to provide continuing disclosure information as defined in SEC Rule 15c2-12. This contractual obligation by the issuer is generally found in the underwriting agreement. With respect to continuing disclosure requirements, the underwriter must disclose to the MSRB whether an issuer is providing continuing disclosures, the identity of any obligated person other than the issuer, and the timing regarding when the issuer or obligated persons have agreed to provide annual financial and operating data.

Securities Exchange Act of 1934

Although the focus of the Securities Act of 1933 is fairly narrow (the registration and sale of new issues), the Securities Exchange Act of 1934 is concerned with the trading of securities once they've been issued, the regulation of exchanges, and the regulation of broker-dealers. The Act covers many activities that related to the securities markets, including:

- Regulation of transactions in the secondary market, including anti-manipulation rules and regulations involving the extension of credit in securities transactions (Regulation T)
- Registration and regulation of broker-dealers
- Oversight of industry self-regulatory organizations (SROs)
- Registration and regulation of issuers with securities that trade in the secondary market, including regular financial disclosures, proxy rules, and insider reporting requirements

Certain securities, such as municipal securities and U.S. government securities, are exempt from some parts of the Securities Exchange Act of 1934. Exempt issuers are not required to register their securities under the Act or file regular financial reports. Also, they're not covered by the restrictions regarding the extension of credit. However, the general antifraud provisions of the Exchange Act apply to all exempt issuers as well as to broker-dealers.

Broker-dealers that are registered under the Exchange Act are required to adhere to SEC rules regarding financial responsibility. This includes having sufficient net capital (liquid net worth) to maintain solvency. The Act also requires firms that have custody of customer funds and securities to safeguard those assets under the SEC's Customer Protection Rule.

Securities Acts Amendments of 1975

Although municipal securities were subject to federal antifraud provisions, before the passing of the Securities Acts Amendments, there was no specific set of rules and regulations the governed the activities of municipal securities market professionals. Banks and securities firms that engaged solely in the municipal securities business were not required to register with the SEC and, as a result, the municipal securities market went largely unregulated. This worked well until a combination of factors resulted in the need to police and regulate the municipal securities industry. In the early 1970s, a number of fraud actions were brought by the SEC against municipal securities professionals alleging improper and unethical trading and selling practices. At the same time, the municipal securities market was expanding. Increased personal income and inflation pushed more investors into higher income tax brackets and investors sought relief in municipal securities because of their tax-exempt status.

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These factors caused Congress to consider creating legislation to protect investors through regulation. Based on support of both the industry and the SEC, Congress passed the Securities Acts Amendments of 1975. This Act amended the Securities Exchange Act of 1934 and added Section 15B, which deals with various aspects of municipal securities business.

The Securities Acts Amendments of 1975 required dealers that participate in municipal securities transactions to be registered with the SEC and also created the Municipal Securities Rulemaking Board. The MSRB was designed to function as an independent, self-regulatory organization charged with primary rulemaking authority for the municipal securities industry. The MSRB was formally established on September 5, 1975, with the appointment by the SEC of its 15 initial members. Representation on the Board covers three areas—banks, securities firms, and public members.

Based on the passage of the Dodd-Frank Act in 2010, the makeup of the board was changed. Currently, the board is made up of 21 members who are knowledgeable of matters relating to municipal securities. Of the 21 members, 11 of the individuals must be independent of any municipal securities broker-dealer; however, the remaining 10 are associated with a municipal securities firm.

The MSRB defrays the costs and expenses of its operation and administration by levying fees and charges on securities firms and dealer banks that engage in municipal securities business. Costs and expenses cannot be offset with fines that have been assessed. Firms and dealer banks that effect municipal securities transactions must pay to the MSRB:

- An initial fee of $1,000
- An annual fee of $1,000
- A fee based on the volume of new issue underwritings in which the firm or dealer bank participates
- An assessment based on municipal securities transactions in the secondary market
- A technology fee

The MSRB's Rulemaking Authority

The MSRB has the authority to formulate and interpret rules that regulate the municipal securities activities of banks and securities firms only. In other words, the MSRB's rules don't apply to municipal securities issuers or investors. The Securities Acts Amendments of 1975 specifies the areas in which MSRB rulemaking authority is appropriate. Areas include those focused on preventing fraudulent and manipulative acts and practices, promoting fair and equitable trade principles, and protecting investors and the public interest. Examples of the Board's rulemaking authority over dealer activity include rules regarding:

- Standards of professional qualification and fair practice
- Recordkeeping
- The scope and frequency of periodic compliance examinations
- The form and content of quotations that relate to municipal securities
- Confirmation, clearance, and settlement of transactions

The Municipal Securities Rulemaking Board is specifically prohibited from requiring issuers, either directly or indirectly, to provide information to investors or the Board. However, the Board may require dealers to provide both investors and/or the Board with issuer documents that are generally available from sources other than the issuer (e.g., official statements which are supplied by dealers).

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The Rulemaking Procedure The MSRB's rulemaking procedure involves several steps. First, the Board issues rule proposals in exposure draft form and provides for a public comment period of up to 60 calendar days. Then, the rule proposals are filed with the SEC as well as the federal bank regulatory agencies for their official review. The Act of 1975 requires the publication of the proposals in the *Federal Register* along with another comment period prior to SEC approval. With the exception of rules relating solely to the administration of the Board and assessments, rules are generally subject to approval by the SEC prior to becoming effective.

Enforcement of MSRB Rules Although it may seem strange, the MSRB doesn't enforce the rules that it formulates. Instead, the rules are enforced by the existing securities and bank regulators. For securities firms, the Board's rules are enforced by FINRA and the SEC; however, the SEC "permits" FINRA to do most of the work. For dealer banks, MSRB rules are enforced by one of the following bank regulatory agencies:

Type of Entity	Enforcement Authority
▪ For a national bank or a subsidiary, department, or division of the bank	The Comptroller of the Currency
▪ For a non-national bank that's a member of the Federal Reserve System	The Federal Reserve Board
▪ For a non-national bank that's not a member of the Federal Reserve System	The Federal Deposit Insurance Corporation (FDIC)

An important note is that MSRB rules govern the municipal securities activities of a bank that are conducted on a *dealer* basis (i.e., the bank is buying or selling for its own account). However, MSRB rules don't cover municipal securities transactions of banks that are conducted on a fiduciary or agency basis, such as trust department transactions for clients. On the other hand, the municipal securities activities of securities firms (broker-dealers) are subject to MSRB rules for transactions that are executed on either a broker (agency) or dealer (principal) basis.

Although other entities enforce the rules, the MSRB provides important rule interpretations. This is accomplished through the release of interpretive letters and notices which are made available to the industry as a regular part of the Board's activities.

Periodic Compliance Examinations Each municipal securities broker-dealer must be examined at least once every four years to ensure that the firm and its associated persons are in compliance with all MSRB and SEC rules. This examination may be (and typically is) combined with other examinations that are conducted by the firm's examining authority (i.e., the SEC, FINRA, Comptroller of the Currency, FRB, or FDIC) in order to avoid unnecessary regulatory duplication.

Professional Qualification Requirements (Rules G-2 and G-3)

A person who's employed by a dealer-bank or firm and is directly engaged in the management, direction, supervision, or performance of any of the municipal securities dealer's activities is referred to as an *associated person*.

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In general use, the terms broker, dealer, municipal securities broker or dealer, and bank dealer also include their respective associated persons unless these persons are referenced specifically and apart from the firm. For example, associated persons could be underwriters, traders, salespersons, analysts, or any person who communicates with the public, or any person in a supervisory capacity. According to MSRB rules, all associated persons are required to be supervised to ensure that transactions are executed in accordance with all applicable rules. Ultimately, it's the firm's responsibility to detect and prevent any trading irregularities.

The firm must designate, in writing, one or more principals to be responsible for supervising municipal securities activities. (The written record must be updated as new appointments or changes in appointees occur.) These principals must be appropriately assigned according to their specific supervisory responsibilities. The appropriate principals will conduct periodic reviews of their respective areas of responsibility to ensure compliance with supervisory procedures and applicable rules of the MSRB and other regulators.

Associated persons may hold positions such as a Municipal Securities Principal, a Municipal Securities Sales Principal, a Municipal Advisor Principal, a Municipal Advisor Representative, or a Municipal Securities Registered Representative. The functions, responsibilities, and qualifications of each of these associated persons will be described separately. It's important to note that any persons whose functions are solely clerical or ministerial are generally not considered associated persons.

The MSRB's standards of professional qualification dictate that no municipal securities firm may engage in municipal securities transactions unless the firm and all of the associated persons who are employed by that firm are properly qualified under Board rules. (Being properly qualified implies meeting the anti-money laundering compliance program rules of FINRA or of the appropriate regulatory agency.) This has also been interpreted to mean that, unless all requirements of the MSRB are presently being followed, the firm cannot continue to do business. For example, if any of the persons who are associated with the firm have not passed the required qualification examination, they and the firm are not in compliance with the MSRB's standards of professional qualification.

Taking Qualification Examinations MSRB rules specify the appropriate examination that must be passed for each category of associated person. Any person who fails an examination must wait at least 30 days before retaking the exam. After three successive failures, a person is required to wait at least six months from the last attempt before retesting.

Information Concerning Associated Persons

All associated persons are required to submit a questionnaire to their employing municipal securities firm and the firm is equally obligated to obtain the questionnaire from the associated persons. This questionnaire needs to be signed by a principal of the firm and must include the associated person's name, residence address, Social Security number, starting date of employment or other association with the firm, date of birth, and educational background. Other items that are disclosed include:

- A complete, consecutive statement of all business and personal history for at least the preceding 10 years, including the reason for leaving each prior employment, the position held at each prior employment, and whether employment was full- or part-time.

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For example, Wendy has submitted her questionnaire to her new employer, All Securities Brokerage (ASB). ASB must now contact all of Wendy's former employers for the last three years to confirm the information she provided. If any of Wendy's former employers was an MSRB member firm, the firm must respond to the request within 10 business days.

- A record of all residential addresses for at least the preceding five years
- A record of any denial of membership or registration, and of any disciplinary action taken against, or sanction imposed upon, the person by any federal, state securities or bank regulatory agency, or by any national securities exchange or registered securities association, including any finding that the person was a cause of any disciplinary action or violated any law
- A record of any denial, suspension or revocation of registration with the SEC or from any registered securities association as a broker or dealer
- A record of any permanent or temporary injunctions entered against the person or against any firm with which the person was associated at the time the injunction was entered stating that the person or firm was enjoined from acting as an investment adviser, underwriter, broker, dealer, or municipal securities dealer, or as an affiliated person or employee of any investment company
- A record of any other name by which the person has been known or which the person used (aliases)
- The person's conviction record involving the purchase of sale of securities, or any felony conviction within the past 10 years.

If any of the above information that's been provided by an associated person is inaccurate, incomplete, or changes, the individual must inform the broker-dealer in writing. For associated persons who will work for municipal securities broker-dealers, the requirements for completing the questionnaire are satisfied when Form U4 is filed. However, for associated persons who will work for dealer banks, the requirements are satisfied when Form MSD-4 is filed.

Every municipal securities broker-dealer must maintain a copy of an associated person's questionnaire (Form U4) for at least three years after that person has left the firm. In addition, municipal securities dealers must maintain a record of the name and residential address of each associated person, that person's function, and whether the associated person has passed the appropriate qualification examination. This information must be kept on file for at least three years after the person leaves the firm.

Classifications of Principals and Representatives

Securities Industry Essentials (SIE) Exam

Beginning on October 1, 2018, FINRA (along with the MSRB) restructured its qualification program by implementing the *Securities Industry Essentials (SIE) Exam* to ensure that potential industry professionals have a broad knowledge of the fundamental concepts and rules of the securities industry. The SIE Exam brings together much of the information that's static and unlikely to be impacted by regulatory changes, such as basic product knowledge, the structure and function of securities industry markets, regulatory agencies and their functions, and regulated and prohibited practices. The goal of the SIE Exam is to reduce the redundancy of subject matter content that's addressed on multiple exams.

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Some of the key features of the SIE Exam include the following:

- The exam is open to any person who is age 18 or older, including students and prospective candidates who are interested in demonstrating their basic industry knowledge to potential employers.
- Current association with a member firm is not required; instead, individuals are permitted to take the exam either before or after associating with a firm.
- Exam results are valid for four years.

However, passing the SIE exam alone will not qualify a person for FINRA registration. To become an associated person of a member firm, an individual is also required to pass an appropriate representative-level qualification exam which relates to the registration category pertaining to his intended job function. For example, if a person is applying for registration as a Municipal Securities Representative, he's required to pass both the SIE Exam and the new, revised Municipal Securities Representative (Series 52) Examination. These requirements also apply to applicants who are seeking a representative-level registration as a prerequisite to a principal-level registration.

In order to meet the MSRB's standards of professional qualification, broker-dealers must ensure that associated persons fulfill all registration requirements and pass the appropriate qualification examination. The classifications of associated persons include:

- Municipal Securities Representative
- Municipal Securities Sales Limited Representative
- Limited Representative – Investment Company and Variable Contracts Products
- Municipal Securities Principal
- Municipal Securities Sales Principal
- Municipal Fund Securities Limited Principal
- Municipal Advisor Representative and Principal

Municipal Securities Representative

A Municipal Securities Representative is a person who's associated with a municipal securities dealer or broker who performs the fundamental activities that are essential to the municipal securities industry. Some of the activities of a Municipal Securities Representative may include one or more of the following:

- Underwriting, trading, or selling municipal securities
- Acting as a financial advisor or consultant for issuers in connection with the issuance of municipal securities
- Providing research or investment advice with respect to municipal securities
- Communicating, directly or indirectly, with public investors in municipal securities

How to Qualify An individual who intends to become a Municipal Securities Representative must take and pass the MSRB's Series 52 Examination during the first 180 calendar days after joining the firm or revert to a clerical or ministerial status. A Municipal Securities Representative is limited to engaging in transactions involving municipal securities. For example, a Series 52 Municipal Securities Representative is permitted to sell municipal securities, but not mutual funds or unit investment trusts that consist of municipal securities.

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Persons who are considered bank branch office personnel are not required to take and pass the representative exam if they simply refer depositors to qualified dealer bank personnel for investment advice and order execution and are not compensated for the referral. However, if branch office personnel intend to advise the depositor concerning the merits of a possible investment or are compensated either directly or indirectly with respect to any resulting transaction, they're required to be registered.

Municipal Securities Sales Limited Representative

A Municipal Securities Representative is permitted to engage all activities that related to municipal securities, including sales, structuring municipal underwritings, trading, financial advisory services, and research. However, a person who passes the Series 7 Examination is qualified with the MSRB as a Municipal Securities Sales Limited Representative and is only allowed to engage in sales to, and purchases from, customers involving municipal securities. If a person who holds a Series 7 registration with limited status wants to engage in other non-sales related municipal activities (e.g., trading or underwriting), she's required to pass the Series 52 and qualify as a Municipal Securities Representative.

Municipal Securities Limited Representative – Investment Companies

A Municipal Securities Limited Representative is a person whose municipal securities activities are exclusively limited to sales to, and purchases from, customers involving municipal fund securities (e.g., 529 plans). To engage in these activities a person must successfully complete the Limited Representative – Investment Company and Variable Contracts Products Examination (Series 6).

Municipal Securities Principal

A Municipal Securities Principal is directly engaged in the management, direction, or supervision of one or more of the following activities:

- Underwriting, trading, or selling municipal securities
- Reviewing accounts, new account forms, and transactions
- Providing financial advisory or consultant services to issuers in connection with the issuance of municipal securities
- Processing, clearing, and, in the case of municipal securities brokers and dealers (other than bank dealers), safekeeping of municipal securities
- Providing research or investment advice with respect to municipal securities
- Communicating, directly or indirectly, with public investors in municipal securities, including handling customer complaints
- Maintaining, enforcing, and updating (at least annually) supervisory procedures
- Updating and reviewing written supervisory procedures based on Board rule changes
- Maintaining records on the activities listed above
- Training municipal securities representatives

How to Qualify An individual qualifies as a Municipal Securities Principal by taking and passing the MSRB Series 53 Examination. However, before an individual can take this exam, she must first take and pass the SIE Exam and the Municipal Securities Representative Examination (Series 52).

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Principal Grace Period The MSRB allows a candidate a 120-day grace period to pass the Municipal Securities Principal Examination (Series 53). In order to function as this type of principal prior to passing the examination, the person is required to be qualified as a General Securities Representative (Series 7), Municipal Securities Representative (Series 52), or General Securities Principal (Series 24). For example, a person who's only qualified as a Municipal Securities Sales Principal (Series 9/10) (described below) is not provided with the grace period and cannot function as a Municipal Securities Principal until he passes the Series 53 Examination.

Requirement to Have a Minimum Number of Principals Municipal securities firms are required to have at least two Municipal Securities Principals if they engage in municipal securities transactions. However, if a firm conducts a general securities business and is a member of a registered securities association (e.g., an exchange or FINRA), it's only required to have one Municipal Securities Principal. Additionally, if the firm has fewer than 11 associated persons who engage in municipal activities, the firm is required to have only one Municipal Securities Principal.

If a firm limits its activities exclusively to municipal fund securities, it's able to count any Municipal Fund Securities Limited Principal (Series 51) as part of the numerical requirement for Municipal Securities Principals.

Municipal Securities Sales Principal

A Municipal Securities Sales Principal is a person who's associated with a municipal securities dealer or broker and supervises representatives in their handling of customer accounts and related activities. To qualify as a Municipal Securities Sales Principal, an individual must pass FINRA's General Securities Sales Supervisor Exam (Series 9 and 10). Some of the activities for which a sales principal may be responsible includes:

- Approving transactions with customers
- Approving the opening of customer accounts
- Approving discretionary accounts and related transactions
- Reviewing all customer accounts regularly
- Supervising the handling of written customer complaints
- Reviewing correspondence with customers regarding the solicitation or execution of municipal securities transactions (but not advertising)

According to MSRB rules, before qualifying as a Municipal Securities Sales Principal, a person must have taken and passed either the Municipal Securities Representative Exam or the General Securities Registered Representative Exam.

Municipal Fund Securities Limited Principals

A Municipal Fund Securities Limited Principal generally acts in the same capacity as a Municipal Securities Principal; however, their activities are *limited to municipal fund securities*. An individual may qualify as a Municipal Fund Securities Limited Principal by successfully completing the Series 51 Examination. However, in order to conduct any principal-related activities, she must also be registered as a General Securities Principal (Series 24) or Investment Company Products/Variable Contracts Limited Principal (Series 26).

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Municipal Advisor Representatives and Principals

A Municipal Advisor Representative is an individual who's associated with a municipal advisor and engages in advisory activities on the firm's behalf. Any person who's employed by the advisor and whose duties are solely clerical or ministerial is NOT a Municipal Advisor Representative.

A Municipal Advisor Principal is an individual who's associated with a municipal advisor and manages the firm's advisory activities and, for larger firms, supervises Municipal Advisor Representatives. Every municipal advisor must have at least one qualified principal. Both representatives and principals must pass the Series 50 Examination to be qualified. However, principals are also required to pass the Series 54 Exam.

Being a Fiduciary As a result of the Dodd-Frank Act, municipal advisors are considered fiduciaries when their clients are municipal entities. A fiduciary is a person who acts on behalf of another person and this role creates a relationship of trust and confidence. Some examples of fiduciaries include an executor or administrator of an estate, a trustee, a pension plan administrator, and investment advisers.

Fiduciaries are held to a higher standard than other financial professionals. When fiduciaries make decisions in their official capacities, their primary concern must be for the interests of the person or institutions that they represent. Rather than pursue their own personal gain, fiduciaries have an affirmative duty to act in good faith and solely in the best interest of their clients.

Municipal Advisors – Definitions and Terminology A municipal advisor is the business or firm, but it's not an individual employee or owner. A municipal advisor may be organized in a number of ways, including as a limited liability company (LLC), partnership, corporation, or sole proprietorship. A Municipal Advisor Representative is an individual who interacts with clients on the firm's behalf. However, in the case of a sole proprietorship, the municipal advisor and the Municipal Advisor Representative will be the same person.

A municipal advisor is defined as an individual or entity that:

1. Provides advice *to* or *on behalf of* a municipal entity or an *obligated person* about the issuance of municipal securities or *municipal financial products*. This includes advising the municipality about the structure, timing, or terms of an issue of municipal securities, but doesn't include actually underwriting the issue.
2. Solicits municipalities or obligated persons to sell municipal advisory services to them for compensation.

Municipal advisors may be financial advisors, guaranteed investment contract brokers, third-party marketers, placement agents, finders, solicitors, or swap advisors. All of these entities are considered municipal advisors if they perform these services for a municipality or obligated person, or are soliciting them in hopes of being hired to perform these services.

Municipal entities include the states, their political subdivisions, municipal corporate instrumentalities, agencies and authorities, and any other organization that can issue municipal securities. Municipal entities also include investment programs or plans or even asset pools that are sponsored by these entities.

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The term *obligated person* is any person, including an issuer of municipal securities, that's either generally or through an enterprise, fund, or account of such person, committed by contract or other arrangement to support payments of all, or part of, the obligations of the municipal securities to be sold in the offering. Regarding the rules related the municipal advisors, the following are exempt from the definition:

- A person that provides municipal bond insurance, letters of credit, or other liquidity facilities
- A person whose financial information or operating data is not material to a municipal securities offering, without reference to any municipal bond insurance, letter of credit, liquidity facility, or other credit enhancement
- The federal government

An obligated person is an entity that's responsible for paying back the money, which is raised by issuing municipal securities, either partly or in full. Obligated persons are often conduit borrowers. For example, a non-profit hospital or university uses the money that's raised from an offering of municipal securities to finance a new building and agrees to pay the money back from its own revenues.

Municipal products include municipal derivatives, guaranteed investment contracts, and investment strategies. Municipal derivatives include swaps to which the municipality or an obligated person is a counter-party.

A *guaranteed investment contract (GIC)* is a secure investment which helps to preserve the principal of a municipal issuer that doesn't immediately need all of the funds of a bond issuance. In other words, it's a type of investment for an issuer of municipal securities. The investment earns interest at either a fixed or a variable rate, or one that's based on a predetermined formula. Most GICs offer a guarantee of original investment and interest payments as well as flexible terms of the length of the contract and frequency of interest payments (e.g., monthly or annually).

Investment strategies include plans and programs for the investment of the proceeds of a municipal securities issue and recommendations regarding how (or where) to invest municipal escrow accounts. Generally, only firms that are advising municipalities about these two issues—or about how to structure a municipal securities offering—are required to register.

The Advice Standard According to the SEC, the determination of what constitutes advice is dependent on the particular situation. However, providing general information that's not tailored to that specific municipality's needs is not considered advice. Some examples of general information include:

- Information about professional qualifications and experience
- General market and financial information
- Information about what investments or services are currently offered by the institution
- Factual information which describes the various types of debt financing structures
- Educational materials regarding government programs and incentives

The more tailored the communication is to the municipality's specific needs, the more likely it is to be considered advice. Anything that rises to the level of a recommendation or a call to action is considered advice.

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Disclaimers and Disclosures Some firms may include disclaimers or disclosures in their written material to indicate that they're not making a recommendation or acting as an advisor and therefore don't have any fiduciary obligations. Although these types of disclaimers obviously argue against a communication being considered a recommendation, they're not controlling. If the overall context in which the communication is made indicates that it's a recommendation, then the firm may be considered a municipal advisor and possibly be required to register.

Responses to RFPs and RFQs A firm that's merely responding to a Request for a Proposal (RFP) or Request for Qualifications (RFQ) from a municipal entity or obligated person doesn't need to register as a municipal advisor. However, if the firm receives compensation (either directly or indirectly) in connection with their response, then it is an advisor and may need to register.

Exemptions The following organizations and individuals are exempt from the municipal advisor definition and registration requirement, as long as their activities don't exceed certain boundaries.

Public Officials and Employees of Municipalities Elected and appointed officials and employees of municipalities are exempt as long as they're acting in their official capacities. If a person provides advice outside of her normal duties and is compensated for the advice, the exemption doesn't apply and the person is required to register as an MA.

Underwriters Brokers, dealers, or municipal securities dealers that underwrite particular issues of municipal securities are exempt from registration. This exemption becomes effective once the municipality engages the firm for a specific offering and ends once the offering concludes.

Registered Investment Advisers SEC-registered investment advisers (and their personnel) are not required to register as municipal advisors if they're advising a municipality about how to invest the proceeds of a securities offering or the funds in a municipal escrow account. However, if the IA provides advice concerning whether and how to issue municipal bonds, advice concerning the structure, timing, and terms of an issuance of municipal bonds, advice concerning municipal derivatives related to an underwriting, or undertakes a solicitation of a municipal entity or obligated person, the exemption is not permitted and registration is required.

Registered Commodity Trading Advisors (CTAs) Firms (and their personnel) that are registered under the Commodity Futures Trading Commission (CFTC) are exempt as long as their advice is solely related to swaps.

Accountants, Attorneys, and Engineers Members of these professions are exempt as long as they're providing services that are normally associated with these professionals. Examples of engineering advice include creating a feasibility study that makes projections regarding a project, providing a compliance report with respect to an existing project that proposes capital improvements, and estimating the revenue and expenses of a project that's financed by a bond issue.

Banks Banks and their employees are exempt if they're giving advice that relates to traditional banking products and services. A bank is considered exempt from the definition of a municipal advisor if it provides advice on:

- Any investment that's held in a deposit account, savings account, certificate of deposit, or other deposit instrument which is issued by a bank

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- Any extension of credit to a municipal entity or obligated person, including the issuance of a letter of credit, the making of a direct loan, or the purchase of a municipal security by the bank for its own account
- Any funds held in certain sweep accounts
- Any investment made by a bank that's acting as an indenture trustee or in a similar capacity

The SEC states that if a bank provides any other advice to a municipal issuer or obligated person it's required to register as a municipal advisor. The exemption doesn't apply to banks that advise municipalities about the issuance of municipal securities or municipal derivatives. If these services are provided by a *separately identifiable* department or division within the bank, only that department is required to register.

Municipality Represented by an Independent Registered Municipal Advisor (IRMA) Firms and persons that provide advice about a particular transaction or deal for which the municipality or obligated person has engaged an independent registered municipal advisor don't need to register themselves. Essentially, since the municipality or obligated person already has a person to protect their interest, they should be able to get advice from other parties that don't need to register. In order to use this exemption, the following three conditions must be satisfied:

1. The IRMA must be a registered municipal advisor and the person using the exemption may not have been associated with the IRMA for at least the last two years.
2. The municipality or obligated entity states in writing that it has engaged an IRMA and will be relying on its advice. The person seeking to use the exemption must be able to reasonably rely on this written representation (i.e., it has no reason to doubt its authenticity).
3. The person using the exemption must give the municipality written disclosure that it's not a registered municipal advisor and doesn't have a fiduciary duty to the municipality, unlike the duty that a registered advisor has under the Exchange Act. The IRMA must receive a copy of this document and the municipality must have a reasonable time to evaluate the information as well as any conflicts of interest that the person using the exemption may have.

Lapse of Qualification Requirements

After being qualified, if any of the associated persons described above cease to function in their job capacity for more than two years, their registration will lapse and they will be required to retake the appropriate examination to continue in the securities industry. For a person who's been out of the industry for more than two years (but not more than four years) and is required to requalify as a Municipal Securities Principal, he will need to pass the Municipal Securities Representative Examination (Series 52) *and* the Municipal Securities Principal Examination (Series 53). If the individual has been out of the industry for more than four years, he will need to pass the SIE Exam, and both the Series 52 and Series 53 Exams.

Please note, as referenced later in this chapter, the MSRB offers registrants an extended ability to maintain their registrations following termination (i.e., beyond two years).

Waiver of Qualification Requirements

A waiver of qualification by examination is given only in extraordinary cases. To obtain a waiver, a person must demonstrate extensive experience and the knowledge necessary to perform the functions evaluated in the qualification exam.

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Confidentiality of Qualification Exams

The qualification examinations and the information contained therein are confidential. It's a violation of MSRB rules for any person taking any examination to:

- Disclose the questions or answers to the questions to any person
- Give or receive assistance during the examination
- Do anything that's inconsistent with the confidential nature of the exam
- Knowingly sign a false certification concerning the examination

Listed below is a summary of the some of the different registration qualifications:

Summary of Qualification of Reports				
Name	**Municipal Securities Representative**	**Municipal Securities Sales Principal**	**Municipal Securities Principal**	**Municipal Securities Sales Limited Representatives**
Required for Securities Firms	Yes	Optional	Yes	Optional
Required for Bank Dealers	Yes	Not allowed	Yes	Yes
Qualified to Perform Specified Municipal Securities Activities	Sells, trades, or underwrites municipal securities, acts as financial advisor, or provides research and investment advice	Supervises customer sales or purchases	Supervises any municipal securities activities	Only sales to, or purchases from, customers
Numerical Requirement	None	None	Minimum of one or two persons[1]	None
Qualification Prerequisite	None	Examination for, or qualification as, a Municipal or a General Securities Representative	Series 52	None
Examination Grace Period	None	120 days[2]	120 days[2]	None
Grandfathering	Yes	No	No	No
Qualification Examination	Series 52	Series 9 and 10	Series 53	Series 7

[1] Depends on involvement in general securities business or on number of associated persons

[2] Only if the individual is already qualified and functioning as a Municipal Securities Representative, General Securities Representative, or General Securities Principal

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Note: A General Securities Principal is permitted to perform the following functions regarding municipal securities business:

- Maintaining and preserving books and records
- Reviewing and approving the opening of each customer account the firm introduces or carries
- Signing the questionnaire associated persons must submit (discussed earlier in this chapter)
- Providing written approval of advertising before its first use

Annual Compliance Meeting

All registered personnel must participate in an annual compliance review. The meeting must include a discussion of compliance issues that are relevant to the business of the registered persons who are involved in the municipal securities business of the dealer.

Continuing Education Requirements

Regulatory Element RRs are required to participate in Regulatory Element training on an annual basis for each registration that they hold (i.e., there are two requirements for individuals who are registered in both a representative and principal capacity). The content of the Regulatory Element will be appropriate to each representative or principal registration category a person holds. All covered persons must complete their Regulatory Element by December 31 of the calendar year following the year in which they became registered and by December 31 of every year thereafter. This requirement continues for as long as a person is associated with a member firm in a registered capacity.

The content of the Regulatory Element CE requirement is written by the Securities Industry/Regulatory Council on Continuing Education, and, during the computer-based training session, RRs are provided with information about compliance, regulatory, ethical, and sales-practice standards. As they progress through the program, RRs must answer questions based on the scenarios presented using the information they have just seen. If the person doesn't complete the training within the prescribed time frame, that person's registration will become inactive. An RR with an inactive registration is prohibited from performing any activity or receiving any compensation that requires securities registration.

Rather than requiring a person to make a reservation at a testing center, FINRA has transitioned the delivery of the Regulatory Element to an online format which is referred to as the CE Online Program. This program provides participants with the flexibility to satisfy their CE Regulatory Element requirement from either a home or office computer.

Firm Element On an annual basis, each municipal securities firm must evaluate and prioritize its training needs. Additionally, a firm must develop a written training plan and conduct annual training. The plan must take into consideration the firm's size, organizational structure, and the scope of business activities. At a minimum, the training plan must cover:

- General investment features and associated risk factors
- Suitability and sales practices considerations
- Applicable regulatory requirements

All registered persons and their direct supervisors are subject to the Firm Element requirements of continuing education.

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Inactive Status Due to Military Duty

A registered person who voluntarily joins the military or is called into active duty falls into a category that's referred to as *special inactive*. The regulators provide registration relief to these registered personnel regardless of whether they ultimately return to their previous employer or seek registration with another broker-dealer.

Registered representatives who are called into active military service are exempt from the inactive registration status limitations that normally applies to registration reinstatement. However, during the period of active military service, these individuals are NOT permitted to function as registered representatives by contacting customers, but they may continue to receive compensation based on securities transactions.

The MSRB applies relief of the examination requirements when a person is either in a special inactive status (serving in the military while still registered) or has left the industry and ceased to be registered because he was called for active military duty. Both the Regulatory and Firm Elements of Continuing Education are also deferred during active duty.

Maintaining Qualifications Following Termination

Under MSRB rules, individuals who terminate any of their representative or principal registrations are able to maintain their qualifications by completing their annual CE requirement. Individuals who utilize this provision are given a maximum of five years to reregister with a member firm without being required to requalify by exam. To be eligible for the maintaining registration, individuals must meet the following conditions:

1. They must have been registered in the terminated registration category for at least one year immediately prior to the termination in that category.
2. They must not have a Regulatory Element continuing education deficiency for two consecutive years.
3. They must not become subject to statutory disqualification.
4. They must complete all of their CE requirements by their due dates.

Applicable MSRB Rules

Investor and Municipal Advisory Client Education and Protection (Rule G-10)

Once every calendar year, a municipal securities firm is required to provide each customer with the following information *in either written or electronic form*:

- A statement that it's registered with the SEC and the Municipal Securities Rulemaking Board
- The website address for the Municipal Securities Rulemaking Board, and
- A statement as to the availability of an investor brochure for customers that's posted on the website of the Municipal Securities Rulemaking Board which describes the protections afforded by MSRB rules as well as how to file a complaint with an appropriate regulatory authority

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Availability of Board Rules (Rule G-29)

A copy of the MSRB's rules must be kept in each location in which any of the following activities are conducted:

- Underwriting, trading, or sales of municipal securities
- Financial advisory or consultant services for issuers related to the issuance of municipal securities
- Research or investment advice with respect to municipal securities
- Any other activities which involve communication, directly or indirectly, with public investors in municipal securities

The firm must make these rules available for examination by customers promptly on request. The firm can meet these requirements by keeping a hard copy of the MSRB manual at its office or by having Internet or software access to the Board's rules at its office. (Internet access is available at www.msrb.org.)

Gifts and Gratuities (Rule G-20)

A municipal securities firm or professional is prohibited from giving gifts and gratuities to another person in excess of $100 per person, per year, if the gift is given in connection with the municipal securities business of the recipient's employer. The MSRB doesn't want normal business dealings to be induced based on the funds that are given to employees of institutional customers or other municipal securities firms.

While this restriction involves giving a person any item of service or value, it's not meant to limit employment and compensation contracts between a member firm and its own employees. The rule also permits compensation to be paid to employees of other entities if there's a written agreement that covers the arrangement and the written consent of the person's employer is obtained.

This rule doesn't prohibit occasional gifts of meals or tickets to theatrical, sporting, and other entertainment events, even if the cost exceeds $100. The sponsoring of legitimate business functions that are recognized by the Internal Revenue Service as deductible business expenses and gifts of reminder advertising (e.g., a pen with the company's name) are also permitted. However, in no situations can a gift be so frequent or so expensive as to raise a suggestion of conduct that's inconsistent with high standards of professional ethics in the municipal securities industry.

> *For example, the head trader of a municipal bond firm invites the manager of a bond mutual fund and her spouse to a professional football game each fall. Even if the tickets cost more than $100, this doesn't violate MSRB rules. However, a gift of season tickets or taking a client to a game on a weekly basis is excessive and a violation of the gift rule.*

Gifts and Gratuities Not Subject to General Limitation In addition to the exception for normal business dealings with customers, the MSRB also provides the following exceptions:

- Commemorative gifts, such as a plaque or Lucite tombstone, at the conclusion of an underwriting or other transaction
- De minimis gifts such as a pen, notepad or other item for a desk
- Personal gift for a special occasion (e.g., wedding or birth of a child)
- Bereavement gift
- Promotional gifts with a member logo provided the value is below $100 per person

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Non-Cash Compensation in Connection with Primary Offerings (G-20)

The gift rules also apply to underwriters that distribute municipal securities in a primary offering. In addition to the $100 per person, per year (with the same exceptions for meals, tickets to theatrical and sporting events), the rule also addresses the payment of non-cash compensation. The term *non-cash compensation* includes any form of compensation other than cash which is received in connection with the sale and distribution of municipal securities. Examples of non-cash items include, but are not limited to, merchandise, gifts and prizes, travel expenses, meals, and lodging. MSRB firms may compensate salespeople and managers with non-cash compensation if the compensation is not designed to favor a particular product. A sales contest is a legitimate activity provided it's based on a Municipal Securities Representative's total sales.

The issuer may reimburse the underwriters for meetings that are held in order to train or educate associated persons. However, in order for a reimbursement to be made, the associated person must have the approval of his firm to attend the meeting and the location must be appropriate to the purpose of the meeting. Reimbursements cannot be made for expenses of guests of the associated person. Additionally, reimbursements cannot be a precondition for achieving a specific sales target.

Non-cash compensation between the firm and its associated persons is allowed if:

- The non-cash compensation is based on the total production for sales and distribution of specific product types.
- The compensation received is equally weighted for each municipal security within a product type.
- Any person, other than associated persons, is prohibited from participating in the distribution or receiving any non-cash compensation.

Records Concerning Compliance with Gifts and Gratuities

Firms must maintain records of all gifts given or received, as well as records of compensation agreements and the compensation paid. These records must be kept for six years. According to MSRB rules on books and records, a municipal securities dealer must maintain a record of the following information relating to gifts and non-cash compensation:

- A separate record of any gift or gratuity that's defined under the gift rule (There's no exception on the dollar value of the gift and it's a violation if the gift exceeds $100.)
- A record of all agreements relating to compensation for services that are provided to the municipal securities dealer
- A record of certain information relating to all non-cash compensation, such as the name of the person or entity making the gift, the names of the associated persons receiving the payment, the location of the meeting that was used to educate the representatives concerning the securities product, and the value of non-cash compensation received

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Now that you've completed Chapter 6, log in to *my.stcusa.com*. From your Dashboard, select *Final Exams*, then scroll down and select *Create a Custom Exam*. Now, select *Chapter 6* and, at the bottom of the screen, enter 10 questions in the *Number of Questions* box, and then select *Build Exam*.

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Chapter 7

MSRB Primary and Secondary Market Rules

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Fair Dealing Rule (G-17)

According to the MSRB's fair dealing rules, a municipal securities broker or dealer may not engage in any deceptive, dishonest, or unfair practices. All material information that relates to a transaction should be disclosed to a customer at or before the sale, including a description of the security. The more complex the municipal security, the broader the range of information that needs to be reviewed by the dealer. This obligation to disclose exists even if the dealer is acting as an order taker and not recommending the security. The dealer may need to review many sources to find information concerning a municipal security, especially if the security is non-rated. It's considered a violation for a dealer to consistently recommend for customers to invest in municipal securities that provide the dealers with the highest compensation.

The MSRB has issued guidance concerning the specific disclosure requirements of Rule G-17 which are based on the type of investor and/or the type of security being purchased. In addition, the MSRB revised some previous interpretative guidance under Rule G-17 into new rules. These new rules are:

- Rule D-15 – This rule defines a specific type of institutional investor—the *sophisticated municipal market professional (SMMP).*
- Rule G-47 – This rule relates to the Time of Trade Disclosures.
- Rule G-48 – This rule relates to Transactions with Sophisticated Municipal Market Professionals.

Sophisticated Municipal Market Professional (SMMP) (Rule D-15)

The MSRB has clarified a municipal securities dealer's obligation with respect to dealing with sophisticated municipal market professionals. Additionally, the MSRB has established three separate requirements for executing transactions with an SMMP:

1. Nature of the customer has been determined
2. Dealer determination of customer sophistication has been completed
3. Customer has provided affirmation of its ability to exercise independent judgment

Nature of the Customer

The customer must be a person or entity with total assets of at least $50 million, a bank, a savings and loan association, an insurance company, a registered investment company, or investment adviser that's registered with either the SEC under the Investment Advisers Act of 1940 or with a state securities commission.

Dealer Determination of Customer Sophistication

A dealer must have a reasonable basis to believe that the customer is capable of evaluating the investment risks and market value independently, both in general and with regard to particular transactions and investment strategies in municipal securities.

Customer Affirmation

The customer must affirmatively indicate that it's exercising independent judgment in evaluating:

- The recommendations of the dealer
- The quality of execution of the customer's transactions by the dealer, and

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- The transaction price for non-recommended secondary market agency transactions for which the dealer's services have been explicitly limited to providing anonymity, communication, order matching and/or clearance functions, and the dealer doesn't exercise discretion as to how or when the transactions are executed

The dealer must assume that the SMMP has timely access to material information that's available publicly through established industry sources which are regularly used by dealers, such as EMMA and credit rating agencies.

Disclosures in Connection with a Primary Offering (Rule G-32)

MSRB Rule G-32 addresses primary market requirements, including required disclosures to customers, underwriters' submissions of official statements (OS) to the EMMA system, and the preparation of official statements by financial advisors. The underwriter is required to either submit a final official statement to the EMMA system or disclose that no final official statement is being prepared. If no final official statement is being prepared, a preliminary official statement can be submitted. The underwriter must also disclose whether the issuer or any obligated persons have agreed to provide continuing disclosure information that's required by SEC Rule 15c2-12.

If a financial advisor prepares an official statement on behalf of the issuer, the advisor must make the final form available to the managing underwriter promptly after the issuer approves its distribution. If the official statement is created as a printable electronic version, the financial advisor may deliver the electronic address and instructions for obtaining the printable version to the managing underwriter in order to satisfy the requirements of availability.

Delivery of Official Statement to Customers

In addition to sending information to the MSRB, broker-dealers are also required to provide customers with either a copy of the final official statement or, if a final official statement is not being prepared, a written notice to that effect, along with a copy of a preliminary official statement *by no later than the settlement date of the transaction*. This must be done from the time the final official statement becomes available and continue until the earlier of 90 days from the end of the underwriting period or from the time when the official statement becomes available to the MSRB. In any case, this period cannot be less than 25 days from the end of the underwriting period. As an incentive, if underwriters provide official statements to the MSRB, they will only be required to make them available for 25 days, rather than 90 days.

If an underwriter has submitted the official statement to EMMA, a broker-dealer may send a notice to any customer who purchases a new issue of municipal securities which advises them how to obtain the official statement from EMMA.

This notification can be provided in lieu of sending the official statement to a customer. However, the notice must state that a copy of the official statement will be provided by the broker-dealer on request. If the customer contacts the broker-dealer to request the official statement, it must be sent by first class mail within one business day of the request.

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Other Disclosures in Connection with New Issues

If customers are participating in a municipal fund security plan by making periodic purchases, and if they've already received a final official statement, the broker or dealer may sell additional shares to them and comply with the rules by sending supplements, amendments, or stickered portions of any new official statement that may be required.

If requested, a municipal securities broker-dealer must promptly provide the final official statement to any municipal securities broker-dealer to which the securities were sold. The official statement must be sent by no later than the next business day. To ensure that copies of the final official statement are available to other broker-dealers, responsibility is placed on the managing underwriters and financial advisors to provide copies on a timely basis (as stipulated under SEC Rule 15c2-12).

Negotiated Sales In connection with a negotiated sale of new issue municipal securities, the following information concerning underwriting arrangements must also be disclosed:

- The underwriting spread
- The amount of any fee that's received by the municipal securities firm as agent for the issuer in the distribution of the securities
- The initial offering price for each maturity in the issue that's offered or to be offered in whole or in part by the underwriters

New Issue Disclosure Period According to MSRB Rule G-32, the new issue disclosure period begins with the first submission to an underwriter of an order for the purchase of a new municipal bond or the purchase of these securities from the issuer. The period ends 25 days after the final delivery by the issuer of the new municipal bonds to the underwriter. This 25-day period is based on the prospectus delivery rule. However, it differs from SEC Rule 15c2-12 by requiring any dealer (not just an underwriter) to deliver a copy of the offical statement to any customer who has purchased a new issue municipal security during the disclosure period (regardless of whether it's been requested by the customer).

Under MSRB Rule G-32, as long as two or more customers share the same address, a dealer may satisfy its official statement delivery requirements by sending one copy of the document if:

- The dealer addresses the official statement to the group (for a fund or corporation) or addresses the documents to both or all of the names of the clients
- The investors provide written consent to the delivery of one official statement

A firm is not required to obtain the written consent if both investors have the same last name or if the firm has reason to believe that the clients are members of the same family.

Submission of Official Statements and Advance Refunding Documents

All underwriters are required to submit official statements and advance refunding documents (ARDs) in connection with primary offerings through the MSRB's EMMA system. These documents must be submitted to EMMA in an electronic format (PDF). Under MSRB Rule G-32, the underwriter of a primary offering (new issue) of municipal securities is required to provide an official statement for that offering within one business day after the receipt of the official statement from the issuer or its designee.

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If the official statement for the offering has not been submitted by the underwriter (due to the fact that the underwriter has not received it from the issuer), the underwriter is required to submit a notice to EMMA that the official statement will be submitted as soon as it becomes available. In addition, Form G-32 must also be submitted by the managing underwriter within one business day after receiving the OS from the issuer, and within five business days after receiving the ARD from the issuer.

If the issuer advance refunds an outstanding issue of municipal securities, the advance refunding document, including CUSIP numbers, must be sent to the MSRB within five business days of the issuer delivering the securities to the underwriters.

Records Creation

The following records and forms must be prepared by the managing underwriter in a primary offering of a municipal securities:

1. The name, par value, and CUSIP number(s) for each offering of municipal securities
2. The dates on which the documents are received from the issuer and are sent to the MSRB
3. The date on which the issue is delivered to the underwriters
4. The date on which the underwriting agreement is signed
5. Copies of Form G-32

Within one business day, underwriters are required to submit to the MSRB any amendments to the official statement and a revised Form G-32 up until the 25th day after the settlement of the underwriting. After that period, the issuer is no longer required to update the official statement. Generally, official statements are not considered disclosure documents for bonds that trade in the secondary market.

CUSIP Numbers (Rule G-34)

Under certain circumstances, dealers are required to make a written application to the MSRB for CUSIP numbers. For new issues that are underwritten through a syndicate, the managing underwriter must apply for the numbers. In other cases, each dealer that underwrites the new issue must apply for the numbers. However, dealers don’t need to apply for CUSIP numbers for new issues if the issuer has already done so.

For competitive offerings, the application must be made so that the assignment of CUSIP numbers is received by no later than the date of award. For negotiated offerings, the application must be made by no later than the day on which the contract to buy the securities from the issuer is executed (the day on which the purchase contract is signed). When filing an application for CUSIP numbers, the following information must be provided:

1. The name of the issue and series designation, if applicable
2. The interest rate(s) and maturity date(s)
3. The dated date (first day of interest accrual)
4. The type of issue (general obligation, revenue, etc.)
5. The type of revenue generated if the issue is a revenue bond
6. The details of any redemption provisions
7. Any other party that may be obligated to pay debt service on the issue (an issuer or other political subdivision)

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Secondary Market Securities

If a municipal security that's currently being traded in the secondary market is altered as it relates to the payment of debt service, it must be assigned a new CUSIP number. The reason for this is that it's no longer identical to its original issue.

Exemption from CUSIP Application

The requirements for CUSIP application don't apply to any part of an outstanding maturity of a municipal offering that doesn't qualify for CUSIP number assignment, or if the offering consists entirely of municipal fund securities.

Dealers that act as financial advisors to issuers of competitive offerings are responsible for ensuring that applications for CUSIP numbers are made with enough time to ensure that they're assigned prior to the date of award.

In the secondary market, dealers must apply for new CUSIP numbers if they do anything that alters the security or source of payment for part of the outstanding issue. This includes acquiring or arranging bond insurance, letters of credit, or put options for the bonds. The new number will help other dealers and clearing agencies distinguish the altered bonds from the rest of the issue.

> *For example, $150 million of a municipality's G.O. bonds are purchased in the secondary market by DEF Securities. If DEF Securities decides to insure the bonds and then resell them, the insured bonds will need a new CUSIP number so that they're distinguishable from the remaining uninsured portion.*

Activities of Financial Advisors (G-23)

Prior to searching for an underwriter, an issuer may choose to obtain objective financial advice regarding the issuance of new municipal securities. Since some municipal bond issuers infrequently utilize the bond market and need advice regarding the offering of bonds, they may seek the counsel of a financial adviser.

Under MSRB Rule G-23, a financial advisory relationship exists when a municipal securities broker or dealer gives, or enters into an agreement with an issuer to give, financial advisory or consultant services regarding the issuance of municipal securities. This includes a firm that provides assistance to the issuer regarding the structure, timing, terms, or other similar matters. However, a financial advisory relationship doesn't include situations in which a municipal securities firm gives advice to an issuer in its role as an underwriter. A sales concession or a percentage of the underwriting spread is considered compensation that's received by a dealer when acting in the capacity of an underwriter.

Written Agreement

There must be a written agreement between the two parties to evidence the fact that a financial advisory relationship exists. This agreement must be created either at, prior to, or promptly after the inception of the relationship. The written understanding should also include how the financial advisor will be compensated for its advisory services.

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Underwriting Activities

A broker-dealer or municipal securities dealer that has a financial advisory relationship with an issuer is prohibited from acting as an underwriter with respect to the same issuer of municipal securities. The rule applies regardless of whether the issue is sold on a negotiated or competitive bid basis. The prohibition states that any firm that has a financial advisory relationship with respect to the issuance of municipal securities may not act in a principal capacity in a syndicate that's formed for the purpose of purchasing securities from the issuer, or act in any agency capacity for the issuer in arranging the placement of its securities.

This prohibition also applies to any firm that controls, or is controlled by, a broker-dealer or municipal securities dealer that has a financial advisory relationship with respect to the issuance of municipal securities. However, if a firm has a financial advisory relationship with an issuer, it may purchase securities from an underwriter for either the accounts of customers or its own trading account.

Remarketing Agent

A broker-dealer or municipal securities dealer that has a financial advisory relationship is generally prohibited from acting as a remarketing agent with respect to the same issuer of municipal securities. However, a firm is permitted to serve as a successor remarketing agent for an issue if the financial advisory relationship had been terminated for a period of at least one year prior to the firm being selected as the remarketing agent.

Acting as an Underwriter

As stated earlier, a broker-dealer may provide advice to an issuer as long as it relates to the issuance of municipal securities in the capacity of an underwriter and not as a financial adviser. This includes advice regarding the structure, timing, and terms of the issue. In order for the firm to be considered an underwriter and not a financial adviser, it must clearly identify to the issuer at the earliest possible stage that it's acting as an underwriter.

Interpretative Notice – Application of G-17 on Underwriters of Municipal Securities

Under Rule G-17, the MSRB has reiterated the requirement to deal fairly with all investors and other market participants, which includes municipal securities issuers. The notice focuses on the responsibilities of dealers (but not selling group members) that are engaged in an underwriting with an issuer. The notice primarily applies to negotiated offerings due to the nature of the disclosure requirements. However, an underwriter that's involved in a competitive offering is not exempt if it made misrepresentations to the issuer.

Conflicts of Interest

In its fair dealings with issuers, an underwriter is required to disclose both actual and potential conflicts of interest, such as:

- The underwriter's interests are different than those of the issuer
- A fiduciary responsibility doesn't exist between the underwriter and the issuer
- The underwriter's obligation to purchase securities from the issuer at a fair and reasonable price must be balanced with its obligation to sell securities to investors at fair and reasonable prices

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Conflicts may also arise concerning an underwriter's compensation. In certain circumstances, compensation may be contingent on the closing of a transaction, which could potentially result in an underwriter recommending larger or unnecessary transactions. As described earlier, underwriting compensation should be proportionate to the type of underwriting and the services provided. The following factors are taken into consideration:

- The size of the issue
- The credit quality of the issue
- The market conditions at time of the issue
- The difficulty in structuring the issue
- Any other fees related to the underwriting

Timing of Disclosures Disclosures are required to be made at the time the relationship between the underwriter and issuer is initiated. Certain conflicts must be disclosed when merely discussing a potential underwriting, while other disclosures are made only after the underwriter/issuer relationship is formally established. The disclosures must be made in writing and sent to an official of the issuer who's able to legally bind the issuer to the underwriter. In addition, since some of the financing structures involve complex variable rate or derivative investments, the issuer's representative must have the experience and knowledge to evaluate the risks associated with such structuring.

Underwriters must attempt to receive the issuer's written acknowledge of receipt of the disclosures. If the official of the issuer fails to provide written receipt, the underwriting may proceed only after specifically documenting the reason why written acknowledgement was not provided.

Retail Order Period

Under Rule G-17, if a firm has agreed to underwrite a transaction with a retail order period, it's required to honor the agreement. During this period, only orders from retail customers will be accepted. A dealer that intends to allocate securities in a manner that's inconsistent with an issuer's requirements is prohibited from doing so without the issuer's consent. In addition, a firm that has agreed to underwrite a transaction with a retail order period must take reasonable measures to ensure that retail clients are bona fide. An underwriter that knowingly accepts an order that's been represented as a retail order, but in fact is not (e.g., a number of small orders placed by an institutional investor that would otherwise not qualify as a retail customer), is in violation of Rule G-17 if its actions are inconsistent with the issuer's expectations regarding retail orders.

Furthermore, if a dealer places an order that's represented as a qualifying retail order, but in fact the order doesn't meet the qualification requirements of a retail order (e.g., an order by a retail dealer without "going away" orders from retail customers, when such orders are not within the issuer's definition of "retail"), is in violation of Rule G-17 (the fair dealing rule). A "going away" order is one in which a customer is already conditionally committed.

Retail Order Period Representations and Required Disclosures The MSRB created requirements concerning representations and disclosures that relate to retail orders for new municipal securities. The determination of whether an order is a retail order will be made based on designated eligibility criteria which are established by the issuer, not by the MSRB. The retail order period is the period during which orders that meet the issuer's designated eligibility criteria for retail orders, and for which the customer is already conditionally committed, will either be the only orders solicited or given priority over other orders.

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From the end of the retail order period, but no later than the time of the formal award, each municipal securities dealer that submits an order during a retail order period to the senior syndicate manager or sole underwriter is required to provide (in either written or electronic form) the following information that relates to each designated retail order:

- Whether the customer order is one that meets the issuer's eligibility criteria for participation in the retail order period
- Whether the order is from a customer who's already conditionally committed
- Whether the broker, dealer, or municipal securities dealer has received more than one order from such retail customer for a security which has the same assigned CUSIP number
- Any identifying information that's required by the issuer or the senior syndicate manager on the issuer's behalf (excluding customers' names or Social Security numbers)
- The par amount of the order

The senior syndicate manager may rely on the information that's required to be furnished by each broker, dealer, or municipal securities dealer unless the senior syndicate manager knows, or has reason to know, that the information is untrue, inaccurate, or incomplete.

Primary Offering Practices (Rule G-11)

MSRB rules specify the procedures that must be followed and disclosures that must be made when members are involved in the underwriting of new municipal securities. Before describing the requirements, let's first define some important terms.

Date of Sale In the case of *competitive sales*, the date of sale is the date on which all bids for the purchase of securities must be submitted to an issuer. In the case of *negotiated sales*, the date of sale is the date on which the contract to purchase securities from an issuer is executed.

Priority Provisions These are the provisions that are adopted by a syndicate and govern the allocation of securities to different categories of orders. The normal priority is presale orders, group orders, designated orders, and member orders at the takedown.

Related Portfolio A related portfolio is a municipal securities investment portfolio of a municipal securities broker-dealer or of any person directly or indirectly controlling, controlled by, or under common control with a municipal securities broker-dealer (e.g., a bank dealer's portfolio or trading account).

Underwriting Period The underwriting period begins with the first submission to a syndicate of an order for the purchase of new issue municipal securities or the purchase of the securities from the issuer, whichever occurs first. The underwriting period ends when the issuer delivers the securities to the syndicate or the syndicate no longer retains an unsold balance of securities, whichever occurs last.

Accumulation Account An accumulation account is established in connection with the creation of a municipal securities investment trust. Securities are deposited into the accumulation account pending their deposit into the investment trust.

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Order Period The order period is the period (if any) that's announced by a syndicate during which orders will be solicited for the purchase of securities being held in the syndicate account.

Qualified Note Syndicate Under MSRB rules, a qualified note syndicate is defined as a syndicate that's formed for the purpose of purchasing and distributing a new municipal issue that will mature in less than 24 months (two years). In addition, the new issue may not be purchased by the syndicate on an all-or-none basis, and the syndicate has stipulated that there's no order period. Only group orders will be accepted, and the syndicate may buy or sell the securities for its own account.

Disclosures Required by the Syndicate

MSRB rules require certain items to be disclosed by syndicate managers and/or members when they interact with one another in the sale of a new issue.

Disclosure of Capacity Every syndicate member that submits an order to purchase municipal securities that are being held by the syndicate must disclose, at the time of submission, whether the securities are being purchased for:

- Its dealer account (for inventory)
- The account of a related portfolio
- A municipal securities investment trust that's sponsored by the dealer, or
- An accumulation account that's established in connection with a municipal securities investment trust

The underwriters of a municipal securities unit investment trust (UIT) collect bonds in an accumulation account pending the deposit of the bonds in the trust. (These bonds are mostly new issue municipal securities, but could also be secondary market securities.) Once these bonds are deposited into a trust, it becomes a municipal securities unit investment trust.

According to the disclosure rule, the syndicate manager must be notified of the nature of the order —who or what the order is for—when the order is submitted to the manager by a syndicate member.

> *For example, if a syndicate member places an order with the syndicate manager, the member must disclose the type of order being submitted. For some types of orders, a syndicate member must disclose the name of the customer. Ultimately, syndicate members cannot place an order for a customer, then keep the bonds for themselves.*

The syndicate manager must also confirm sales that are made by the syndicate to a related portfolio, municipal securities investment trust, or accumulation account. The confirmation can be sent to the member submitting the order or directly to the account. Sales that are made to these organizations don't need to be group allocations—the sale can be done for the benefit of the firm that entered the order.

Priority Provisions

Every syndicate must establish priority provisions for orders. Although the order priority of presale, group net, designated, and member is customary, it's not mandated by MSRB rules. If these provisions are able to be changed, the syndicate must establish the procedure by which these changes can be made.

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The syndicate agreement may contain a provision which permits the syndicate manager(s) to allocate securities in a manner other than in accordance with the priority provisions on a case-by-case basis. However, if the syndicate manager does invoke this right and allocates securities in a manner that's different than the priority provisions, the manager must be able to justify that the new allocation is in the best interests of the syndicate.

Prior to the first offer of any securities by a syndicate, the senior syndicate manager must provide the other members of the syndicate with the following information in writing:

- The priority provisions
- The procedure, if any, by which such priority provisions may be changed
- If the senior syndicate manager(s) are to be permitted, on a case-by-case basis, to allocate securities other than in accordance with priority provisions, the fact that they are to be permitted to do so
- If there's to be an order period, whether orders may be confirmed prior to the end of the period

Disclosure of Allocation of Securities

In many new issue sales, there are more orders than bonds available (i.e., the issue is oversubscribed). When that happens, how the bonds are allocated among the orders that have been submitted will determine whether a particular customer of a syndicate member will receive bonds. The allocation of bonds could also have an effect on the profits that are earned by each member. Therefore, syndicate members have a keen interest in the allocation process, which is handled by the senior syndicate manager. MSRB rules require the syndicate manager to take certain actions regarding allocations within the following time frames:

- *Within 24 hours of sending the commitment wire*, the senior syndicate manager must complete the allocation of securities. However, if at the time of the allocation, the contract hasn't been signed in a negotiated sale or the award hasn't been made in a competitive sale, the allocations are made subject to the signing of the contract or the awarding of the bonds. All purchasers must be informed of this fact.
- *Within two business days from the date of sale*, the syndicate manager must disclose in writing to the syndicate members a summary of the allocation of securities to orders which, under the priority provisions adopted by the syndicate, are entitled to a higher priority than a member's "takedown" order. This includes any order that's confirmed at a price other than the original list price. For each maturity that's allocated, the summary must show the aggregate par value and price.
- *Within 10 business days following the date of sale*, the syndicate manager must disclose in writing to each syndicate member all of the *available* information regarding designations that are paid to syndicate and non-syndicate members, expressed in total dollar amounts. *All* such information must again be disclosed to syndicate members with the sending of the designation checks.
- *By the later of 15 business days after the date of sale or three business days following notice to the syndicate manager from the issuer*, the manger must disclose in writing the amount of any portion of the takedown that's directed to each member by the issuer.

Disclosure of Group Orders

Every municipal securities dealer that submits a group order to a syndicate or to a member of a syndicate, must disclose the identity of the customer for whom the order is submitted and the time that it's submitted.

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Disclosure of Syndicate Expenses and Summary Statement

At or prior to the final settlement of the syndicate account, the manager must give the syndicate members an itemized statement that shows the nature and amounts of all expenses which are incurred on behalf of the syndicate and a summary statement showing the following:

- The identity of members' related portfolios to which securities have been allocated, as well as the aggregate par value and maturity date of each maturity that's allocated
- The identity of each person who submits a group order to which securities have been allocated, as well as the aggregate par value and maturity date of each maturity that's allocated
- The aggregate par values and prices (expressed in terms of dollar prices or yields) of all securities that are sold from the syndicate account

Expenses related to syndicate activities may include advertising, legal, and miscellaneous expenses that are incurred during the underwriting process. These expenses must be disclosed to the syndicate members. Syndicate members are entitled to know exactly what the syndicate's expenses were so that the syndicate manager doesn't exaggerate expenses and therefore take a bigger portion of the underwriting profits. Discretionary fees for clearance costs and management fees must also be disclosed by the manager to the syndicate members. For competitive offerings, this disclosure must be made prior to the submission of a bid. However, for negotiated offerings, the disclosure must be done prior to the execution of a purchase contract with the issuer.

In addition to amounts that are categorized as management fees by the syndicate manager, management fees include any amount to be realized by a syndicate manager and not shared with the other members of the syndicate.

Syndicate Settlement Practices

The settlement of a syndicate account and distribution of any profit that's due to members must be made within 30 calendar days of delivery of the securities by the syndicate manager to the syndicate members. Sales credits that are designated by a customer must be distributed within 10 calendar days following the date that the issuer delivers the securities to the syndicate.

Underwriting Assessments

Syndicate members must pay an underwriting fee to the MSRB for certain issues of municipal securities. The syndicate manager—also referred to as the *book running manager* or *senior syndicate manager*—pays the fee on behalf of each participant in the syndicate. No part of any of the underwriting fees may be passed on to either a customer or the issuer. In other words, members are required to pay the fee.

All offerings that are subject to the rule are assessed at a rate of .00297% ($.0297 per $1,000) of par value. The MSRB invoices managing underwriters for all underwriting assessments that are due and payment must be made within 30 calendar days after the date the invoice is sent.

Exemptions

Both commercial paper (municipal securities that have maturities of nine months or less) and municipal fund securities are exempt from the underwriting assessments.

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Political Contributions (Rule G-37)

After a lengthy investigation and rulemaking process, the MSRB created rules to deal with the practice that's referred to as *pay-to-play*. This term refers to the practice of municipal securities dealers making political contributions in order to win over politicians who may, in return, direct municipal securities underwriting business their way.

The MSRB believes that this practice undermines not just the integrity of the municipal securities market, but also investor confidence in the market. Investor confidence is essential to ensure a healthy, liquid market. In an effort to maintain the integrity of the municipal securities market, the MSRB adopted a rule to sever the connection between making political contributions and being awarded municipal securities business.

Before examining the details of this rule, it's best to define and discuss the person on whom this rule is focused—the *municipal finance professional (MFP)*. An MFP is defined as:

- Any associated person who's *primarily* engaged in the activities of a Municipal Securities Representative, such as underwriting, trading, sales, financial advisory or consulting services (to issuers), research, or investment advice regarding municipal securities. However, for purposes of this rule, sales activities with natural persons are not considered to be Municipal Securities Representative activities. In a diversified broker-dealer where municipal securities are only part of its business, there may be many representatives who are NOT MFPs since those activities are not the primary aspect of their business. A retail salesperson is not considered an MFP solely based on her municipal securities sales activities.
- Any associated person who solicits *municipal securities business*, even if it's only a small part of her activities. Even something as simple as attending a presentation that a municipal securities firm makes to a potential issuer regarding the firm's public finance capabilities could be interpreted as a solicitation and result in a representative being classified as an MFP.
  - *Note:* The term *municipal securities business* represents participating in negotiated underwriting activities, private placement activities, negotiated remarketing services, or providing financial advisory or consultant services to or for an issuer.
- Direct supervisors of these associated persons
- Any member of the executive or management committee of a dealer or of a separately identifiable department of a dealer bank. For MFP's who meet this definition, as well as the direct supervisors, the ban on business only applies to contributions that are made during the six months prior to the individual becoming an MFP.

Representatives continue to be classified as MFPs for one year following the activity that initially gave rise to the designation.

Let's consider some examples to better clarify the MFP designation.

Scenario #1: Wendy is a licensed registered representative who works for All Securities Brokerage. The majority of her business involves selling equities, equity options, corporate bonds, and occasionally, municipal bonds. Is Wendy considered an MFP?

No, since Wendy works for a diversified broker-dealer and is not primarily involved in municipal securities activities, she's not considered an MFP.

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Scenario #2: Matthew is primarily employed by the municipal securities division of a bank. Matthew just advised the board of directors of a town on how to structure its new issue of municipal bonds to build a state-of-the-art recreation center. He also advised the board on the bond's coupon and pricing the bonds. Is Matthew considered an MFP?

Yes, since Matthew is an associated person who works primarily in the municipal securities department of a dealer bank and is providing financial advice to the issuer, he's considered an MFP.

Scenario #3: Irene is also an employee of All Securities Brokerage. She sells equities and equity options to her retail clients and blocks of corporate and government bonds to her institutional clients. Irene has successfully landed a negotiated underwriting deal with the town of Greenburgh for its bonds to build a new sewage treatment plant. Is Irene considered an MFP?

Yes. Although Irene is an associated person who's not "primarily engaged in municipal representative activities," she's considered an MFP since she's soliciting municipal securities business. Any amount of municipal securities business solicitation is enough to classify an associated person as an MFP.

Why is it important to define municipal finance professionals? Occasionally, just like other citizens, MFPs make political contributions to candidates. A contribution is considered any gift, subscription, loan, deposit of money, or any other item of value for:

- Influencing any election for federal, state, or local office
- Paying any debt incurred in connection with any such election
- Reimbursing any debt that's incurred in a political campaign or paying for transition or inaugural expenses of a successful candidate for state or local office

Since MFPs may be in a position where political influence could increase their chances of getting business, a potential conflict of interest arises. For example, a donation to a mayoral candidate's reelection campaign in return for that candidate's promise to use the MFP's firm as the underwriter on its next municipal bond offering could give the MFP an unfair advantage to obtain that municipality's business. Due to this potential, certain contributions to political candidates violate Board rules.

Ban on Business

Municipal securities firms are prohibited from engaging in specified municipal securities business with issuers for *two years* if certain political contributions are made to officials of those issuers. The political contributions that are referred to by the rule include those made by:

- The municipal securities firm
- Any of the firm's municipal financial professionals (MFPs)
- Any political action committee (PAC) that's controlled by the firm or an MFP

The *issuer officials* who are referenced in the rule are any persons who, at the time of contribution, were incumbents, candidates, or successful candidates for elective offices who are responsible for, or can influence the awarding of, municipal securities business. Also covered are elected officials who appoint persons to offices that award or influence municipal securities business, even if the elected official is not directly involved in the process.

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Exception Any person who's classified as an MFP can make certain contributions without triggering the two-year ban if the following two requirements are met:

1. The MFP is entitled to vote for the official, and
2. The contribution doesn't exceed $250 per election

It's important to emphasize that the exception is based on the election cycle. In other words, if an issuer official is involved in a primary election prior to the general election, an MFP who's entitled to vote for the official can contribute $250 to both the issuer official's primary and general election.

An MFP who's entitled to vote for an issuer official can contribute up to $250 for costs that are related to transition or inaugural expenses and payment of debt related to the election without causing a ban on municipal securities business, but only if the MFP had made no contributions prior to the election. However, if an MFP did contribute $250 to the general election of an issuer official, then the MFP is not able to make any contributions to pay for these expenses without causing a ban on municipal securities business with the issuer. In addition, a municipal securities dealer or MFP who's employed by a dealer is not allowed to solicit or coordinate contributions for an official of an issuer with which the dealer is doing business or intends to do business. For purposes of this rule, the term "broker, dealer, or municipal securities dealer" doesn't include associated persons.

Listed below are some scenarios to help clarify what may be considered either prohibited or legitimate political contributions.

Scenario #4: Tracy works in the municipal securities department of a bank. She just made a $200 political contribution to Frank, who's running for treasurer of the town in which Tracy lives. Can Tracy's bank continue to engage in municipal securities business with the town without violating MSRB rules?

Yes. Since Tracy's contribution did not exceed $250 and since she's entitled to vote for Frank, her bank may continue to engage in municipal securities business with the town. If Tracy's contribution was greater than $250, or if Tracy was not entitled to vote for Frank, or both, her bank would be banned from engaging in municipal securities business with the town for two years after the contribution.

Scenario #5: Tracy, who still works in the municipal securities department of a bank, makes a $500 political contribution to Steven, who's running for mayor of the town in which Tracy lives. Six months later, Tracy leaves the bank for a new position with All Securities Brokerage. Can Tracy's bank and All Securities Brokerage do municipal securities business with the town?

Because Tracy made a political contribution that exceeded $250, the dealer bank is prohibited from engaging in municipal securities business with the town for two years from the date that Tracy made her contribution.

All Securities Brokerage is also prohibited from engaging in municipal securities business with the town from the time that Tracy began working for the dealer until two years have elapsed from the date of the contribution (in this scenario, 1 and 1/2 years from being hired).

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Scenario #6: While studying to become a Municipal Securities Representative, Norman works at a bakery. Norman makes a $1,000 political contribution to Sam, who's running for political office in the town in which Norman lives. One year later, Norman becomes an MFP for All Securities Brokerage. Is All Securities Brokerage prohibited from engaging in municipal securities business with the town?

Yes. MSRB rules are designed to eliminate the connection between making political contributions and awarding municipal securities business. A dealer or dealer bank is prohibited from engaging in municipal securities business with the issuer for two years from the date that the contribution was made. As in the previous scenario, the dealer's prohibition begins when the municipal finance professional (Norman) begins his association with the dealer (All Securities Brokerage). In this scenario, All Securities is prohibited from engaging in municipal securities with the town for one year.

MSRB Interpretations

Since many questions have been raised by municipal securities dealers concerning the application of this rule, the MSRB has provided firms with guidance by issuing an interpretative notice.

- An MFP contributes more than $250 and triggers the ban. If the MFP leaves the firm, the ban remains. If that MPF is hired at a new firm and is still classified as an MFP, the new firm is also prohibited from engaging in negotiated municipal securities business based on the date of the contribution. If the MFP is hired at a new firm, but not as an MFP, the two-year ban doesn't apply to the new firm.
- While employed as an MFP at Dealer A, a person contributes $200 to a candidate. Three months later, the same person contributes another $200 to the same candidate, but is now employed as an MFP at Dealer B. The two-year ban applies only to Dealer B.
- A two-year look-back period applies to contributions made by municipal finance professionals. If an individual is not an MFP and has made contributions to a political candidate that would have resulted in a violation, the individual's employing firm is subject to the underwriting ban if the individual is employed in the role of an MFP within two years of the contribution.
- An official of an issuer (i.e., a governor or mayor) is seeking re-election and an MFP who's entitled to vote for this official contributed $250. This official ultimately loses the election, is out of office, and is now soliciting money to pay debt incurred in connection with the election. The MFP can still give money to this person without triggering the ban since the person is out of office and is no longer an official of the issuer.
- If a contribution to a political candidate is made from a joint checking account, the contribution is viewed as being split evenly by the contributors and the contribution limit applies. Therefore, if the check from the joint account exceeds $500, a violation occurs. If the check is signed by only the MPF, the entire amount is attributable to the MFP.
- If the spouse of an MFP made a contribution by writing a check from a personal (rather than joint) account, the contribution is not viewed as originating from the MFP. In this case, there's no limit on the amount the spouse can contribute under this MSRB rule.

Application for Exemption Since the two-year business ban is a significant penalty, the Political Contribution Rule contains a procedure whereby a municipal securities firm may apply to its appropriate regulatory authority for an exemption from the ban. This exemption is designed to alleviate hardships that are caused by inadvertent or innocent violations of the rule.

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When deciding whether to grant the exemption, the regulatory agency will consider whether it's in the public interest and whether the municipal securities firm:

- Prior to the time the contribution(s) was made which resulted in the prohibition, had developed and instituted procedures that were reasonably designed to ensure compliance with this rule
- Prior to or at the time the contribution(s) was made which resulted in the prohibition, had no actual knowledge of the contribution(s)
- Has taken all necessary steps to cause the person(s) who was involved in making the contribution(s) which resulted in the prohibition to obtain a return of the contribution(s)
- Has taken other remedial or preventive measures, as may be appropriate under the circumstances

Ignorance of the provisions of the Political Contribution Rule is NOT a factor that will be considered when applying for an exemption. In addition, the following factors are considered by the appropriate regulatory agency in determining whether to grant an exemption from the two-year business ban:

- The nature of the remedial or preventative measures that are taken toward the contributor and all employees of the dealer
- Whether, at the time of the contribution, the contributor was an MFP, an employee of the dealer, or seeking such employment
- The timing and amount of the contribution
- The nature of the election (local, state, or federal)
- The contributor's apparent intent or motive in making the contribution, as evidenced by the facts and circumstances of the contribution

Automatic Exemption Provision There are limited instances by which an automatic exemption is provided from a dealer's ban on business. Dealers are allowed to execute two exemptions per 12-month period for contributions that are made by an MFP of $250 or less if the dealer discovers the contribution within four months of the date of the contribution and the contributor obtains a return of the contribution within 60 calendar days from the date that the dealer discovered the contribution.

A dealer is not allowed to execute more than one automatic exemption for the same MFP. Also, the automatic exemption is not available for contributions that are made by a dealer, a dealer-controlled PAC, or MFP-controlled PAC. Dealers are required to report the exemption on Form G-37 and also maintain records of the exemptions. The record should include the amount of contribution, the date that the firm discovered the contribution, the name of the contributor, and the date that the contributor obtained a return of the contribution.

Solicitation of Contributions The MSRB's Political Contribution Rule also prohibits municipal securities firms or MFPs from soliciting any person or PAC to make a contribution to an issuer official. Coordinating (bundling) contributions to an official is also prohibited. Firms cannot engage in any other acts that violate the rules regarding contributions or solicitations of contributions to candidates for public office.

Although a violation of this part of the rule doesn't trigger the two-year business ban, it can result in a disciplinary action against the MFP or the firm. In addition, there's no allowance in this part of the rule for contributions of $250 or less. If an MFP solicits another person to give even a few dollars, it's a violation.

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Volunteer Work Volunteer activity will not violate the political contribution rules since an MFP can volunteer his time on behalf of an official of the issuer. However, the MSRB does recommend that the MFP donate his time during non-work hours. In addition, personal expenses that are incurred during volunteer work (e.g., cab fare or personal meals) will not be defined as a contribution. The MSRB doesn't restrict MFPs from engaging in political activities to express their personal views provided they don't solicit contributions or exceed the contribution limits.

Activities such as appearing at a fundraising event, soliciting votes (not contributions), giving a speech, writing books, displaying a sign on their property, or having a bumper sticker on their car are generally permitted activities. However, hosting a fundraising event may be considered soliciting contributions, or covering the expenses that are incurred to host the event may be considered a contribution, which makes this a possible prohibited activity.

Disclosure Political contributions (other than those that are made under the $250 exception) must be disclosed to the MSRB by municipal securities firms when made by:

- The municipal securities firm
- Any of the firm's MFPs
- Any PAC controlled by the firm or an MFP
- Any non-MFP executive officer of the firm

Notice the new category—*non-MFP executive officers*—which are defined as associated persons who are in charge of a principal business unit, division, or function, or any other person who performs similar policy making functions for the municipal securities firm, but doesn't include any municipal finance professionals. Although contributions by non-MFP executive officers will not trigger the two-year ban, they must be disclosed to the MSRB.

Political contributions are disclosed to the MSRB through Form G-37, which is filed on a quarterly basis. Thereafter, the MSRB will make this information available to the public.

Reporting Related to Political Contributions

Firms must submit reports on contributions to officials of issuers and on payments to political parties of states and political subdivisions. Form G-37 must be submitted to the Board for a calendar quarter if any one of the following occurred:

- Reportable political contributions or payments to political parties were made during the reporting period, unless the firm had previously submitted Form G-37(X) (discussed shortly) and the submission remains in effect
- The dealer engaged in municipal securities business during the reporting period, or
- The dealer used consultants during the reporting period.

Two copies of these reports must be sent to the Board on Form G-37 by the last day of the month following the end of each calendar quarter and must include:

- The name and title of each official of an issuer and political party that received contributions or payments

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- The amount of the contribution or payment made and the contributor category (e.g., the firm, each MFP, each non-MFP executive officer, each PAC controlled by the firm) of the persons and entities involved
- A list of issuers with which the dealer has engaged in municipal securities business, along with the type of municipal securities business.

Contributions that don't exceed $250, which are made by municipal finance professionals or executive officers to officials of issuers for whom the contributor is entitled to vote, are not required to be reported on Form G-37.

Contributions that exceed $250 which are made by executive officers must be reported on form G-37, although these contributions don't trigger the two-year ban. In addition, dealers are not required to list the names of municipal finance professionals and executive officers on Form G-37. The Board will accept other information that's related to political contributions on a voluntary basis.

Records Concerning Political Contributions and Prohibitions of Municipal Securities Business

For a period of six years, every broker, dealer, and municipal securities dealer must keep current records that reflect:

- A listing of the name, title, and address of all municipal finance professionals and executive officers
- States in which the firm intends to do municipal business
- A listing for the current year of issuers with which the firm has done business, and in what capacity, as well as separate listings for the last two calendar years
- The amounts, dates, and identities of contributors (this includes MFPs, any PAC controlled by an MFP, and non-MFP executive officers) for all contributions, direct or indirect, to officials of an issuer, as well as to political parties of states and political subdivisions
- Forms G-37 that have been sent to the Board, along with proof of mailing

Solicitation of Municipal Securities Business

The Political Contribution Rule also addresses solicitations that are made by non-affiliated persons. Simply stated, a broker, dealer, or municipal securities dealer cannot agree to pay, either directly or indirectly, any person who's not affiliated with the firm for soliciting municipal securities business on behalf of the firm. For purposes of this rule, certain definitions must be addressed, including:

Solicitation Solicitation is defined as any direct or indirect communication by any person with an issuer for the purpose of obtaining or maintaining municipal securities business.

Affiliated Person An affiliated person is considered a partner, director, officer, employee, or registered person of a firm. In the case of a bank dealer, it includes any person who has a similar status or performs similar functions. Also considered affiliated are other companies that directly control, are controlled by, or are under common control of the municipal securities firm.

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Municipal Securities Business Municipal securities business includes:

- The purchase of a primary offering from an issuer on a negotiated basis. However, competitive bid allocations are excluded from the definition.
- The offer or sale of a primary offering of municipal securities on behalf of any issuer, including public offerings and private placements
- If a municipal securities firm provides financial or advisory services to an issuer or on behalf of the issuer in a primary offering, the firm is engaged in municipal securities business.

Suitability of Recommendations and Transactions (Rule G-19)

Suitability

Broker-dealers have a suitability obligation to each of their customers. For non-institutional (retail) customers, broker-dealers and their registered persons must have a reasonable basis for recommending a transaction or investment strategy. These recommendations must be based on information that's been obtained from the customer and then used to identify her investment profile. A customer's investment profile includes the following items:

- Age
- Other investments
- Financial situation and needs
- Tax status
- Investment objectives and experience
- Investment time horizon
- Liquidity needs
- Risk tolerance
- Any other information that's been obtained from the customer

Although customers are not obligated to provide all of the preceding information, a registered person should make every effort to obtain as much as possible in order to provide the most suitable recommendations.

The MSRB has established the following three main suitability obligations:

1. The *Reasonable-Basis Obligation* – Requires a member firm and its RRs to have a reasonable basis to believe that a recommendation is suitable for at least some investors. If the firm or its RRs don't understand a product, it should not be recommended to customers.
2. The *Customer-Specific Obligation* – Requires a member firm and its RRs to have a reasonable basis to believe that a recommendation is suitable for a particular customer based on the customer's investment profile.
3. The *Quantitative Obligation* – Requires a member firm and its RRs to have a reasonable basis to believe that a series of recommended transactions, even if they are suitable for a customer, are not excessive when considering the customer's investment profile.

Customer's Financial Ability The rule prohibits a firm from recommending a transaction or investment strategy involving municipal securities, or the continuing purchase of municipal securities, or use of an investment strategy that involves municipal securities unless the firm has a reasonable basis to believe that the customer has the financial ability to meet such a commitment. For example, even if a customer is suitable for municipal securities, it's a violation for a firm to recommend a purchase $250,000 of securities if he's only got $200,000 of cash available.

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Recommendation There are situations in which the MSRB's suitability rule doesn't apply. This is the case when the dealer is not making a recommendation to the customer. When communicating with customers and not recommending either municipal securities or a specific municipal security, the MSRB doesn't consider the following to be recommendations:

- Basic investment concepts, such as risk and return and diversification
- Historic differences in the return of asset classes based on standard market indices
- Effects of inflation
- Estimates of future retirement income needs
- Assessment of a customer's investment profile
- General comparisons between tax-exempt and taxable bonds and the concept of tax-equivalent yield

For example, discussing a private activity bond is considered a recommendation, but discussing the difference in the tax treatment between corporate bonds and municipal bonds is not considered a recommendation.

Time of Trade Disclosures (Rule G-47)

In addition to the suitability requirements, a municipal securities dealer is required to disclose to a client, orally or in writing, all material information that's either known or that's reasonably accessible to the market. The main purpose of this rule is to require dealers to disclose to clients all of the relevant information concerning the security they're considering purchasing or selling. Many municipal securities have unique features and characteristics that should be disclosed to a client. Some of the required disclosures include:

- Features of VRDOs or ARS
- Credit risk or rating
- Credit or liquidity enhanced securities
- Insured securities
- Tax treatment of an OID
- Call features, put options, and tender options
- Use of the bond's proceeds
- The fact that the issuer has failed to make the filings under the continuing disclosure agreements

The time of trade disclosures are required to be made *at or prior to* the time of the trade. The disclosures may be made orally or in writing and apply regardless of whether the transaction is recommended or unsolicited, occurs in the primary or secondary market, or is a principal or agency transaction. The rule states that information is considered material if there's a substantial likelihood that a reasonable investor would consider the information to be important or significant when making an investment decision. A municipal securities dealer cannot satisfy its disclosure obligation by simply directing a customer to an established industry source or through a disclosure that's made in general advertising materials.

Finally, the phrase *reasonably accessible to the market* includes information that's publicly available through established industry sources. However, the MSRB's EMMA system is not the only source of information that may be used. Dealers may use rating agency reports as well as other sources of information which are generally used by dealers that effect transactions in the types of municipal securities involved.

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Transactions with SMMPs (Rule G-48)

Certain MSRB rules have different implications for sophisticated municipal market professionals, including:

- Time of trade disclosures DO NOT apply to SMMPs
- Transactional pricing, which is described in Rule G-30, have the following guidelines for SMMPs:
  - Dealers DO NOT have an obligation to obtain a fair and reasonable price if the transactions are non-recommended secondary market agency transactions, or if the dealers have been explicitly limited to providing anonymity, communication, order matching, and/or clearance functions and don't exercise discretion as to how or when the transactions are executed
- Under Rule G-19, the customer-specific suitability requirements DO NOT apply to SMMPs; however, the reasonable-basis obligation and quantitative suitability requirements DO apply to SMMPs
- The best execution standards (described later) under Rule G-18 DO NOT apply to SMMPs

Disclosure of Control Relationships (G-22)

A control relationship exists when a person who's in a position of influence at a broker-dealer is also in a position of influence with an issuer. This means that a control relationship exists if a firm has a person who's associated with it and is able to influence an issuer's actions with respect to the payment of interest and/or principal on an issue of municipal securities, or if the firm itself is in this position.

> *For example, Martha is the mayor of a municipality and is very likely able to influence the debt service of this municipality. If the town needs to allocate some of its funds to cover the debt service on issued bonds, Martha, as the mayor, may have influence over how much of these funds to use.*

If Martha is employed by any municipal securities firm, a control relationship is created. How could this become apparent? Martha could recommend her town's bonds to her clients or could give her firm an unfair advantage in acquiring these bonds.

If a control relationship exists between an issuer of securities and the municipal securities dealer that's distributing the securities, the client must specifically authorize any trade. In addition, if a control relationship exists, all of the clients must receive disclosure of the relationship before engaging in a trade for that issue. The disclosure must be confirmed in writing either at or before the completion of the transaction. Sending an email is an acceptable method of making disclosure.

Transactions with Employees and Partners of Other MSRB Members (G-28)

A firm may not open accounts for persons who are either employees or partners of an MSRB firm unless it observes the rules of the MSRB regarding such accounts. The following rules also apply if the firm opening the account knows the customer is the spouse or minor child of an employee or partner of another municipal securities firm.

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To open and maintain this type of an account:

- The firm opening the account must give written notification to the employing firm that it intends to carry the account. The employing firm will then forward any special instructions or restrictions that must be followed.
- The firm carrying the account must send duplicate confirmations for all transactions that are made in the employee's account to the employing firm.

The provisions of this rule don't apply to transactions in municipal fund securities or to accounts that are limited to transactions in municipal fund securities.

Customer Account Transfers (Rule G-26)

MSRB rules specify the procedures to follow when a customer intends to transfer an account from one municipal securities firm to another. Both the dealer that carries the account (referred to as the *carrying party*) and the dealer that's receiving the account (the *receiving party*) are responsible for coordinating and expediting a customer's request to transfer the account.

It's important to note that if both parties are direct participants in a clearing agency that's registered with the SEC and offers automated account transfer capabilities, the parties must transfer the account under the rules of the clearing agency, rather than the following rules.

Transfer Instructions The procedure begins once the customer provides written notification of the transfer request to the receiving party. Transfer instructions may be sent on MSRB Form G-26 or other forms that are required by a registered clearing agency. The receiving party then must immediately forward the transfer instructions to the carrying party. Within o*ne business day* of receipt of the transfer instructions, the carrying party must validate and return the instructions to the receiving party or protest the transfer.

Note: A copy of the transfer instructions must be forwarded to the enforcement authority (i.e., the SEC, FINRA, FRB, FDIC, or Comptroller of the Currency) that has jurisdiction over the carrying party, at the request of the authority.

Protesting a Transfer If the transfer is protested, the carrying and receiving parties must promptly resolve their differences. A carrying party may protest a transfer only if:

- It has no record of the account on its books
- The transfer instructions are incomplete, or
- The transfer instructions contain an invalid signature

Validating a Transfer When validating transfer instructions, the carrying party must freeze the account and cancel all outstanding orders. Attached to the validated transfer instructions must be a listing of all positions, money balances, and current market values for all of the assets in the account, as well as a description of the securities being transferred that don't have CUSIP numbers.

Within *three business days* following the validation, the carrying party must complete the transfer of the account to the receiving party.

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Improper Use of Assets (Rule G-25)

MSRB member firms are prohibited from making improper use of municipal securities or funds that are held on behalf of another person. Also, member firms must adhere to MSRB rules with regard to securities and funds that belong to their clients.

Guarantees A member firm may not guarantee or offer to guarantee a customer against loss. This prohibition is an anti-manipulation rule which is primarily designed to prevent a municipal securities dealer from artificially stimulating the market in a security by "parking" it in the account of a customer who has assumed no market risk.

Put options and repurchase agreements are not considered guarantees against loss if the terms are stated in writing to the customer, either with or on the confirmation of the transaction, and recorded on the firm's books. A *put option* is a contract that's purchased by the client which may or may not be exercised. A put option doesn't guarantee against loss; instead, it's simply the opportunity to sell a specific security at a stated price for a certain period. A *repurchase agreement* usually begins with the client being long cash and the firm being long a security. The client wires funds to the firm and, in return, is sent securities as collateral for the loan. This procedure is not considered a guarantee against a loss.

Sharing in Profits and Losses An MSRB firm is not permitted to share in the profits or losses of its clients. However, this doesn't prevent an associated person from participating, in a private capacity, in an investment partnership or joint account with a client. To be permitted, the participation must be solely in direct proportion to the financial contribution made by the associated person to the partnership or account.

> *For example, if a representative contributes 50% of the capital to a joint account with a customer, the RR may only be allocated 50% of any gains and 50% of any losses.*

Use of Ownership Information Obtained in a Fiduciary or Agency Capacity (Rule G-24)

During the normal conduct of business, a member firm may act in a fiduciary or agency capacity that could give it access to information regarding the owners of an issuer's securities. In some cases, this information may not be readily available to other municipal securities firms.

According to MSRB rules, the member firm may use this information for its own benefit if it first obtains the permission of the issuer. This rule aims to prevent abuses in acquiring and using information concerning the ownership identity of municipal securities.

> *For example: Let's assume that a member firm acts as paying agent, transfer agent, registrar, indenture trustee, clearing agent, safekeeping agent, or correspondent for an issuer. If the issuer begins to solicit tenders, the member firm, knowing the identity of owners of the securities, could contact them to solicit orders which may result in a profit for the firm. This rule doesn't prohibit the member firm's for-profit motives if it first obtains the issuer's permission to use the information.*

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Advertising (Rule G-21)

All advertising that's published by municipal securities firms must be truthful and not misleading. An advertisement is defined as any material (other than a firm's offering list) that's published or designed for use in the public media, or any promotional literature that's designed for dissemination to the public, including any notice, circular, research report, market letter, form letter, telemarketing script, or reprint or excerpt of these items.

A form letter is considered advertising and is defined as any written or electronic mail message being distributed to *more than 25 persons* within any 90-day period. Therefore, an electronic message that's sent to 25 persons is considered correspondence; however, an electronic message that's sent to *more than 25 persons* is considered advertising. The main difference is that advertising requires approval, whereas correspondence simply requires supervision and review.

- The term *number of persons* has a unique meaning that's relevant to the municipal business. For example, if a firm is responding to an RFP or a similar request and sends a response to a municipal entity, this is considered a response to one person despite the fact that more than 25 individuals may review the response. Responses to RFPs are generally not considered advertising since the intent is not for the response to be distributed.

Preliminary official statements and final official statements are not considered advertising. However, if a firm prepares an abstract or summary of an official statement, it's considered an advertisement. For example, if a municipal securities firm sends an e-mail to several investors which summarizes the preliminary official statement, it's considered an advertisement.

Standards

A municipal securities broker-dealer may not publish advertising that it knows, or has reason to know, is materially false or misleading. This includes advertising about the facilities, services, or skills of the broker-dealer, in addition to ads about the products the firm offers. For example, the MSRB believes that advertisements may be misleading if they show only a percentage interest rate without specifying whether it's the coupon rate or yield. If it represents the yield, it must indicate the basis on which it's calculated (e.g., discount, par, or premium securities and, for discount securities, whether it's indicating the before-tax or after-tax yield).

Content Standards

The MSRB established the following standards for the content of municipal broker-dealer advertisements:

- All advertisements must be based on the principles of fair dealing and good faith, must be fair and balanced, and must provide a sound basis for evaluating the facts with regard to any particular municipal security or type, municipal financial product, industry, or service.
  - A firm is prohibited from omitting any material fact or qualification if the omission, in light of the context of the material presented, causes the advertisement to be misleading.
- A firm cannot make any false, exaggerated, unwarranted, promissory, or misleading statement or claim in any advertisement.
- A firm may place information in a legend or footnote, but only if the placement doesn't inhibit an existing or potential municipal client's understanding of the advertisement.

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- A firm must ensure that statements are clear and not misleading within the context in which they're made and provide balanced treatment of risks and potential benefits. An advertisement must be consistent with the risks inherent to the municipal financial product or the issuance of the municipal security.
- A firm must consider the nature of the audience to which the advertisement is directed and must provide details and explanations that are appropriate to the audience.
- Any advertisement may not predict or project performance, imply that past performance will recur, or make any exaggerated or unwarranted claim, opinion or forecast.
  - However, use of the following is permitted:
    - A hypothetical illustration of mathematical principles, provided that it doesn't predict or project the performance of a municipal financial product; and
    - An investment analysis tool, or a written report that's produced by the tool
- A firm is prohibited from directly or indirectly publishing, circulating, or distributing any advertisement which refers, either directly or indirectly, to any testimonial concerning the municipal advisor or any of its advice, analyses, reports or other services that it renders UNLESS:
  - The person making the testimonial has the knowledge and experience to make the statement.
  - The testimonial is given by a current client or by a person other than a current client.
  - The payment of more than $100 in compensation (cash or non-cash) to the provider is disclosed.
    - No more than $1,000 in cash or non-cash compensation may be paid during the preceding 12 months.
- Under MSRB Rule G-21, municipal securities broker-dealers are permitted to use testimonials provided certain disclosures are made.

In any advertisement, a firm may indicate that its registration with the MSRB complies with the applicable standards of all other rules of the MSRB as long as it neither states nor implies that the MSRB or any other corporate name or facility that's owned by the MSRB, or any other regulatory organization endorses, indemnifies, or guarantees the municipal broker-dealer's business practices, services, skills, or any specific municipal security or municipal financial product.

The MSRB has also provided the following guidance regarding a broker-dealer's use of electronic communication.

Interactive Content The term *interactive content* refers to content that's posted or disseminated for direct, real-time interaction (e.g., chatting or messaging). Interactive content that's considered advertising and posted or disseminated in an interactive electronic forum is exempt from the requirement that it be preapproved in writing by a Municipal Securities Principal. Any posting that's made to an interactive social networking site (described in detail below), which may be defined as advertising, is supervised in a manner that's similar to correspondence (i.e., it must be reviewed and supervised, but not preapproved).

Static Content Static content is material that's posted to social media for an extended period and is not interactive. If interactive content is copied or forwarded to a static area of a social media site, it's now considered advertising and must be approved by a principal.

Supervision of Interactive Content A municipal dealer is required to establish, implement, and maintain a system to supervise its municipal activities and its associated persons, including any advisory activities that are conducted through an interactive electronic forum which involves interactive content.

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The system must be reasonably designed to achieve compliance with securities laws and regulations, including applicable MSRB guidelines as set forth in Rule G-21(f).

Social Media and MSRB Rule G-40

The MSRB considers a firm's use of social media sites (e.g., LinkedIn, Facebook, and Twitter) as advertising, unless an exception applies. For that reason, the content standards and rules regarding principal preapproval apply. In addition, the firm must comply with all of the other applicable MSRB rules (Rule G-17), as well as SEC recordkeeping rules. Although the use of a social networking site is subject to preapproval, posts by employees are considered interactive content and therefore only subject to review and supervision, but not approval.

Personal Social Networking Sites Since preapproving the content being posted is challenging for firms, many MSRB member firms prohibit their employees from using certain social media sites for business purposes. The use of personal social media sites by employees of municipal firms for non-business-related communication is not considered advertising and is therefore not subject to Rule G-21. For example, a post regarding a local charity event or a hyperlink to the dealer's website to access an article on how the firm is helping to raise money for disaster victims is not advertising since there's no mention of the dealer's business.

If a firm's employee posts or links to business-related communication on his personal social networking page, this is considered advertising and subject to Rule G-21. If the employee posts on his personal social media site and promotes his firm's business expertise and experience and also solicits inquires to customers, this is subject to applicable MSRB rules.

Hyperlinks A broker-dealer is permitted to include a hyperlink on its website to an independent third-party's content. In this case, the content is considered to be advertising by the dealer if the dealer was either involved in the preparation of the content (entangled) or implicitly or explicitly approved or endorsed the content (adopted). For example, if the dealer assisted in the press release and then posts a hyperlink to the release, the dealer is considered to be entangled and has adopted the content.

If a firm includes a hyperlink on its website to a generic article on municipal securities that doesn't mention any specific municipal securities, it's considered educational and not advertising. If a firm's website contains a hyperlink to an independent third-party's content, which also contains a hyperlink to another website (secondary link), the MSRB doesn't consider this to be advertising. However, the same application applies to stipulate that the content cannot be entangled or adopted by the dealer.

Third-Party Post Posts by customers, municipal entity clients, or any other third party are referred to as third-party posts. These third-party posts that appear on either the municipal firm's or its employees' social networking pages or sites are not considered advertising unless the firm becomes entangled or has adopted the third-party content. Examples include the dealer or its employees paying or soliciting the third-party posts or sharing ("liking") the third-party posts.

If a dealer allows its employees to use a social media site for business communication that it supervises, any unsolicited third-party opinion posts are not considered advertising even if they include a testimonial.

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If the firm or employee solicited, paid, shared ("liked") these comments which are posted on social media, they're subject to the MSRB's advertising rule. Broker-dealers and their employees are prohibited from posting to a third-party website using social media that it knows or has reason to know contains false or misleading content.

Policies and Procedures A broker-dealer should develop policies and procedures regarding its supervision of social media. Some of the factors that should be addressed are:

- *Usage restrictions* — the dealer must determine which sites are restricted and which are prohibited
- *Training and education* — the firm must promote an understanding of the differences between personal and business communications as well as how to respond to a client on social media
- *Recordkeeping and record retention* — the firm must document how it will comply when using social media
- *Monitoring* – the dealer must verify how it will monitor and review content
- *Approval of social networking sites* — the dealer must indicate which sites are permitted and, if the firm is part of a large financial service firm, it must ensure compliance with applicable MSRB rules

Any social networking site that's used for business communications is subject to recordkeeping requirements regardless of the device used (e.g., a smartphone).

New Issue Advertisements

Since the prices or yields of new municipal issues can fluctuate in response to market conditions, it can be difficult for a syndicate to publish a new issue ad (e.g., a tombstone) that's accurate by the time the public views it. MSRB rules permit a syndicate to publish an advertisement that shows the initial reoffering prices or yields for the securities, even if they have since changed, as long as the ad contains the date of sale of the securities by the issuer to the syndicate. In this rule, *date of sale* means:

- For competitive issues – the date on which bids are required to be submitted to the issuer
- For negotiated sales – the date on which a contract to purchase the securities from the issuer is executed

If the syndicate chooses to advertise prices or yields other than the initial reoffering prices or yields, they must be current as of the time the ad is submitted for publication.

Advertisements for new issues of municipal securities must indicate, if applicable, that the securities shown as available from the syndicate may no longer be available at the time of publication, or may be available from the syndicate at a price or yield that's different from what's shown in the ad.

Professional Advertisements

Advertisements regarding the professional qualifications or skills of a municipal securities dealer may not be materially false or misleading. The fact that an ad states that a firm is a great place to work, has modern facilities, nice people, or a large inventory is considered incomplete if any essential aspect of the business is missing. For example, if the firm had no underwriting department, some mention of this fact is required to make the ad complete and not misleading.

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Additional Disclosures

Any advertising that's related to municipal fund securities must include a statement which:

1. Advises an investor to consider the investment objectives, risks, and charges before investing
2. Explains that more information about municipal fund securities is available in the issuer's official statement
3. Indicates that the dealer publishing the ad is an underwriter of the municipal fund securities
4. States that the official statement should be read carefully before investing

If the advertisement refers to the municipal fund security by name, the issuer, or the state or governmental entity that sponsors the municipal fund securities, additional disclosures must be included. Among these disclosures are:

1. If the issuer hasn't produced the official statement, the source from which it may be obtained
2. If related to an IRS Section 529 plan, a statement that advises an investor to consider, before investing, whether the investor's or beneficiary's home state offers any state tax or other benefits that are only available for investments in the state's qualified tuition program
3. If the municipal fund security has characteristics of a money market fund, statements to the effect that an investment in the security is not guaranteed by the FDIC or any other governmental agency

Approval of Advertising by a Principal

Each advertisement must be *approved in writing* by a Municipal Securities Principal (Series 53) or a General Securities Principal (Series 24) *prior* to first use. Every firm must make and keep current, in a separate file, records of all advertisements. A Municipal Fund Securities Limited Principal (Series 51) may approve advertising, but only if it's related to municipal fund securities (529 plans).

Supervisory Responsibilities (Rule G-27)

All associated persons are required to be supervised. Each firm must establish written supervisory procedures for each segment of its business in order to assure compliance with the MSRB rules. MSRB member firms must designate, in writing, one or more principals as responsible for supervising municipal securities activities. The designated principal must promptly review and approve in writing each of the following:

- The opening of customer accounts
- Transactions in municipal securities
- The handling of all written customer complaints that pertain to transactions in municipal securities
- All correspondence that pertains to the solicitation or execution of transactions in municipal securities

It's also necessary for the designated principal to regularly and frequently examine all customer accounts that are introduced or carried by the firm in order to detect and prevent irregularities and abuses. MSRB rules don't require the person who's responsible for supervising the municipal securities activities of a branch office to be physically located at the branch. Review of branch offices is required to be conducted on a periodic basis.

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Trading Practices

A number of the Board's rules cover the trading activity of member firms in the secondary market.

Quotations (Rule G-13)

A *quotation* represents a bid for, offer of, request for bid, or request for offer of municipal securities. A broker-dealer may only publish or distribute a quotation if it's a bona fide quote. A quote is bona fide if the broker-dealer stands ready to effect the transaction at the price that's quoted at the time the quotation is given. Quotations for municipal securities should represent the best judgment of the municipal securities broker-dealer of the fair market value of the securities at the time the quotation is made. A broker-dealer is permitted to give a quotation for informational purposes only as long as the quote is identified as such. This includes *subject*, *workout*, and *nominal* quotes.

Multiple Markets in the Same Security Occasionally, firms participate together in joint accounts for the purpose of selling municipal securities in an arrangement that's referred to as a secondary market trading account. For example, two municipal securities firms may buy a large block of an existing municipal issue and alter the quality of the bonds by insuring them. The firms will then sell the credit-enhanced bonds from the joint account.

A joint account is allowed to have only one price at which it's offering a specific security at a particular time. Participants in joint accounts are prohibited from distributing or publishing different quotations for the same security. To do so causes prospective buyers to perceive the separate offerings as being competitive and will draw buyers to the lower of the offerings.

Quotes for a Second Party A dealer is permitted to disseminate quotes for a person other than itself, including customers, other dealers, and sophisticated municipal market professionals (SMMPs). Generally, if a dealer disseminates a quote for another party and doesn't label it as such, it's presumed to be made by that dealer. If the quotation is labeled as belonging to another party, then it's presumed not to be a quotation being made by the disseminating dealer.

Best Execution (Rule G-18)

According to this rule, a dealer firm must use reasonable diligence to ascertain the best market for any municipal security purchases or sales for its customers. The objective is for a firm to obtain the best price under prevailing market conditions for its customers. Some of the factors which may be considered include:

- The general character of the market in which the security trades (e.g., the price, volatility, and relative liquidity)
- The size and type of transaction
- The information reviewed to determine the current market for the subject security or similar securities
- Accessibility of the quotation, and
- The terms and conditions of the customer's inquiry or order, including any bids or offers that result in the transaction, as communicated to the dealer

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This obligation applies regardless of whether the municipal securities dealer is acting in agency or principal capacity and is separate from the rule regarding fair and reasonable commissions, markups, and markdowns. In other words, the dealer has both an obligation to obtain the best price for a customer based on prevailing market conditions and to charge a commission, markup, or markdown that's fair and reasonable.

Interpositioning When a dealer executes any transaction with an existing customer or a customer of another dealer and inserts a third party between the customer and the best market, it's generally referred to as *interpositioning*. Interpositioning is specifically prohibited if it's a detriment to the customer; however, if the customer actually receives a better price, there's no violation. The lack of sufficient personnel to effectively execute an order is NOT a suitable reason for interpositioning and failing to obtain the best price for a customer. Although the rule doesn't prohibit the use of a broker's broker for execution purposes, it does require the dealer to show why it was reasonable.

Execution of Customer Transactions Taking into account current market conditions, a dealer is required to make every effort to execute customer transactions *promptly*. A dealer is permitted to use more time to execute a transaction if it believes that the delay will be advantageous for the customer.

Definition of Market For purposes of this rule, the term *market* or *markets* encompasses a variety of different venues, including broker's brokers, alternative trading systems, or other counterparties such as the dealer that's acting as principal. The term is to be considered broadly and recognizes that municipal securities currently trade over-the-counter without a central exchange or platform.

This expansive interpretation is meant to both alert dealers to the breadth of the scope of venues that must be considered when attempting to meet their best-execution obligations and also to promote fair competition among dealers, broker's brokers, alternative trading systems, and any other venue that may emerge, by not mandating that any trading venues have less relevance than others.

Best Execution and Executing Brokers A dealer's duty to provide best execution in any transaction, either for or with a customer of another dealer, doesn't apply when the other dealer is simply executing a customer transaction against the dealer's quote (i.e., a market order). A dealer's duty to provide best execution to customer orders that are received from other dealers arises only when a customer order is *routed* from another dealer to the dealer for handling and execution.

Securities with Limited Quotations or Pricing Information Although the best-execution requirements in this rule apply to transactions in all municipal securities (other than municipal fund securities), the best execution obligation requirements are different for customer transactions that involve securities for which there's limited pricing information or quotations available.

The MSRB requires each dealer to have written policies and procedures in place that address how the dealer will make its best-execution determinations when a transaction involves a security that lacks pricing information or multiple quotations. Additionally, the dealer must document its compliance with those policies and procedures. Some of the recommended methods include contacting other sources of pricing information or finding other means of liquidity. For example, a dealer may contact another municipal securities dealer with which it has previously traded that security.

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Customer Instructions In some circumstances, a customer (typically an institutional investor) will direct a dealer to route an order to a specific market for execution. These unsolicited instructions provide the dealer with an exemption from the best execution obligations for that specific order; however, the customer's order must still be executed promptly.

Review of Policies, Procedures and Execution At a minimum, a dealer must conduct annual reviews of its policies and procedures for the purposes of determining the best available market for the executions of its customers' transactions. Although no more frequent interval is specifically required, a dealer must conduct these reviews at a frequency that's reasonably related to the nature of its municipal securities business, including, but not limited to, its level of sales and trading activity.

In conducting its periodic reviews, a dealer must assess whether its policies and procedures are reasonably designed to achieve best execution by taking into account the quality of the executions it's obtained under its current policies and procedures, changes in market structure, new entrants, the availability of additional pre-trade and post-trade data, and the availability of new technologies. Based on the review, a dealer must promptly make any necessary modifications to its policies and procedures.

If a dealer uses the services of another dealer that has agreed to handle those transactions as agent or riskless principal for the customer (clearing firm or other executing dealer), it may rely on that other dealer's periodic reviews. However, the results and rationale of the other firm's review must be fully disclosed to the dealer so that it's able to review the other firm's results. These best execution obligations do NOT apply to transactions involving:

- Municipal fund securities (529 plans)
- Sophisticated municipal market professionals (SMMP)

Broker's Broker (MSRB Rule G-43)

Broker's Broker A *broker's broker* provides secondary market liquidity for retail investors in municipal securities and also acts as an intermediary between selling dealers and bidding dealers. When retail investors buy and sell municipal securities, the price they receive is often based on the price a broker's broker provided to the executing firm.

Due to the issues that may arise from the various prices that are received by sellers in broker's broker transactions and the subsequent prices paid by purchasers of the same securities, the MSRB has implemented Rule G-43. The rule focuses on the role broker's brokers play in bid-wanted auctions or offerings, as well as the responsibility bidders have under the MSRB's fair pricing rules.

A *bid-wanted auction* involves the sale of municipal securities in which:

- At the commencement of the auction, the seller doesn't specify a minimum or desired price for the securities that are the subject of the auction
- The identities of the bidders and the seller are not disclosed prior to the conclusion of the auction, other than to the broker's broker
- Bidders must submit bids for the auctioned securities to the broker's broker, and
- The seller decides whether to accept the winning bid

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Unless otherwise indicated, broker's brokers are generally considered to be acting on behalf of sellers and should do their best to obtain prices that are fair and reasonable in relation to prevailing market conditions. Broker's brokers are required to employ the same care and diligence in doing so as if the transactions were being done for their own account.

Conduct Guidelines for Bid-Wanted Auctions

1. Although no fixed number of bids is required, a reasonable effort must be made to receive bids from multiple dealers including, but not limited to, the underwriter of the issue and prior known bidders on the issue.
2. When securities are part of a small offering or have unique features, an effort must be made to direct the bids-wanted to dealers that have an understanding of, and an interest in, these types of securities.
3. Each bid-wanted must have a deadline for the acceptance of bids, after which the broker's broker must not accept new bids or changes to existing bids.

   That deadline may be either a precise (sharp) deadline or an "around time" deadline that ends upon the earliest of:

   a. The time the seller tells the broker's broker to accept the current high bid
   b. The time the seller notifies the broker's broker that the bonds will not be sold, or
   c. The end of the trading day as publicly posted by the broker's broker prior to the bid-wanted
4. Specific parameters must be established to delineate the range in which a trade may be executed. The broker's broker must adhere to the following guidelines pertaining to the bid-wanted it receives:

   a. If the high bid is above or below the parameters and it's believed to be submitted in error, the broker's broker may contact the bidder prior to the deadline for bids in order to determine whether the bid was submitted in error. This contact may be made without being required to obtain the consent of the seller.
   b. If the high bid is within the parameters, but is believed to be submitted in error, the broker's broker must first receive oral or written consent from the seller in order to contact the bidder to determine if the bid was submitted in error.
   c. If the high bid received in a bid-wanted is below the predetermined parameters of the broker's broker, the broker's broker must disclose that fact to the seller, in which case, the broker's broker may only execute the trade if the seller provides either oral or written acknowledgement of such disclosure. Records must be maintained by the broker's broker including the name of the person who received the notice, the directions received, and the name of the person providing the directions to be followed.

Policies and Procedures for Bid-Wanted Auctions The deadlines and parameters of the bid-wanted must be prominently displayed on the website of the broker's broker and disclosed annually to the sellers and bidders of municipal securities. Some of the policies and procedures that are established to ensure that sellers and bidders are properly informed include:

1. The broker's broker must disclose the maximum commission that may be charged on a given trade.
2. If the winning high bid or next best bid (i.e., cover bid) in a bid-wanted auction has changed, the seller must be notified of both the original and changed bid.

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3. If a broker's broker allows customers or affiliates to place bids, it must provide written disclosure of this fact. Also, disclosure to both sellers and bidders is required if the high bid in a bid-wanted or offering is from a customer or an affiliate of the broker's broker. The name of the customer or affiliate is not required to be disclosed.
4. Bids will be tested to determine if they represent fair market value.
5. Bidders will not be given preferential treatment. Broker's brokers are prohibited from providing specific bidders with a "last look" or suggesting that their bid should be changed.
6. Prohibiting a broker's broker from changing a bid price or offer price without the permission of the respective bidder or seller.
7. Prohibiting a broker's broker from failing to inform the seller of the highest bid in a bid-wanted or offering.
8. Prohibiting any person other than the seller and the winning bidder from receiving information about bid prices before the bid-wanted auction has been completed. The seller may receive information on all bids; however, the winning bidder may only be notified that its bid is the winning bid.

The MSRB has also published an interpretative notice which applies to dealers that use the services of a broker's broker.

Duties of Bidders Bidders are responsible for submitting bids that represent the fair market value based on the current market conditions. The concern is that bids are occasionally placed solely for price discovery—in other words, they're *throw-away* bids. These throw away bids are placed below the fair market value and are a violation of Rule G-13 (the rule that prohibits a dealer from publishing a quote that's not at fair market value).

If a throw-away bid is the resulting winning bid, once executed and reported through EMMA, it creates a misrepresentation of the true market value of the security. If a retail customer wants to sell a security and the dealer uses the services of a broker's broker, the customer may receive an unfair price if a throw-away bid is accepted. Since these bids don't represent real bids, they're detrimental to the process.

Duties of Sellers A dealer that represents a seller of municipal securities also has an obligation to obtain a fair and reasonable price. When acting in a principal capacity, the dealer is prohibited from buying the securities from the seller at a price that's not fair and reasonable. Under Rule G-43, a broker's broker is required to notify the seller when a bid is below the predetermined parameters (based on the yield curve, recent trades reported, and bid-wanteds). Although situations may arise in which a customer may need to liquidate his municipal securities quickly, the dealer must discuss with the customer that taking additional time may result in an improved price.

In some cases, dealers use the services of a broker's broker to obtain bids-wanted and will then buy the securities for their own accounts. Dealers should avoid using the bid-wanted process for the sole purpose of price discovery when they have no intention of transacting business through a broker's broker. The MSRB may consider this practice to be in violation Rule G-17 (the Fair Practice Rule).

Alternative Trading System (ATS) An alternative trading system is an electronic venue for matching the buy and sell orders of its subscribers. An ATS is exempt from the MSRB's broker's broker definition which allows the system to operate without the need to comply with MSRB Rule G-43.

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In order to receive this exemption, an alternative trading system must:

- Be registered with the SEC under Regulation ATS
- Only utilize automated and electronic means to communicate with bidders and sellers
- Ensure that all of its customers are sophisticated municipal market professionals (SMMPs)
- Adopt policies and procedures that, at a minimum:
  - Require the ATS to disclose the nature of its undertakings for the seller and bidders in bid-wanteds and offerings
  - Require the ATS to disclose the manner in which it will conduct bid-wanteds and offerings
  - Prohibit the ATS from engaging in the conduct prohibited under Rule G-43 regarding the use of a broker's broker by dealers

MSRB Rule G-8 (Recordkeeping Requirements of Rule G-43)

Due to MSRB Rule G-43, the following recordkeeping requirements were created, which demands that the records be preserved for a period of not less than six years.

Broker's Broker Broker's brokers are required to keep certain records with respect to municipal securities activities, including the following:

- All bids to purchase municipal securities together with the time of receipt
- All offers to sell municipal securities with the time the broker's broker first received the offering
- The time that the high bid is provided to the seller, the time the seller notifies the broker's broker that it will sell the securities at the high bid, and the time the trade is executed
- A copy of the policies and procedures that are required under Rule G-43
- The date and time of all the communication required under Rule G-43

Alternative Trading Systems An alternative trading system must maintain the following records with respect to its municipal securities activities:

- For all changed bids, the full name of the person at the bidder firm that authorized the change, as well as the full name of the person at the ATS at whose direction the change was made
- A copy of the policies and procedures that are required under Rule G-43

Prices and Commissions (Rule G-30)

Principal Transactions In a principal transaction with a customer, a municipal securities broker-dealer will either purchase municipal securities for its own account from a customer (who's selling) or sell municipal securities from its own account to a customer (who's buying). These principal transactions must be executed at an aggregate price (including any markup or markdown) that's fair and reasonable.

Agency Transactions When acting in an agency capacity, a municipal securities broker-dealer represents a customer by finding the other side of the trade. In an agency trade, a firm is required to both make a reasonable effort to execute the transaction for its customer at a price that's fair and reasonable in relation to prevailing market conditions and charge a customer a commission or service charge that's fair and reasonable.

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General Principles It's important to remember that a municipal securities broker-dealer is allowed to charge reasonable compensation, but must also obtain a fair and reasonable price for its customers. If the firm purchases a bond at a price that's well above the prevailing market value, it may be in violation of MSRB rules even if a small or no markup or commission is charged.

Factors When Charging an Aggregate Price (Principal Transaction) In a municipal securities principal transaction, the *most important* factor in determining whether the aggregate price to a customer is fair and reasonable is ensuring that the yield is comparable to the yield on other securities of comparable quality, maturity, coupon rate, and block size that are available in the market.

Other factors that are also important include:

- The best judgment of the dealer regarding the fair market value of the securities when the transaction occurs and, where applicable, of any securities that are exchanged or traded in connection with the transaction
- The expense involved in executing the transaction
- The dealer's entitlement to a profit
- The total dollar amount of the transaction
  - To the extent that institutional transactions are often larger than retail transactions, this factor may enter into the fair and reasonable pricing of retail versus institutional transactions
- The service provided in executing the transaction
- The availability of the securities in the market
- The rating and call features of the security
  - The dealer should consider information from the rating agencies for both actual and potential changes in the underlying rating as well as any changes in the bond insurance
  - The dealer should consider the possibility that the call feature may not be exercised
- The maturity of the securities
- The nature of the dealer's business
- The existence of material information about a security that's available through EMMA or other established industry sources

Factors When Charging a Commission or Service Charge (Agency Transaction) When acting in an agency capacity, the relevant factors in determining the fairness and reasonableness of commissions or service charges include:

- The availability of the securities involved in the transaction
- The expense of executing or filling the customer's order
- The value of the services rendered by the dealer
- The amount of any other compensation received or to be received by the dealer in connection with the transaction
- The dealer's entitlement to a profit
- The total dollar amount and price of the transaction
- The best judgment of the dealer concerning the fair market value of the securities when the transaction occurs and of any securities that are exchanged or traded in connection with the transaction

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Mark-Up Policy If dealer acts in a principal capacity in a transaction with a customer, any markup or markdown that it receives must be derived from the *prevailing market price.* The prevailing market price of a debt security is its contemporaneous cost or contemporaneous proceeds. A dealer's cost (proceeds) is contemporaneous when its inventory purchase and subsequent resale to a retail customer occur in close time proximity. If a dealer hasn't made a contemporaneous purchase (sale), it may present other evidence of the prevailing market price. This price is established by referring to the dealer's contemporaneous cost as incurred, or contemporaneous proceeds as obtained, consistent with applicable MSRB rules.

Hierarchy In addition, market events (including a change in the bond issuer's credit rating), news about the issuer that affects debt pricing, and a change in interest rates, may render the dealer's contemporaneous cost to be obsolete. A hierarchy of factors must then be used by the broker-dealer to determine the prevailing market price. These factors are:

1. Prices of contemporaneous interdealer transactions in the same security
2. Prices of contemporaneous dealer transactions with institutional customers in the same security (in the absence of factor 1)
3. For actively traded securities, the dealer may use the contemporaneous quotes of the same security (in the absence of factors 1 and 2)

Similar Securities If contemporaneous pricing information (as previously described) is not available, then the broker-dealer may use the contemporaneous prices of similar securities to determine the prevailing market price of a subject security. Factors used to determine if the security is similar include credit quality, consideration, the spread over an applicable index or U.S. Treasury securities of a similar duration, general structural characteristics and provisions, or technical factors and tax treatment.

Economic Models When similar securities are not available, economic models of valuation may be used. These pricing models take into account credit quality, coupon rate, call provisions, interest rates, time until maturity, face amount, and industry sector. A markup could be unreasonable if it's based on expenses that are excessive, or if it fails to rely on any of the previously stated factors.

It's also important to remember that the prevailing market price also applies to Rule G-15, the Customer Confirmation Rule (described next).

In summary, the pricing of debt instruments is prioritized as follows:

- The contemporaneous price of a dealer
- The contemporaneous price of a similar security
- The price based on a pricing model

Reports of Sales or Purchases (G-14)

It's a violation of MSRB rules for a firm to distribute or publish any report of a purchase or sale of municipal securities unless it knows, or has reason to believe, that the purchase or sale actually occurred. Also, the firm should have no reason to believe that the reported transaction is fictitious or has a fraudulent, deceptive, or manipulative purpose. Typically, rumors and other similar fabrications are in violation of this rule. Put simply, a firm may only repeat what it knows and may not repeat what it doesn't think is true.

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For example, let's assume that a firm is attempting to move some bonds in connection with the sale of a new issue or a secondary market offering. Frequently, the buyer needs encouragement to act and consummate the trade. One of the tricks that may be used is the creation of a fictitious set of circumstances which will entice the buyer to act.

A likely situation is the statement that "similar bonds have just traded at .05 richer and I've got this block available at net with no change in price (with no markup)." This is a fraudulent and misleading statement since the dealer either doesn't know for sure that other bonds traded at a richer price or is fictionalizing the entire event in the hope of moving the bonds. In either case, this is a violation of MSRB rules.

Firms must report to the Board information about its transactions in municipal securities. The transaction information that's collected is used to make public reports of market activity and prices and to assess transaction fees. This serves to make the municipal securities market more transparent—participants can verify the securities that are trading and their prices.

Real-Time Reporting Transaction System (RTRS)

For transaction information to be useful, it needs to be reported to a real-time system. To accomplish this, the MSRB created the Real-Time Reporting Transaction System. Transactions that are reported to the system will be made available to registered securities associations and to other appropriate regulatory agencies in order to assist in compliance and enforcement of MSRB rules. FINRA provides broker-dealers with a symbol for reporting transactions.

Brokers and dealers have an obligation to report trade information promptly, accurately, and completely. If a broker or dealer uses another agent for reporting purposes, the responsibility for timely and accurate reporting still lies with the firm that executed the trade. Similarly, the reporting dealer that acts as a submitter for another dealer has a specific responsibility to ensure that transaction reporting requirements are met for those items under the submitter's control.

Time of Operation and Reporting

The RTRS is operated by the MSRB and is open each business day from 7:30 a.m. until 6:30 p.m. Eastern Time. The RTRS portals will be open for data transmission beginning 30 minutes prior to the opening of the business day and will remain open for 90 minutes after the end of the RTRS business day. Unless an exception is available, all transactions must be *reported within 15 minutes of the time of trade*. Any transaction that's executed outside of the hours that RTRS is open must be reported by no later than 15 minutes after the beginning of the next business day.

When the report is made, the submitter must include the time of the trade, whether it's a purchase or sale, and the quantity and price so that the timely dissemination of information can be made. However, the following transactions don't need to be reported to RTRS:

- Transactions in securities without CUSIP numbers
- Transactions in municipal fund securities

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- Inter-dealer transactions that are not inter-dealer transactions eligible for comparison in a clearing agency that's registered with the Commission

Exceptions

In some cases, the 15-minute reporting requirement is waived. Other reporting requirements are established for the following conditions:

1. On the first day of trading at the offering price of a new issue (referred to as list offering price/ takedown transactions), syndicate and selling group members will report transactions by the end of the day.
2. Dealers that execute trades in short-term instruments (under nine months to maturity, such as variable rate instruments, auction rate instruments, and commercial paper) may report the trades by the end of the day.
3. Dealers may report trades within three hours of execution under the following conditions:
   a. CUSIP numbers and indicative data of the issues being traded are not in the securities master file that's used by the dealer to process the trade
   b. The dealer hasn't traded the issue in the previous year and the dealer isn't the manager or a member of an underwriting syndicate

Additionally, if there's less than three hours left in the RTRS business day, the trade can be reported by no later than 15 minutes after the beginning of the next RTRS business day.

Inter-Dealer Transactions

The MSRB has designated three RTRS Portals for dealers to use when they submit transaction information. The methods used may be:

1. The message-based trade input portal. This method may be used for any trade record submission or trade record modification.
2. The RTRS Web-based trade input method. This system is operated by the MSRB and may be used for low volume transactions reports or modifications, but cannot be used for submitting or amending inter-dealer trade comparisons.
3. The NSCC Real-Time Trade Matching (RTTM) portal. This method is used only for submitting or modifying data with respect to inter-dealer transactions that are eligible for comparison.

The following information is reported on inter-dealer trades to RTTM by the respective trade participants. The information is referred to as *match data*, and if any of this information is in error, it must be changed or amended promptly. Only the participants that report match data in the transaction may change or modify the information.

Information That Must Be Reported

- Accrued interest
- Buy/Sell indicators
- Concession
- Contraparty to the transaction
- Reasons for rejecting a trade (DK reason)

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- CUSIP number(s)
- Type of issue
- Trade indicator (Locked-in, Demand, Bilateral, etc.)
- Market of execution
- Participant (buyer or seller)
- Price (dollar amount or yield)
- Quantity
- Record type (Modify, Cancel, DK, etc.)
- Reversal indicator (If the report is reversing a trade)
- Settlement date and amount
- Settlement date adjustment (if using an extended settlement)
- Trade date and time (time is not a match data item)
- Trade type (Locked-in, Regular-way, New Issue, etc.)

Dealers must report transactions with other firms to the National Securities Clearing Corporation (NSCC) within a prescribed time so that trades can be compared. Transaction information may be submitted directly to the NSCC or through a clearing broker-dealer. In addition to the information required by the NSCC, the MSRB requires firms to include the following in their reports:

- Time that the trade was executed
- Identity of the executing broker
- Identity of the entity that clears the transaction

If clearing/introducing broker arrangements are used for transactions, the introducing brokers must be identified as the *executing brokers*. If the settlement date is known, the report will include a value for accrued interest.

A transaction that's subject to a *one-sided* or unilateral submission (e.g., a dealer that transacts business with a customer, rather than another firm) is reported by the dealer.

A transaction that's subject to a two-sided (bilateral) submission (i.e., two dealers) must be entered by both sides and monitored (compared) by both sides.

An institutional investor (e.g., an investment adviser) may act on behalf of individual clients and execute trades with various dealers that don't hold the accounts of the actual clients of the adviser. Since the investment adviser is defined as a client, this transaction is only reported as one customer transaction. The other dealer(s) did not execute a transaction with the adviser's customer or with each other and are therefore not required to file a report. After the transaction, the adviser will inform the dealers that hold the clients' accounts to accept delivery of the securities from the executing dealer and will disclose the individual customers that are receiving the allocations. This is an example of a "step-out" in which a trade is executed with one dealer and the client (in this case, an investment adviser) transfers the trade allocation to other dealers. A step-out is a transfer and isn't reported as a transaction.

Special Condition Indicators

When dealers report trade through the RTRS, they may need to use a "Special Condition Indicator" to show a variety of special conditions concerning price transparency and transaction reporting.

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These indicators are used for several reasons (listed below), but are most commonly used if a transaction is away from the current market price or qualifies as an exception to the 15-minute reporting requirement.

- **A —** *Alternative Trading System Trade* — indicates inter-dealer trades that are executed with or using the services of an alternative trading system.
- **B —** *Broker's Broker Trade* — indicates an inter-dealer trade that's done by a broker's broker.
- **L —** *List Offering Price/Takedown Trade* — indicates a trade that's executed on the first day of trading for a new issue, either by an underwriter or another broker-dealer or bank involved in the initial distribution of the securities at the published "list offering price" for the security, or by an underwriter to another broker-dealer or bank involved in the initial distribution of the securities at a discount (or "takedown") from the published list offering price for the security.
- **N —** *Non-Transaction-Based Compensation Arrangement Trade* — indicates customer trades that didn't include a markup, markdown, or commission.
- **P —** Weighted Average Price Trade — indicates that a trade was reported using a weighted average price based on multiple transactions that were done at different prices earlier in the day to accumulate the total amount of bonds needed to make the transaction.
- **W —** *When Issued Trade* — indicates that a trade in a new issue security was executed on or before the final issuance and settlement of the issue of securities by the issuer.

Customer Transactions

Dealers must report transactions with customers to the MSRB and must include the following information:

1. CUSIP number of the security
2. Trade date
3. Time that the trade was executed
4. Executing broker symbol (This identifies the firm that executed the transaction.)
5. Par value traded
6. Dollar price of the transaction (excluding commission)
7. Yield of the transaction
8. Capacity in which the firm acted (as agent for the customer or principal)
9. Commission, if any
10. Settlement date, if known
11. Control number (This identifies the transaction.)
12. Symbol indicating whether the trade had previously been reported to the Board and, if so, the control number

Transaction Assessments Firms must pay the Board an assessment or fee that equals .001% ($.01 per $1,000) of the total par value of municipal securities sales that are reported to the Board for both inter-dealer sales and customer sales. When one dealer provides transaction reporting for another dealer, the firm reporting the transaction is responsible for the fee. The reporting firm may then collect inter-dealer transactions fees from the firm on whose behalf the report was made.

Technology Fee The MSRB will also charge municipal securities broker-dealers a technology fee of $1.00 per transaction, which applies to both inter-dealer and customer sales. There are no exemptions from this fee.

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As with other fees that are required by the MSRB (e.g., underwriting assessments), dealers are not allowed to charge or otherwise pass through this transaction reporting fee to an issuer of municipal securities or a customer. However, there's no fee assessed for a security that has a final maturity of nine months or less.

Short-Term Obligation Rate Transparency (SHORT) System

The MSRB created the Short-Term Obligation Rate Transparency System to collect and disseminate information concerning variable rate demand obligations (VRDOs) and auction rate securities (ARSs). Municipal securities dealers are required to submit information concerning these securities through the SHORT System by no later than 6:30 p.m. of the business day on which the auction occurs or that the rate is reset (for VRDOs). The MSRB's EMMA System receives the information from the SHORT System and, therefore, the public is provided access free of charge.

Confirmation, Clearance, and Settlement of Transactions (Rule G-12 for Other MSRB Firms and Rule G-15 for Customers)

The MSRB has created rules governing the settlement of transactions with other municipal broker-dealers and with customers. Interdealer transactions are covered by the MSRB's Uniform Practice Rule, while the MSRB's Customer confirmation Rule covers the confirmation and settlement of trades between MSRB members and their customers. The MSRB's Uniform Practice Code establishes standardized inter-dealer procedures for:

- Settlement dates for transactions in municipal securities
- Procedures for the exchange and comparison of dealer-to-dealer confirmations
- Procedures for resolving discrepancies resulting from unrecognized transactions
- Good delivery requirements for municipal securities
- Rejection and reclamation procedures
- Close-out procedures

Customer Confirmations

Written confirmations must be *given or sent* to customers at or before the completion of a transaction in municipal securities. The information required on customer confirmation statements includes the following:

- Name, address, and telephone number of the firm
- Name of customer
- Designation of whether the transaction is a purchase from, or a sale to, the customer
- Par value of the securities
- Description of the securities, including the name of the issuer, maturity date, and interest rate
- CUSIP number (if any) that's assigned to the security
- Trade date
- Time of execution or a statement that the time will be furnished upon written request of the customer
- Settlement date
- Yield and dollar price
- Commission, markup, or markdown
- If the interest is subject to federal income tax or the alternative minimum tax, a statement of that fact
- Amount of accrued interest

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- Extended principal amount
- Total dollar amount of the transaction
- The capacity in which the firm acted (whether as principal, agent for the customer, agent for a person other than the customer, or agent for both the customer and another person)
- Any additional instructions that are necessary to ensure a timely settlement, such as delivery instructions or form of payment (e.g., fed funds)

For trades involving zero-coupon securities that mature in more than two years, accrued interest is not shown. However, the confirmation must specify that the interest rate is "0%," and indicate that the customer will not receive periodic interest payments.

Yield and Price Disclosures If a trade is done on a yield basis, the computations will result in two prices. One represents the price if the bond is allowed to mature and the other represents the price if the bond is called on the first call date. The client will be given *the lower of the two resulting prices*.

For trades that are done at par, only the dollar price (100) is shown. These trades that are done at par are not subject to yield disclosure requirements.

The following information relates to bonds that are advanced refunded:

- If the securities purchased are advance-refunded and the issue has only a sinking fund call, the proper disclosure on a customer confirmation is *escrowed-to-maturity.*
  - If the sinking fund is operable, the securities must also be described as *callable.*
- If the securities purchased are advance-refunded and the issue has an explicitly reserved call feature, the proper disclosure on a customer confirmation is escrowed-to-call date. (The actual date will be listed.)
  - If the securities are called, the proper disclosure is *prerefunded* and the date of the call and amount of the call price must be disclosed.

Other Information Required Some of the additional data which must be disclosed on a customer confirmation includes:

- The dated date, if it affects the price or interest calculations
- Whether the securities are subject to a call prior to maturity, the notation "callable" must be included, as well as the date and price of the next unrestricted, in-whole call. (If further call features exist, the statement "additional call features exist which may affect yield; complete information will be provided upon request" must be included.)
- Denominations of bonds, if non-standard (i.e., other than $1,000 or $5,000 for bearer bonds, and other than multiples of $1,000 or in excess of $100,000 for registered bonds)
- Whether the securities are unrated by a national recognized statistical rating organization.

Providing Additional Information If a confirmation indicates that additional information is available and the customer requests the information, the dealer must provide it within five business days if the trade in question occurred within the last 30 calendar days. For trades which occurred after this time period (i.e., the request is more than 30 calendar days following the transaction date), the information must be given or sent to the customer within 15 business days following receipt of the request.

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Information Regarding Agency Transactions Client trades which are done as agency transactions should show all commissions or other remuneration being received by the firm that's handling that transaction. Any concessions which are received by the firm must be shown as an aggregate dollar amount on the confirmation.

Markups and Markdowns Dealers are required to disclose on a confirmation any markup or markdown when the dealer acts in a principal capacity with a non-institutional customer. The calculation should be based on the prevailing market price as defined under MSRB Rule G-30. This should be expressed as a total dollar amount and as a percentage of the prevailing market price. The term *principal transaction* also includes a situation in which the dealer buys (or sells) a municipal security and offsets the transaction on the same trading day with a non-institutional customer.

Exceptions to the markup/markdown policy exist for customer transactions in a *list offering price transaction* (new issue), municipal fund securities, or if the dealer has a functionally separate trading desk than the one that executes principal transactions with customers.

EMMA Disclosure Rule G-15 also require dealers to disclose, in a format that's specified by the MSRB, a reference and, if the confirmation is electronic, a hyperlink to a webpage on the MSRB's Electronic Municipal Market Access (EMMA) website. This applies to both paper and electronic confirmations and should reference the type of information that the customer can obtain about the security (trade and price history, official statement).

529 Plan Confirmations According to MSRB rules, since a 529 plan (municipal fund security) is not considered a bond, only certain information is found on the confirmation. The confirmation includes the customer's total purchase price (if the securities were purchased), the total sale price (if the securities were sold), as well as the name that's used by the issuer to identify the securities from other municipal fund securities that it offers. For a municipal fund security, the confirmation will not include the yield and, since it's not a debt security, it will not be callable and will not pay accrued interest.

Dealer Comparisons/Confirmations

If a municipal securities transaction is eligible for automated trade comparison through the facilities of a clearing agency that's registered with the SEC (e.g., the NSCC), the parties to an inter-dealer trade must compare the transaction through a registered clearing agency.

Each party must submit all of the information and instructions that are required from the party by the registered clearing agency for automated comparison of the transaction to occur. If a transaction is not eligible to be compared through a registered clearing agency, the following rules regarding sending confirmations apply:

- In an inter-dealer transaction, each party must send a confirmation of the transaction to the other party on the trade date. The confirmation should contain the name, address, and phone number of the confirming party, as well as contra-party identification. The trade and settlement dates, CUSIP number, description of the securities, pertinent call features, yield and price, and final money figures must also be included.
- When issued (WI) confirmations may be sent within one business day following the trade date.

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Unrecognized Trades Each transaction should also result in a confirmation from the contra-party. If any discrepancies exist in the information described in the two compared confirmations, the party that discovers the discrepancies must promptly communicate the discrepancies to the contra-party. If a difference is found and subsequently resolved, the party in error should send a corrected confirmation within one business day.

If there's an unrecognized trade (a DK or Don't Know) and the trade cannot be confirmed, the party that receives the confirmation is required to promptly notify the confirming party by telephone and, within one business day, send a written notice, return receipt requested, indicating non-recognition of the transaction. If a dealer has confirmed a trade, but hasn't received a confirmation or a DK notice from the contra-party, the confirming party must determine whether a trade occurred. *This must be done by no earlier than the fourth business day of the trade date and no later than the eighth business day following the trade*.

Settlement Dates

Regular way transactions settle one business days after the trade date, or T + 1. However, cash transactions settle on the same business day as the trade.

Delivery

If a municipal securities transaction is eligible for book-entry settlement at a securities depository that's registered with the SEC (e.g., the Depository Trust Corporation, or DTC), the transaction must be settled by book entry through the facilities of a depository or through the interface between two depositories. The settlement procedures of the depository or depositories being used will apply. If the security involved is not depository-eligible, the transaction will be settled by physical delivery of the securities according to the following rules:

- Delivery of securities is expected on the settlement date at the offices of the purchasing dealer or its agent. Unless otherwise specified, good delivery of municipal bonds requires a legal opinion imprinted or attached. A municipal bond without a legal opinion is referred to as *ex-legal* and may be rejected by the buyer.
- If registered securities are delivered, a proper assignment must accompany the certificate. Any denomination from $1,000 to $100,000, in $1,000 increments, must be accepted.
- If bearer bonds are delivered, all unpaid coupons must be attached. Only $1,000 or $5,000 denominations are acceptable.
- If the bonds were called prior to the trade date, but the buyer was not notified of this fact, the bonds are not good delivery. If bonds are not called prior to the trade, but a call notice is published on or prior to the delivery date, the bonds are not good delivery unless the entire issue has been called.
- The purchasing dealer is not required to accept a partial delivery.

Rejection and Reclamation

Rejection represents the refusal to accept delivery of securities. Securities may be rejected if they don't meet the rules for good delivery. *Reclamation* represents the return of securities that were previously accepted for delivery. Reclamation may be used when securities are delivered and accepted, but certain problems are discovered later, such as a missing or mutilated coupon, a missing legal opinion, or it's discovered that the securities have been reported as missing, stolen, or fraudulent.

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Close-Out Procedures

The term close-out refers to the following two situations by a municipal securities dealer:

1. Buying securities from another dealer and that dealer doesn't deliver the securities. The purchasing dealer now buys these securities in the market to be able to deliver them to its customer.
2. Selling securities to another dealer and that dealer doesn't accept delivery and has not paid for these securities. The selling dealer now sells these securities in the market to deliver cash to its customer.

Transactions which have been compared or agreed upon by both parties, but have not been completed, will be closed out by the parties by no later than 10 calendar days after settlement.

Purchasing Dealer (Buy-In) The rule allows for the close-out process to provide the following three options to the purchasing dealer:

1. Purchase ("buy-in") at the current market price all or any part of the securities that's necessary to complete the transaction for the account and liability of the seller
2. In satisfaction of the seller's obligation under the original contract (which shall be concurrently cancelled), accept from the seller the delivery of municipal securities that are comparable to those that were originally bought in quantity, quality, yield or price, and maturity, with any additional expenses or any additional cost of acquiring such substituted securities being borne by the seller or
3. Require the seller to repurchase the securities on terms which provide that the seller will pay an amount which includes accrued interest and bear the burden of any change in market price or yield

Close-Out by the Purchaser A trade must first have been compared (confirmed by both parties to the trade) before the close-out procedure may be initiated.

- Notice of close-out by purchaser:
  - If the purchaser chooses to close-out a transaction, by no earlier than the first business day following the original transaction settlement date, the purchaser must notify the seller via an inter-dealer communication system (e.g., DTC).
  - This notice should include the date and time by which the transaction must be completed, which cannot be earlier than 5:15 PM of the third business day following the date on which the notice is given.

Once the seller receives the notice, it's required to use its best effort to locate the securities that are referenced in the notice.

The purchaser is permitted to grant the seller <u>one 10-calendar-day extension</u>

- Notice of close-out by seller:
  - If the seller makes good delivery of the securities and the buyer rejects delivery, the seller may close-out the transaction
    - The close-out cannot be earlier than the first business day following receipt by the seller of the notice of the rejection
  - The notice will have the time and date by which the transaction must be completed, which cannot be earlier than 5:15 PM of the business day following the date on which the notice is given.

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Any funds, with any additional expenses or any additional cost due on the close-out of the transaction, must be forwarded to the appropriate party within five business days of the date of execution of the close-out.

Reciprocal Dealings with Municipal Securities Investment Companies (G-31)

Normally, the manager of a municipal securities investment company (bond fund) will frequently buy and sell municipal bonds while running the fund. For that reason, a bond fund has the potential for being a lucrative account for any firm to carry.

MSRB rules prohibit members from soliciting business from an investment company as compensation for the firm executing sales of the investment company's shares or units. The fact that a member is a leading seller of the fund's shares should not entitle that member to special consideration in doing other business with the fund or the fund's manager.

> *For example, a small member firm sells a large amount of Mammoth Municipal Bond Fund shares for the fund's portfolio and then inquires as to why the fund manager has never purchased a bond from the member firm. Although it may seem like an innocent question, it could be construed as asking for compensation based on sales of Mammoth Municipal Bond Fund shares. Firms are not allowed to ask for reciprocity, such as "you scratch my back and I'll scratch yours."*

However, the investment company may do business with MSRB members and others based on quality of execution, research services provided, and availability of securities.

Maintenance of Books and Records (Rules G-8 and G-9)

MSRB rules require firms that engage in municipal securities transactions to keep and maintain records concerning these transactions (G-8) in a certain format and time period (G-9).

Format for Maintaining Books and Records

MSRB rules don't direct firms as to how to maintain its books and records, as long as the records are clear and accurate. However, in the case of a dealer bank, all records relating to transactions in municipal securities must be separately extractable from all other records maintained by the bank.

Records may not be maintained on a clearance date basis (the date on which the securities are actually delivered or received). However, the date of clearance is noted in the blotters, account records, and securities records.

Blotters which show purchases and sales of municipal securities must be prepared by no later than the end of the business day following the trade date. Transactions involving the purchase and sale of securities should be posted to the account records by no later than settlement date and to the securities records by no later than the end of the business day following the settlement date.

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Compliance with SEC Rules Any SEC-registered broker that's in compliance with SEC recordkeeping rules is considered to be in compliance with MSRB recordkeeping rules as long as the following additional records are maintained:

- Records of uncompleted transactions involving customers (considered subsidiary records)
- Records relating to syndicate transactions
- New account information
- Information regarding customer complaints

For purposes of this rule, the term *customer* excludes brokers, dealers, municipal securities dealers, and issuers whose securities are the subject of the transaction.

Accessibility of Books and Records

All books and records must be available for ready inspection by each regulatory authority that has jurisdiction under the Act to inspect the firm. The records must be maintained and preserved in an easily accessible place for at least two years. After the first two years, the records are required to be kept in a location from which they can be reached within a reasonable amount of time.

Method of Record Retention

To satisfy recordkeeping requirements, a firm may keep the original record or a reproduction. The records may be kept on microfilm, electronic or magnetic tape, or any other similar medium, as long as the broker-dealer has adequate facilities to store, retrieve, and reproduce the information for inspection purposes. Duplicate records must be stored separately from each other.

Effect of Lapse in Dealer's Registration

If a firm's registration with the SEC lapses, the firm is still required to hold records for the period that's specified unless a successor registrant chooses to keep and maintain the books and records.

> *For example, if Diverse Securities is taken over by All Securities Brokerage, All Securities Brokerage will be responsible for keeping and maintaining Diverse Securities' books and records for the periods that are required by MSRB rules.*

Customer Accounts Records

Under MSRB rules, certain customer account information is required to be obtained prior to the settlement of the initial transaction. The opening of a customer account must also be approved, in writing, by a Municipal Securities Principal. The customer account records for a broker-dealer must reflect the following information.

- Customer's name and residence or principal business address*
- Whether customer is of legal age
- Tax identification or Social Security number*
- Occupation
- Name and address of employer
- Information used or considered to determine the suitability of recommendations and transactions*
- Signature of the Municipal Securities Representative who introduces the account to the firm and the signature of a Municipal Securities Principal indicating acceptance of the account*

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- Whether the customer is employed by another broker-dealer or municipal securities dealer
- For discretionary accounts*
  a. Customer's written authorization to exercise discretionary power or authority over the account
  b. Written approval of the Municipal Securities Principal who supervises the account
  c. Written approval of Municipal Securities Principal with respect to each transaction in the account indicating the time and date of approval on a daily basis
- Hypothecation agreements for margin accounts*

(Any items marked with an * are also required for institutional clients.)

Institutional client accounts include those of a:

- Bank, savings and loan association, insurance company, or registered investment company
- Registered investment adviser, or
- Any other entity (whether a natural person, corporation, partnership, trust, or otherwise) with total assets of at least $50 million.

Obtaining a customer's Social Security number or tax identification number is not required prior to settlement. If a firm is unable to secure either number after a reasonable effort, it must maintain a record identifying all such accounts.

Customer account information that relates to the terms and conditions of the opening and handling of an account must be maintained for a period of at least six years following the closing of the account.

Create a Chapter 7 Custom Exam

Now that you've completed Chapter 7, log in to *my.stcusa.com*. From your Dashboard, select *Final Exams*, then scroll down and select *Create a Custom Exam*. Now, select *Chapter 7* and, at the bottom of the screen, enter 10 questions in the *Number of Questions* box, and then select *Build Exam*.

Please note, the following page provides a summary of the maintenance requirements for books and records.

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Summary of Maintenance of Books and Records

Firm Record	Retention (Number of Years)	Comments
Blotter	Six	Shows purchases and sales of municipal securities and are prepared by no later than the end of the business day following the trade date.
Account Records	Six	Transactions are posted by no later than the settlement date
Securities Record	Six	Transactions are posted by no later than the end of the business day following the settlement date
Syndicate Transactions	Six	For accounts that are successful
Customer Complaints	Six	Any action that's taken by the firm must be included
General Ledgers	Six	Applies to firms that are subject to the SEC's net capital rule (NOT bank dealers)
Gifts and Gratuities	Six	
Consulting Arrangements	Six	Must reflect the compensation that's paid as well as the termination date of the consulting arrangement
Political Contributions	Six	Files must list all MFPs and non-MFP executive officers; however, non-MFPs need not be listed on Form G-37. Issuers and states in which a firm has conducted municipal securities business must be listed.
Subsidiary Records	Four	Shows securities in transfer, to be validated, borrowed or loaned, and transactions not completed by settlement. Records of securities movements must reflect the event as of the date of occurrence and be posted to the appropriate records by no later than the end of the following business day.
Put Options and Repurchase Agreements	Four	
Agency and Principal Transactions	Four	
Copies of Customer Confirmations	Four	
Customer Account Information	Four	However, information that relates to the terms and conditions of opening and maintaining the account must be kept for six years after the account is closed.
Check books, bank statements, cancelled checks, cash reconciliations, and wire transfers	Four	
Bills Receivable or Payable	Four	Cash receipts and disbursements must reflect the events as of the date of occurrence and be posted to the appropriate records by no later than the end of the following business day
Written Communications Received and Sent	Four	
Written Agreements Entered Into By Firm	Four	
Records of Official Statement Delivery	Four	
Powers of Attorney	Four	
Fingerprint Records	Four	
Advertisements	Four	
Ownership Records	Life of the Firm	For partnerships, all partnership articles. For corporations, all articles of incorporation or corporate charters, minute books, and stockholder lists.

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